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We Learn Here – ESI Descriptive 2024

The approach to be followed while answering:

1. Read a question three times and try to understand the demand of the question.

2. Make a rough draft on paper just highlighting the keywords.

3. The structure to be followed: IBC (Intro, Body, Conclusion) – The body should directly address the exact demand of the question.

4. Try to write in points to the extent possible.

5. If the question has 2 parts, one should address both the parts proportionately.

All the best!

Here we go:-

1. "In 2015, India adopted the methodology of computing Gross Domestic Product at Market Price from the Factor Cost earlier". Based on the above statement: What are the benefits of embracing Market Price rather than Factor cost in calculating GDP? (400 Words)

First Ans. The National Statistical Office under the aegis of the Ministry of Statistical and Programme Implementation is the body responsible for maintaining the National accounts. In 2015, the methodology to compute the National Income aggregates was revised. One of the changes done was to compute Gross Domestic Product (GDP) at Market Price instead of Factor Cost. The relationship between them is as follows: GDP (Market Price) = GDP (Factor Cost) + Indirect Taxes - Subsidies. The benefits of doing so are enumerated below:

1. **Following the Global standard**. World Bank's System of National Accounts (SNA-2008) is the global standard when it comes to National Income Accounting. By making this change, India ensures that it follows the global best practices.
2. **Fair and Easy International Comparison**. Due to the alignment with SNA-2008, India's macroeconomic aggregates can be easily compared with other countries. The change also ensures that the comparison is done on equal grounds.
3. **More comprehensive measure** Calculating GDP at Market price gives us a more comprehensive measure than calculating GDP at factor cost. This is because, Market price refers to the price that the consumers pay in the Market which is inclusive of a multitude of Production and Product taxes and subsidies.
4. **Brings together the supply side and demand side estimates** Since the 2015 Methodology revision, all of the data is collected sector-wise to form the Gross Value added (GVA) estimates which are calculated at basic prices. This GVA (basic prices) aggregate represents the supply side of the Indian economy. Only

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when we add Net Indirect Taxes to this GVA (at basic prices) estimate we get GDP (at market prices). This GDP (at market prices) estimate is then apportioned into different expenditure heads which represents the demand side of the Indian economy. Calculating GDP at factor cost will only increase discrepancies and make the demand side and supply-side estimates error-prone. Calculating GDP (at market prices) gives us an advantage as we can seamlessly calculate GDP (at market price) from the supply side estimates of GVA and readily apportion them into the demand side expenditure heads.

This change of methodology of computing Gross Domestic Product at Market price instead of Factor cost brings with it multiple benefits and advantages. As such, it is a welcome move and more such revisions in the methodology should be implemented to ensure that Indian National Accounting follows the highest standard and practices and provides invaluable data for public policy decisions.

Second ans: In 2015, India decided to make a shift in its approach to calculating the country's Gross Domestic Product (GDP), moving away from the factor cost towards market prices. The shift was made with the aim of aligning national income accounting standards with international standards and the United Nations' recommendations.

Factor cost refers to the income earned by the factors of production in an economy within a domestic territory, including employees' compensation and profits of businesses. Market price measures the value of goods and services at the market level, including indirect taxes and excluding subsidies. The reasons and benefits of this shift for India are manifold:

1. **Accurate measurement**: Market prices reflect the actual amount paid by the customers. It gives a more accurate representation of the value of goods and services. It avoids distortions caused by taxes and subsidies.
2. **Comparability**: Using the market price approach enables the country's GDP to be compared with that of the developed nations and others who follow international standards. It helps in making an accurate assessment of the country's economic performance in the global market.
3. **Policy-making**: The GDP calculated at market prices helps the policy-makers in making accurate evaluations of the country's economic state. It leads to a comprehensive understanding, which is crucial for policy formulation in the country.
4. **Investment decision**: Investors and businesses make decisions based on prices in the market. Calculating GDP using the market price approach provides a consistent framework for evaluating investment opportunities.
5. **Global integration**: By adhering to the international standard, India has made its economic data comparable and understandable to the international community. This helps in building a better global reputation and attracting foreign investments.

India's shift in the calculation of its GDP has brought multiple benefits for the country. Such a shift was required for a growing economy like India, to integrate itself with the world. The current method gives a more realistic and comprehensive image of the country's economic performance.

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2. "Ashoka Mody, an economist of Princeton University has claimed (Project Syndicate) that the National Statistical Office did not adhere to the international best practice while correcting discrepancies in its official

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data on income and expenditure. (September 2023)" - Write down the three broad methods of calculating National Income. (600 Words)

First Ans. India recorded real GDP growth of 7.85% during the Apr-June period of 2023-24 as per the income or production approach, the highest in the past four quarters. As per Mody, the figure of the 7.8% GDP growth rate for the first quarter (April-June) of the financial year 2023-24 is inaccurate, and if correct calculations are applied to the data, it will come down to 4.5%. The discrepancy comes into the picture when the two series (income and expenditure) show different trends. The entire point of the discrepancy line is to acknowledge statistical imperfections, not to make them disappear.

There are approaches adopted by the National Statistical Office to calculate National income are:

Production or Value-added approach:

- It sums the value added at each stage of production where value added is defined as total sales less the value of intermediate inputs into the production process.
- Mathematically Product/Value added method = net indirect taxes + consumption of fixed capital + net value added in the primary sector at factor cost + net value added in the secondary sector at factor cost +net value added in the tertiary sector at factor cost.

Income approach:

- It measures the total income earned by the factors of production. Income earned by all the factors of production in an economy includes wages paid to labour, the rent earned by land, the return on capital in the form of interest, as well as corporate profits
- Mathematically, Income method = net indirect taxes+ consumption of fixed capital compensation of employees + operating surplus (rent, interest, profit) + mixed income of self-employed.

Expenditure approach:

- This measures the total expenditure incurred by all entities on good and services within the domestic boundaries of a country.
- Mathematically, Expenditure Method = private final consumption expenditure + government final consumption expenditure + gross domestic capital formation + net export of goods and services.

Ideally the growth rate in three approaches should be the same. However due to variations in data collection and processing (often referred to as statistical discrepancy) there are often gaps between the three which are taken into account while making the final calculation.

Challenges with current GDP calculation methodology

- Accuracy of data: The GDO calculation depends on the accuracy and credibility of the available data. Outdated data in various sectors of the economy provide an inaccurate picture of the economic activity.
- Accounting unorganized sector: presently the GDO computation methodology uses data from the organized sector as a proxy for the unorganized sector.
- Exclusion: Not all productive activity is included in GDP.

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Way forward

- Base year updation: Regular updation of the base year is required in order to maintain the accuracy of the volume estimates of GDP.
- Double deflation: Countries can take steps to adopt double deflation. It means that inputs are deflated separately using relevant output and input price indices.
- Robust Data: timely data collection, storage and processing especially with the help of emerging tools such as Big data and artificial intelligence can increase the accuracy of GDP estimation.
- Measurement of productive activity. All productive activities of an economy irrespective if the economic transactions such as voluntary work, unpaid household work, etc. can be included in the GDP figure.

Second ans: Ashoka Mody, an economist at Princeton University, claimed in a Project Syndicate article that the National Statistical Office (NSO) did not adhere to international best practices while correcting discrepancies in its official data on income and expenditure. Mody argued that the NSO only took into account estimates of domestic income and not expenditure to calculate the growth figures, which led to overestimation of GDP growth. Mody further suggested that the correct approach would be to take into account the discrepancies in both income and expenditure approach. However, Chief Economic Advisor, V Anantha Nageswaran, and senior advisor in finance ministry, Rajiv Mishra, dismissed Mody's claims. According to them, the approach for calculating the GDP has been consistent for years.

National Income of any country means the complete value of all the goods and services produced by any country during its financial year. Therefore, it is the net result of all the economic activities that take place during a financial year and is valued in monetary terms. It includes payments made to various resources in form of rents, wages, interests, and profits. A country's progress can be estimated by the growth of its national income.

There are three broad methods of calculating national income: Value Added Method/Product Method, Income Method, and Expenditure Method.

1. **Value Added Method/ Product Method**: Value Added Method/ Product Method is a method of calculating the National Income of an economy in different production phases. Value Added Method/ Product Method calculates national income by evaluating the value added at each stage of production for goods and services within an economy. It measures the contribution of each industry or sector to the final product or service. Gross Value Added (GVA) is calculated by subtracting intermediate consumption (cost of goods and services used up in production) from the total output or revenue generated within a specific sector. Summation of GVA across Sectors gives us National Income. The value added by each sector (such as agriculture, manufacturing, services) is summed to obtain the GDP at factor cost.

2. **Income Method**: The Income Method is a method of calculating the National Income of an economy by adding up all the incomes earned by the factors of production. The factors of production include land, labour, capital, and entrepreneurship. The income earned by these factors of production is known as factor income. The formula for calculating National Income through Income Method is, National Income = Rent + Wages + Interest + Profit + Mixed Income + Net Factor Income from Abroad.

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3. **Expenditure Method**: The Expenditure Method is a method of calculating the National Income of an economy by adding up all the expenditures made on goods and services produced in the economy. The formula for calculating National Income through Expenditure Method is, National Income = Consumption Expenditure + Investment Expenditure + Government Expenditure + Net Exports.

These three approaches provide different perspectives on measuring national income and help policymakers and economists understand an economy's performance, structure, and key drivers of economic activity. The choice of method depends on the availability of data and the purpose of calculation.

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3. "According to the global Multidimensional Poverty Index (MPI) 2023, a total of 415 million people moved out of poverty in India within just 15 years from 2005/2006 to 2019/2021."

A. **What do you mean by multidimensional poverty?**
B. **Elaborate various dimensions of multidimensional poverty. (600 words combined**)

First ans: Renowned Indian economist and Nobel Laureate Amartya Sen once quoted, “Poverty is not just lack of money, and it’s not having the capability to realize one’s full potential as a human being”. This sentence truly represents that poverty is not a just mono-coordinated problem rather than it’s a multi-dimensional issue. Poverty has its presence in multiple layers of the society like different aspects of human wellbeing, education, access to basic necessities, exposure to unavoidable shocks and lack of empowerment.

In 2023, fortunately, India, made a significant progress towards in reducing poverty as the global multidimensional poverty index (GMPI) for 2023, highlights a significant accomplishment. The monumental uplifting of 415 million people from poverty within 15 years glorifies the stable economic front and commitment towards achieving Sustainable development Goal-1, “No poverty”.

A. Multidimensional poverty (MDP):

Multidimensional poverty is based on several factors that constitute poor people’s experience of deprivation- such as poor health, lack of education, inadequate standard of living. Lack of income opportunities, lack of empowerment, poor quality of work and threat from violence.

An index related with multidimensional poverty named as Global multidimensional poverty index (GMPI) represents a measure of the extent of multidimensional poverty existing in various countries. Currently at 2023, GMPI measures multidimensional poverty across more than 100 countries out of 110 countries.

B. Various dimensions of multidimensional poverty:

1. HEALTH: Health is an important factor in basic necessities of human life and development. Lack of good health leads to various diseases and nutritional disorders which results health issues. The accessibility to proper health care facility is also a difficult task due to abominable monetary conditions. Government is trying to uplift people from this situation through various schemes like: Ayushmanbharat, Pradhanmantri Suraksha bima yojana etc.

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2. EDUCATION: Education is also important tangent in field of multidimensional poverty. Lack of access to quality education, low literacy rates in some section of the society is also a major factor in this aspect. Although government is providing various schemes to fight with like: sarva siksha abhiyan, mid-day meal scheme etc.

3. EMPLOYMENT & INCOME: The nature of employment, job security and income levels are also an important factor in the sphere of multidimensional poverty. Proper employment secures social life of an individual leading to the end of the poverty. Government has taken various initiatives for it like: MGNREGA which employs rural people for 100 days and provides employment support, SMILE scheme etc.

4. STANDARD OF LIVING: This component also represents various dimensions of poverty like: improper condition of housing, improper access to clean and safe drinking water, proper sanitation, inadequate electricity and energy supply. These problems faced by people in the society are deprived of basic amenities and requirement to lead a healthy and safe life. Government has taken up various initiatives to solve this through various initiatives like: PM Awas yojana, Har gharjal etc.

In conclusion, India's monumental achievement of uplifting 415 million people out of poverty within a span of 15 years that is from 2005-06 to 2019-21 is symbol of multidimensional approach towards eradication of poverty. Recognizing this complexity is truly crucial to charting out the sustainable path out of poverty and with this success India is marching ahead towards in line with United nation's sustainable development goal, SDG 1: "To end poverty in all its forms everywhere by 2030".

Second ans: The traditional singular lens of measuring poverty, which involves setting an income threshold, does not fully capture all aspects of it. Multidimensional poverty is a crucial paradigm shift from the conventional ways towards more inclusive methods, acknowledging the complexity of poverty.

The multidimensional nature of poverty is reflected in the United Nation's definition: Poverty entails more than just a lack of income and productive resources to ensure sustainable livelihoods. Its manifestations include (1) hunger and malnutrition, (2) limited access to education and other basic services, (3) social discrimination and exclusion, and (4) lack of participation in decision-making. These dimensions are discussed in detail below:

1. **Hunger and malnutrition**: Lack of financial resources often leads to health deprivations for the poor. It limits the ability of the deprived to access sufficient and nutritional food. This leads to chronic malnutrition, especially among children, which creates a vicious cycle of poverty as education and productivity are compromised. Some government initiatives to tackle the issue include:

- **National Food Safety Act (NSFA**): The act was implemented to ensure the supply of food grains such as rice and wheat at subsidized rates to the poor.
- **Integrated Child Development Scheme (ICDS**): This flagship scheme under the Ministry of Women and Child Development focuses on providing nutritious food, health check-ups, and early education to children below 6 years and lactating and pregnant mothers.

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2. **Limited access to education and basic services**: Poverty creates barriers to accessing education and other basic services such as health and sanitation. Lack of resources forces the deprived to focus on immediate needs instead of long-term investments, such as education. Some government initiatives include:

- **Sarva Shiksha Abhiyan (SSA**): The scheme aims to provide quality education for all, with a focus on improving infrastructure and quality of teaching.
- **PM Jan Dhan Yojana (PMJDY):** The scheme focuses on financial inclusion by providing bank accounts to the poor.

3**. Social discrimination and exclusion**: Poverty often intersects with social discrimination, marginalizing certain groups on the basis of caste, gender, or ethnicity. Discrimination only reinforces and deepens the shackles of poverty among the marginalized sections, depriving them of their basic needs and dignity. Some government initiatives include:

- **PM Janjanti Adivasi Nyay Maha Abhiyan (PM JANMAN):** This recently launched initiative of the government aims to uplift the particularly vulnerable tribal groups (PVTGs) and bring them to the mainstream.
- **MNREGA**: This flagship scheme of the government aims to provide 100 days of employment to the rural poor, enabling them to earn and contribute to their upliftment.

4. **Lack of participation in decision-making**: Impoverished and deprived individuals and communities often find themselves excluded from the decision-making process that impacts their lives. It encourages a cycle of vulnerability and powerlessness. It is important to enable the poor to raise their voices. Some government initiatives include:

- **Panchayati Raj institutions (PRIs**): The 73rd Constitutional Amendment Act established PRIs, enabling locals to participate in decision-making, and ensuring governance reaches the grassroots levels.

The Global Multidimensional Poverty Index (MPI) captures these complexities by evaluating various dimensions such as health, education, and standard of living. Its findings that 415 million Indians came out of poverty within 15 years are a positive outlook on India's efforts. Considerable changes in child mortality ratios and child enrollment ratios are also admirable.

By embracing multidimensional poverty, we move beyond the limited scope of income-based poverty towards a future where people have the opportunity to escape the clutches of poverty and realize their full potential. This future demands combined efforts of multiple stakeholders to address the various dimensions of poverty with the required efforts.

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4. Discuss the various techniques/methodologies employed for poverty estimation in India. Analyze their strengths and weaknesses, providing examples of specific methodologies. (800 words)

First ans: Poverty estimation has always been a major issue in India as there are various methodologies and techniques used to measure poverty. A stark difference is also observed in the results of the different methodologies and different committees' suggestions in terms of percentage of people being defined as 'poor'. To

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estimate poverty reliably is the first step towards elimination of poverty and it is therefore crucial to understand the different techniques and their strengths, weakness and their examples which are as follows:

1. **Consumption based measurement**:

Using this method, poverty is estimated considering the consumption levels of households. A poverty line is estimated based on the calorie intake levels in rural and urban areas.

Strengths – Consumption based measurement is considered more stable than income based measurements as consumption levels do not change as frequently as levels of income.

It is also easy to understand and directly driven from the consumption patterns of individuals and also reflects their quality of life. Another important advantage is that it takes into consideration nutrition requirements.

Weakness – This method is considered to take into consideration only one aspect i.e. consumption and ignoring other important aspects like health, education and various other non-monetary factors.

Examples - The accepted average calorie requirement in India is 2400 calories per person per day in rural areas and 2100 calories per person per day in urban areas as defined by a task force in mid 1970s by Planning Commission.

2. Income based measurement:

This method is the most common and direct way to estimate poverty be defining the minimum amount being earned by an individual in a day.

Strengths – The data collection is easier in this method as compared to others because income proofs are available easily as compared to availability of proofs of consumption.

Another advantage of this method is its quantitative nature.

Weakness – Considering only the income of individuals is not the most appropriate way of judging the quality of life of people.

Example – World Bank has defined extreme poverty headcount ration at $2.15 a day.

3. Multidimensional approach-

This approach covers all three dimensions i.e. health, education and standard of living. It is further divided into indicators such as nutrition, school attendance, housing and assets, etc.

Strengths – Unlike income based and consumption based approach this method focuses on more than aspect thus is not unidirectional. It considers all important factors which influence the standard of life.

Weakness – Poverty estimation is difficult to calculate using this method as this method involves ten indicators.

Example – National Multidimensional Poverty Index released by NitiAayog and Global Multidimensional Poverty index released by United Nations Development Programme and Oxford Poverty and Human Development Initiative (OPHI)

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There are some recommendations of various committees which were formed to estimate the poverty line which are as follows:

1. **Y.K. Alagh Committee was formed in 1979** which recommended estimating poverty using poverty line based on nutritional requirements and consumption expenditure.

2. **Lakadwala Committee of 1993** recommended state specific poverty lines and which was further divided into Consumer Price Index – Industrial Worker (CPI-IW) and Consumer Price Index – Agricultural Labour (CPI-AW)

3. **Tendulkar Committee (2009)** recommended shift from calorie consumption level and it also suggested uniform poverty line basket for both rural and urban areas. It also recommended new method of updating poverty lines**,** adjusting for changes in prices and patterns of consumption, so basically it took inflation factor into consideration.

4. **Rangarajan Committee (2014)** dismissed the poverty estimation method used by Tendulkar Committee and used alternate methods. It recommended poverty estimation on the basis of household survey conducted by Centre for Monitoring Indian Economy (CMIE). Poverty threshold was changed to Rs 47 per day for urban areas and Rs 32 per day for rural areas.

Since poverty estimation is a complex task, it requires in depth and effective methodologies to estimate poverty brackets which in turn helps researchers and policymakers to make policies which particularly target the area in which our country is lagging behind. With changing economic state of economy, regular updation of methodologies is also required to keep them effective in the current context.

Second ans: Poverty, an intricate and complex challenge, defies simplistic definitions and straightforward estimations. In a diverse country like India, poverty surfaces in multiple aspects, making it difficult to estimate. A wide range of methods and techniques have been used for many years in an attempt to accurately measure poverty in India. These methods are discussed below:

1. **Consumption-based approach**: This approach measures poverty on the basis of household consumption. The National Statistical Office (NSO) conducts household surveys, known as Consumption Expenditure Surveys (CESs), and analyzes their consumption patterns. These patterns are compared with officially established poverty lines, and people falling below this line are identified as impoverished.

- Strengths: Household-level data gives a nuanced analysis of poverty across various regions. It is simple to understand.
- Weaknesses: Focus on material needs, ignoring non-consumption factors such as health and education. People may misreport expenditures, leading to potentially skewed results.
- Example: **Tendulkar Committee** recommended a consumption approach by creating state-specific poverty lines. The approach led to a reduction in poverty but raised concerns regarding the chosen poverty line basket and the comparability of data.

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2. **Income-based approach**: Instead of consumption patterns, this method focuses on the levels of income of the people, often utilizing Household Income and Expenditure Surveys (HEIS). However, income data can be notoriously unreliable.

- Strengths: Being a data-based approach, it is easily quantifiable and comparable. Income reflects the availability of resources for meeting needs, potentially including informal earnings missed by CESs.
- Weaknesses: Does not account for regional variations as people's needs differ in different areas. It is difficult to obtain accurate data as underreporting of income is common.
- Example: The World Bank has fixed the poverty line at an income of $2.15 per day. This approach raises concerns about its accuracy, keeping in mind the diverse nature of the Indian economy and population.

3. **Multidimensional poverty**: This approach does not take into account just one factor; rather it encompasses various aspects of poverty apart from income and consumption, such as health, education, and standard of living.

- Strengths: It goes beyond the limited scope of the quantitative approach and focuses on qualitative aspects of poverty. Gives a broader perspective and ensures targeted resource allocation for poverty alleviation.
- Weaknesses: Difficult to gather data on all parameters of MPI. Allocating appropriate weightage to all indicators is a challenging task.
- Example: The global Multidimensional Poverty Index (MPI) is published by UNDP and OPHI, measuring poverty in various aspects across nations. A similar MPI is published in India by NITI Aayog, catering specifically to Indian needs, targeting areas such as child nutrition, mortality, sanitation, etc.

4. **Remote sensing and geospatial approaches**: The emergence of satellite technology and GIS mapping has opened new avenues for poverty analysis. This approach includes analyzing land-use patterns, housing features, and nighttime lighting to indirectly identify areas with poverty concentration.

- Strengths: Inexpensive and quick way to map poverty. It analyzes areas with high poverty concentrations, aiding in specialized resource allocation.
- Weaknesses: This approach raises concerns about data privacy, which may lead to potential misuse of private data. It also requires validation of data present to provide an accurate picture of poverty mapping.
- Example: The World Bank's poverty mapping initiative aims to identify areas with high poverty concentration using satellite data and household surveys in developing countries, including India.

5. **Participatory assessment**: This approach aims to involve local communities through discussions and surveys to capture diverse aspects of poverty. It takes into account various perspectives which do not just focus on quantitative data.

- Strengths: Empowers local communities and showcases diverse perspectives, aiding in policy formulation.
- Weaknesses: The surveys and discussions should be conducted appropriately, ensuring proper representation of communities. The data collection process is time-consuming and may require large resources.
- Example: The 'Voices of Poor' initiative by the World Bank conducted discussions and surveys in various Indian states, providing insights into the lives of many communities.

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Poverty estimation in India is a rigorous process and demands various methods to accurately collect the required data. Accurate measurement of poverty aids in targeted policy formulations and resource allocation for the upliftment of the deprived society.

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5. Evaluate the significance of the Poverty Line in India and the challenges associated with its estimation. How does the choice of poverty line impact the measurement and understanding of poverty (600 words)

First ans: The estimation of the poverty line in India is a nuanced and complex process. The poverty line refers to a threshold limit that determines the number of people living in poverty. It holds immense significance and also faces many challenges in its estimation. Choosing a specific poverty line has far-reaching implications, impacting measurement and understanding of poverty.

Significance of poverty line in India:

- **Targeted interventions**: The poverty line serves as a crucial tool in identifying and targeting a population that is needy and deprived. By identifying those in need, the government can direct resources towards issues such as education, health, and sanitation. This ensures a targeted approach to poverty alleviation and also leads to efficient utilization of public resources.
- **Monitoring progress**: Identifying the number of people living above and below the poverty line helps us monitor our progress over the years. It enables the analysis of the impact of government interventions and policies at the ground level and ensures adjustment if needed. This fosters accountability and transparency in the fight against poverty.
- **International comparisons**: The poverty line can help us in comparing our performance with that of other developed nations, even though there might be a few regional aspects to be considered. Such comparisons allow us to learn the best practices from other nations and also engage in the global fight against poverty.

Challenges in the estimation of the poverty line in India:

- **Multidimensionality**: Poverty is a complex and multidimensional subject that goes far beyond income levels. Inclusion of non-consumption-based aspects of poverty, such as health, education, and sanitation, is difficult as these are not quantifiable and vary from person to person.
- **Dynamic needs**: A static threshold may fail to capture the dynamic environmental changes, such as inflation, consumption patterns, and fluctuation in income levels. The poverty line should be regularly updated to stay relevant.
- **Data availability**: The unavailability of accurate data poses a challenge in poverty line estimation. Collection of data from such a vast country can be difficult and expensive.
- **Subjectivity**: Determining a minimum threshold for poverty varies in different social and cultural contexts. Even in India, poverty line estimation varies among states. This poses a challenge as it becomes difficult to consider numerous aspects and it also reduces the comparability of various poverty lines.

Impact of choice of poverty line:

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- **Headcount ratio**: A higher poverty line shows a lower headcount ratio, which may potentially fail to show the true extent of poverty. A lower poverty line shows a high headcount ratio, which may lead to misallocation of resources.
- **Allocation of resources**: Poverty lines need to be accurate as they impact the allocation of resources among the people. An inaccurate poverty line may deprive those who need support and may affect the efficiency of resource allocation.
- **Effectiveness of policies**: The process of policy formulation depends on the data on the poverty line to identify targeted beneficiaries of various social schemes. Misleading poverty estimates may lead to ineffective policy interventions.
- **Building a narrative**: Poverty estimation makes a public perception of social inequality, economic development, and policy effectiveness. It helps raise awareness to address these issues holistically.

The poverty line is a crucial tool in measuring and understanding the extent of poverty in India. Besides its limitations, it offers a diverse perspective to policymakers and helps in addressing issues such as inequality and economic development. To maintain its accuracy, a multidimensional approach should be followed, bringing in other dynamic aspects of economic development.

Second ans: The Poverty Line in India defines the minimum income or consumption level that is deemed necessary to meet the basic necessities of life. It holds paramount importance in addressing socioeconomic disparities. This critical tool, however, faces complexities in its estimation, influencing the nuanced measurement and understanding of poverty.

Significance:

1. **Measurement of Poverty**: The poverty line serves as a standard for measuring and quantifying the extent of poverty in India. It helps in estimating the percentage of the population living below the poverty line, which is crucial for policy planning and implementation.
2. **Targeting Welfare Programs**: Government welfare programs often use the poverty line as a criterion for identifying beneficiaries. By establishing a threshold, authorities can target specific segments of the population that require assistance, such as subsidies, food support, and financial aid.
3. **Policy Formulation and Evaluation**: The poverty line is essential for formulating and evaluating socio-economic policies, as well as for allocating resources to address poverty. It provides policymakers with insights into the effectiveness of poverty alleviation programs and helps in designing targeted interventions to address the needs of the poor.
4. **International Comparisons**: The poverty line facilitates international comparisons of poverty rates and economic development. It allows India to assess its progress relative to other nations and participate in global discussions on poverty eradication.

Challenges:

1. **Regional Disparities and Cost of Living Variations**: The diversity of living conditions in India, including significant regional and rural-urban disparities, poses a challenge in establishing a uniform poverty line that accurately reflects the varying cost of living across different areas.

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2. **Inflation and Price Fluctuations Impact**: Inflation and fluctuations in prices affect the cost of the basket of goods and services used to determine the poverty line.
3. **Non-Monetary Dimensions of Poverty**: Defining poverty based solely on income may overlook crucial non-monetary aspects, such as access to education, healthcare, and basic amenities.
4. **Quality of Data and Informal Economy:** The accuracy of poverty estimates relies on the quality of data, and issues such as underreporting of income, data collection errors, and the prevalence of the informal economy make it challenging to obtain precise and reliable information on income levels.

Impact of choice of poverty line on Poverty Measurement and Understanding:

1. **Magnitude of Poverty**: The specific threshold chosen for the poverty line directly affects the number of people classified as poor. A higher poverty line would result in a lower percentage of the population considered poor, while a lower threshold would yield a higher poverty rate.

2. **Policy Targeting and Resource Allocation**: The chosen poverty line is crucial for targeting government welfare programs. If the poverty line is set too high, some genuinely needy individuals may be excluded from assistance. Conversely, if it is set too low, resources may be misallocated, benefiting individuals who may not be in dire need.

3. **Regional Disparities**: India has diverse living conditions and cost structures across regions. The choice of a uniform poverty line may not accurately reflect these regional variations. Setting region-specific or state-specific poverty lines could provide a more nuanced understanding of poverty across the country.

4. **Urban-Rural Dynamics**: Urban and rural areas have distinct living costs, and a uniform poverty line may not adequately capture these differences. Tailoring poverty lines to urban and rural contexts separately provides a more accurate depiction of poverty in these diverse settings.

In conclusion, the Poverty Line in India is a pivotal tool for measuring, addressing disparities, and guiding policy. Despite its significance, challenges like regional disparities and data quality complicate its estimation. The choice of poverty line significantly impacts measurements, influencing the magnitude of poverty, resource allocation, and understanding of poverty across diverse contexts, necessitating a nuanced approach for more effective poverty eradication strategies.

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6. Evaluate the role of government interventions in poverty alleviation, focusing on specific schemes and their effectiveness in addressing the multidimensional aspects of poverty. (600 words)

First ans: “Overcoming poverty is not a gesture of charity; it is an act of justice” – Nelson Mandela. Poverty refers to a state where people or communities lack sufficient resources to live a standard life with dignity. It goes beyond the limited scope of income and covers multiple aspects such as health, education, and sanitation. These dimensions are interconnected and need to be addressed holistically.

The Government of India (GoI) has attempted to tackle poverty and its various dimensions through multiple schemes targeting these areas. Some of these initiatives are discussed below:

1. **Limited income**: The underprivileged sections lack financial resources, which limits their ability to access other basic services such as education and sanitation. The GoI has launched many initiatives to tackle the issue:

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- PM Kaushal Vikas Yojana (PMKVY): It is a youth training program, focusing on the skill development of fresh entrants in the labour market. It aims to provide them with a standardized skill set, making them work-ready.
- PM Jan Dhan Yojana (PMJDY): Launched in 2014, the scheme focuses on the financial inclusion of the poor, by including them under the umbrella of the financial sector. It aims to provide banking and insurance facilities to the unbanked population, enabling them to be financially included.
- MGNREGA: A flagship scheme of the Ministry of Rural Development, the scheme tackles the issue of rural unemployment by providing 100 days of guaranteed employment in a year to the unemployed people of rural areas.

2. **Hunger, health, and malnutrition**: Hunger is the most prominent aspect of poverty globally. People lack resources to afford sufficient and nutritious food, negatively affecting their health and productivity. Some government initiatives to tack the issue include:

- PM POSHAN: Previously called the mid-day meal scheme, PM POSHAN (Poshan Shakti Nirman) is a scheme designed to improve the nutritional standing of children nationwide by providing nutritious food for free in government schools.
- PMGKY: PM Garib Kalyan Anna Yojana (PMGKY) provides free food grains to beneficiaries under the National Food Safety Act (NFSA). The scheme was recently extended for five years highlighting its effectiveness.
- Jal Jeevan Mission: Jal Jeevan Mission is envisioned to provide safe and adequate drinking water through individual household tap connections by 2024 to all households in rural India. The scheme has successfully provided tap-water connections to more than 19 crore rural households.

3. **Education**: Lack of financial resources restricts the poor from accessing quality education and improving their lives. Some government initiatives in this regard include:

- Sarva Shiksha Abhiyan (SSA): Launched after the 86th constitutional amendment, SSA aims to attain universal elementary education (UEE) by providing relevant education to children in 6-14 age groups.
- National Education Policy (NEP): The NEP 2020 was launched to make education easier and to ensure a holistic development of children, instead of promoting rote learning.

4. **Social exclusion**: Poverty intersects with other social ills, such as discrimination and exclusion. To tackle the issue, GoI has launched:

- PM Janjanti Adivasi Nyay Maha Abhiyan (PM JANMAN): This recently launched initiative of the government aims to uplift the particularly vulnerable tribal groups (PVTGs) and bring them to the mainstream.
- Eklavya Model Residential Schools (EMRS): Eklavya Model Residential schools aim to promote education, especially for the marginal section of the society, i.e. the ST community.
- PM SVANIDHI: It aims to provide microfinance facilities to street vendors affected during the pandemic. The scheme aims to formalize the street vendors and open up new opportunities for this sector to move up the economic ladder.

According to the Global Multidimensional Poverty Index (MPI) 2023 by the UN, 415 million people moved out of poverty in India in 15 years. Rapid economic growth and the use of technology for social sector programs have

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helped make a significant dent in extreme poverty in the country. Despite the achievements, a huge portion of our population lives below poverty.

Poverty in India can be effectively eradicated with the active engagement of the poor in the process. Encouraging participation not only enforces empowerment but also helps in the creation of employment opportunities, leading to new avenues of income generation and skill development. Poverty is a complex phenomenon, which requires a more comprehensive approach for its effective alleviation

Second ans: In a world marked by disparities and inequities, the pursuit of eradicating poverty stands as a cornerstone of societal progress. According to the global multidimensional poverty index MPI (2023), a total of 415 million people moved out of poverty in India within just 15 years from 2005/2006 to 2019/2021.Indian Government had implemented various schemes for poverty alleviation in order to deal with various aspects of poverty.

A) **Health Dimension**: Government tried to ensure access to quality health care, sanitation and overall well being of the communities. Various government schemes were implemented for this purpose.

- Pradhan Mantri Jan Arogya Yojna: PMJAY is the world largest health assurance scheme, aims at providing a health cover of Rs. 5 lakh per family per year for secondary and tertiary care hospitalization to poor and vulnerable families. The benefit of 5 lakh is provided on floater basis that is the fund can be utilized for one member or all the members. It covers medical procedures including oncology, cardiology, nephrology etc and up to three days of pre-hospitalization and 15 days post-hospitalization expenses like diagnostics and medicines are also included in the scheme.
- Jal Jeevan Mission: Jal Jeevan Mission, is envisioned to provide safe and adequate drinking water through individual household tap connections by 2024 to all households in rural India. The programme will also implement source sustainability measures as mandatory elements, such as recharge and reuse through grey water management, water conservation, rain water harvesting. Around 13.70 Cr rural households have received tap water connections.
- Swach Bharat Mission: It is world's largest sanitation initiative was launched by the Prime Minister of India in 2014 to achieve an Open Defecation Free India as a tribute to Mahatma Gandhi. The programme led to the construction of over 10 crore individual household toilets, taking sanitation coverage from 39% in 2014 to 100% in 2019 when around 6 lakh villages declared themselves Open Defecation Free (ODF).

B**) Nutrional Dimension**: Consumption of proper nutritional food is extremely important for the growth and development of human beings. Indian government through the below mentioned schemes tried to ensure the availability of nutritious food to the people so that they are able to overcome this dimension of multidimensional poverty.

- Pradhan Mantri Garib Kalyan Anna Yojna: The PMGKAY was first introduced in 2020 during the Covid-19 pandemic, and was designed to provide 5kg free foodgrains to eligible ration card holders under the National Food Security Act, 2013 (NFSA). The scheme was extended till December 2023 and then it has been extended for an additional five years. Since its inception, the government has allocated 1,118 lakh metric tonnes of foodgrains from its central procurement pool at a cost of Rs 3.9 lakh crore.

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- Anganwadi services under the Integrated Child Development System: This scheme is important for early childhood development. The beneficiaries under the Scheme are children in the age group of 0-6 years, pregnant women and lactating mothers. It provides a package of six services namely supplementary nutrition, nutrition & health education, immunization and referral services.
- The Targeted Public Distribution System (TPDS) was introduced in 1997 and under this scheme special cards were issued to families below the poverty line (known as BPL households) and food grains were distributed at a lower price for these families compared to those above the poverty line (known as aPL households).

c) **Educational dimension**: The lack of education is both the cause and effect of poverty. Education is one of the basic needs of each and every individual. Government has tried to implement schemes which will not only prioritize education but will also educate people with various skills in order to align them with the skill sets required for job.

- Pradhan Mantri Kaushal Vikas Yojna:This scheme mainly targeted to provide on-job training to the youths to align their skill set with the requirement of the industry.This scheme was implemented mainly to reduce unemployment thereby reducing the intensity of poverty due to unemployment.
- PM SHRI School is a centrally sponsored scheme initiated by the Government of India. The scheme aims to develop over 14,500 schools managed by the Central Government/State/UT Government/local bodies including KVS (Kendriya Vidyalaya Sangathan) and NVS (Navodaya Vidyalaya Samiti).

D) **Living Standards**: Availability of proper facilities like electricity, housing, drinking water, sanitation, cooking fuel etc.

- PM-Ujjwala Yojna: Ministry of Petroleum and Natural Gas (MOPNG), introduced the 'Pradhan Mantri Ujjwala Yojana' (PMUY) as a flagship scheme with an objective to make clean cooking fuel such as LPG available to the rural and deprived households which were otherwise using traditional cooking fuels such as firewood, coal, cow-dung cakes etc. Usage of traditional cooking fuels had detrimental impacts on the health of rural women as well as on the environment. The active domestic LPG consumers have increased from 14.52 crore in April 2014 to 31.4 crore as of March 2023 which is really a great achievement.
- Pradhan Mantri Awas Yojna: It is a credit-linked subsidy scheme by the Government of India to facilitate access to affordable housing for the low and moderate-income residents of the country. 21.3 million houses have been constructed under this scheme.

The above schemes depicts the remarkable initiatives by the government of India for the purpose of poverty alleviation but India has still a long way to completely eradicate the clutches of poverty so that there is no more inequality among the people on monetary basis and each and every individual is able to lead a decent life.

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7. Discuss the challenges faced by India in addressing unemployment and outline potential strategies for the future. (400 words)

First ans: Unemployment is a state when an individual who is not employed and is seeking employment, cannot find work. Sustainable Development Goal 8 specifically focuses on "Decent Work and Economic Growth". According to Periodic Labor force Survey the unemployment rate of rural population of India is about 4.4% while

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that of urban population is 7%. India faces several challenges in tackling unemployment, and addressing these challenges requires a comprehensive and multi-faceted approach. Some key challenges include:

1. **Population Growth**: India has a large and growing population, leading to a substantial labor force. Managing this demographic dividend poses a challenge as job creation needs to keep pace with the increasing number of entrants into the job market.
2. **Skill Mismatch**: There is often a gap between the skills possessed by the workforce and the skills demanded by the job market. This mismatch makes it difficult for individuals to find suitable employment and for employers to find adequately skilled workers.
3. **Informal Sector Dominance**: A significant portion of the Indian workforce is employed in the informal sector, characterized by low wages, lack of job security, and limited access to social benefits. Formalizing and improving conditions in the informal sector is a challenge.
4. **Education Quality**: Despite progress, there are still challenges in the education system, including a need for improvements in both quantity and quality. Enhancing the quality of education and aligning it with the needs of the job market can contribute to better employability.
5. **Technology Disruption**: Automation and technological advancements are changing the nature of work, potentially leading to job displacement in certain sectors. Preparing the workforce for the demands of the digital economy is crucial.
6. **Infrastructure Deficiencies**: Inadequate infrastructure, including transportation and basic amenities, can limit economic activities and hinder job creation in certain regions.

Here are some of the plausible strategies on how to reduce unemployment in India:

a) Promoting skill development and vocational training.
b) Encouraging entrepreneurship and startups.
c) Strengthening the manufacturing and industrial sectors.
d) Enhancing rural employment opportunities.
e) Encouraging public-private partnerships (PPP).
f) Harnessing the potential of digitalization and technology.
g) Strengthening education and industry collaboration.

Addressing unemployment in India requires a comprehensive strategy that includes education and skill development, labor market reforms, sectoral growth, and targeted efforts to bridge regional and demographic disparities. Additionally, fostering a conducive environment for entrepreneurship and innovation is crucial for creating sustainable employment opportunities.

Second ans: Great Indian economist and Nobel laureate, Amartya Sen, once told, “Youth without employment is like a mind without books. An education without a job is like a house without doors.”- through this sentence he effectively signified the essence and critical importance of employment in the progress of the overall society which will build nation. The problem of unemployment is not a single matrix problem rather than it’s a multidimensional issue.

Challenges faced by India in addressing unemployment-

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1. **Demographic paradox**: India is the nation of young population but can turn into a demographic nightmare if not being taken care effectively. The Centre for monitoring Indian economy (CMIE) reported that India's unemployment has been stood 7.8% in December 2023 which clearly red flags the gravity of the alarming situation.
2. **Improper skill set**: Every year a massive chunk of graduates tries to look forward in the job market although they lack the requisite skill set according to the need of the current dynamic job market which leads to underemployment and wasted potential.
3. **Dominance of the informal sector**: where the formal sector is unable to produce enough jobs for the youth, the informal sector absorbs a majority of the workforce, but they do not have social security, adequate wage opportunities, growth opportunities etc.
4. **Scar of the Pandemic**: Global economic slowdown and pandemic like covid-19 also caused a major amount of job losses across the nation. The international labor organization estimated that approximately 112 million jobs were lost due to this.

Strategies for a positive and bright future-

1. **Culture of entrepreneurship**: developing the culture of entrepreneurship can create new jobs and empower individuals. Government is also trying to foster this through various initiatives like: Pradhan Mantri mudra yojana, skill India mission etc.
2. **Restructuring the informal sector**: integration of the informal sector into the formal sector will improve working conditions, social security and growth opportunities.
3. **Technological advancement**: technology is the backbone of progress, so skill upgradation is the only key to match the frequency of new youth with technological advancement.

In conclusion, unemployment is one of the major problems which hinders the progress of a nation. As a progressive country like India, unemployment challenge requires a comprehensive and collaborative approach which will lead to a better economic growth and foster a better future.

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8. Discuss the significance of the informal sector in India's employment landscape and its role in absorbing labor. (400 words)

First ans: The Indian labour market is characterized by predominance of informal employment with more than 90 per cent of India's informal workforce working as self-employed and casual workers. The worrying trend is the increasing rate of informal employment even in the organized sector. However, even though a large number of populations being employed in the informal sector is alarming, it is also a boon for the country's economy. The reasons for the same have been discussed below:

1. **Providing livelihood to millions:** The informal sectors contribute by providing employment opportunities to millions of people in our country. This dilutes the adverse impact of very high unemployment rate and helps those employed in the informal sector to face economic downturns.
2. **Contribution to GDP:** Informal sector contributes around 40-50% to India's GDP. This is a significant percentage and it helps uplift standard of living of poor population engaging in informal work. It helps in increasing consumption, fuelling economic growth and thereby contributing positively to the GDP of the

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nation. The government pushes towards the theme "Vocal for Local" in order to boost the confidence of those employed in the informal sector.

3. **Self-Reliance:** Those engaged in the informal sector often contribute to the society by becoming small scale entrepreneurs. They have low capital investment and experiment with local ideas and creativity and contribute in the "Make in India" concept. For the upliftment of local traders, government has come with various schemes, one of which is Pradhan Mantri Street Vendors' Atmanirbhar Nidhi which provides collateral free working capital loan in three tranches of Rs. 10,000, Rs. 20,000 and Rs. 50,000 respectively.
4. **Inclusion of women:** Informal sector boosts the confidence of women and other deprived communities by giving them opportunity to work in the informal job sector which would have been difficult in case of formal sector jobs due to societal constraints and family pressure.
5. **Vital distribution medium**: Informal workforce acts as a bridge between the informal and formal supply chains. They get easily integrated and provide essential components and services to the large enterprises thereby being a helping hand in the interconnected global economy.

Way Forward: Informal sector contributes in multiple ways in enhancing the economy's growth story. They get easily integrated into the system and foster innovation, creativity by providing local solutions to ever evolving dynamic world. Thus, we can say that they easily absorb labour and help in strengthening the path for prosperity of the entire nation.

Second ans: The informal sector consists of unregistered and small, unincorporated private enterprises engaged, at least partly, in producing goods and services. This sector of economy is not covered under formal arrangements but contributes 80% of total employment. In India, E-Shram portal has been developed to capture the data of unorganised workers and to facilitate delivery of welfare and targeted schemes to such workers. More than 29 crore workers have been registered under this portal.

Informal sector plays a crucial role in our economy by promoting self sufficiency. It absorbs a large workforce of our country as there is no entry and exit specified laws and rules for that.

It plays significant role in absorbing labour which is discussed as below:

1. Informal sector Provide services or goods that are desired by the general public but not sanctioned by the government thus it gives a boost to employment in the economy.
2. Informal sector also has more social impact on the local people as it tends to preserve the local culture of the particular region.
3. Easy entry in the informal sector provides opportunities to job seekers especially the unskilled and semi skilled ones.
4. Informal sector also provides opportunities to women who cannot work in formal sector because of their obligations thus it helps in making them financially independent.
5. Direct interaction with employer enables informal employees to get feedback instantly about their productivity and hence they are able to make changes in their tasks quickly.

The informal sector plays an important and controversial role. It provides jobs and reduces unemployment and underemployment, but in many cases the jobs are low-paid and the job security is poor. It bolsters entrepreneurial activity, and helps in alleviating poverty, but in many cases informal sector jobs are low-paid and the job security is

poor. Therefore it comes with both pros and cons. The informal sector has the ability to promote inclusive growth as women find easier to get themselves employed in informal sector. By providing income and social safety net to huge section of population of our country, informal sector plays its significant part in making India realize its full economic potential.

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9. Analyze India's progress towards achieving SDGs, highlighting successes and challenges. (600 words)

First ans: In 2015, the United Nations General Assembly adopted **Agenda 2030**, known as the Sustainable Development Goals (SDGs). 193 countries, including India, committed to these 17 goals targeting inclusive and sustainable growth, leaving no one behind. India plays a huge role in reaching these goals as it is home to about 17% of the world's population.

India's pursuit of the SDGs, the ambitious roadmap for a better future, presents a complex narrative. As India has leaped forward in many areas, there have also been significant obstacles in its way. India's ambitious journey on its way to achieving these goals is discussed below:

India's successes:

- **No poverty (SDG-1):** India has seen remarkable progress in the reduction of poverty. According to the MPI index by NITI Aayog, the MPI value of India nearly halved between 2015-20, with more than 13.5 crore Indians escaping multidimensional poverty in five years. Various poverty alleviation schemes such as Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGA), Pradhan Mantri Jan Dhan Yojana (PMJDY) have played pivotal role in poverty alleviation and financial inclusion. Other schemes such as 'Housing for All' and 'Ujjwala scheme' have also addressed the vital needs of poor by providing them with housing support and better ways of cooking respectively.
- **Zero Hunger (SDG-2):** India's progress in reducing hunger and malnutrition can be seen with a steady decline in the prevalence of undernourishment. The National Food Security Act (NFSA) has played a significant role. Pradhan Mantri Gareeb Kalyan Yojana (PMGKY), which was launched to provide the food security to the beneficiaries of National Food Security Act-2013, has helped in achieving the zero-hunger dream of India. It will provide free food grains to 67 percentage of Indian population (more than 81 crores). This scheme has recently been extended for 5 more years.
- **Good health and well-being (SDG-3)**: Maternal and child health has shown significant progress, with mortality ratios showing a steady decline. This signifies advancements in the healthcare sector and increased access to essential services.
- **Quality education (SDG-4)**: Education levels have seen a notable surge, with primary enrollment rates reaching impressive levels. Initiatives such as Sarva Shiksha Abhiyan play a huge role in improving the prevalence of quality education.
- **Gender equality (SDG-5)**: While the fight for gender inequality is far from over, India has shown some progress in this area, with an improvement in the sex ratio at birth. Policies such as Beti Bachao Beti Padhao contributed to this remarkable shift. The introduction of additional seats in Indian Institute of Technology (IITs) and preferences given to women for increasing their participation in Indian Institute of Management (IIMs) are indications of our efforts towards a inclusive system having gender equality. Recently passed Women

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Reservation Bill in Lok Sabha, which envisages to provide 33.33 percentage reserved seats for women in Lok Sabha and other state legislative assemblies, is also trying to achieve gender equality in political domain.

Despite huge progress, there remain multiple challenges in India's way. According to **the Global SDG Index 2023**, India is on track with only two goals- SDG 1 (No Poverty) and SDG 12 (Responsible Consumption and Production), while the progress in other goals has either declined or remained stagnant. Some of the challenges faced by India are discussed below:

- **Malnutrition and anemia**: Despite strides in hunger reduction, malnutrition and anemia pose significant challenges for India. To address the nutritional deficiencies of the people, it is important to make robust interventions through policies tackling specific needs.
- **Population of India** is increasing at a unprecedented rate. With above 140 crores population, it is world's most populous country now. Addressing hunger needs and eliminating poverty from such a large country is itself a big challenge.
- **Enduring gender inequities**: Child marriage and gender-based violence act as stark reminders of our unfinished agenda on gender equality. To bring a change, we need strict regulations, raising awareness of the public, and empowering women through various initiatives.
- **Environmental degradation**: The intensity of environmental degradation is large, with climate change and pollution posing serious threats to sustainable development. The need of the hour is the implementation of stringent norms, promoting renewable energy, and ensuring sustainable development.
- **Regional disparities**: The progress in SDG goals is not equally distributed across regions. This encourages non-inclusive growth. To bridge the gap it is important to come up with policies that target specific demographic needs of different regions.
- **Unfulfilled basic needs**: A majority of our population is deprived of necessities such as sanitation, electricity, and clean water. To address the issue it is important to focus on infrastructural development and ensure that the benefits of progress are equitably distributed among the masses.
- **Off-track indicators**: A recent analysis by The Lancet indicated that India is not on track in 19 out of 33 SDG indicators. Prioritizing these lagging areas and ensuring targeted policy measures is crucial.
- **Slow Progress**: India ranks 120 out of 165 countries on the SDG Index globally, and the work done thus far-even though impressive-is not sufficient enough to meet the 2030 SDG goals
- **Financing Headwinds**: Achieving all the SDG goals is a capital intensive activity and India with its ever increasing population faces immense challenges into fund allocation. Private funding complemented with MDB funding is the need of the hour.

India's journey towards achieving SDGs is a testament to its commitment to a sustainable future. However, ongoing challenges necessitate a multi-pronged approach. Stringent policies and targeted interventions are crucial for accelerating progress. It is important to leverage technology, embrace innovation, and encourage Public-Private partnership models to further bridge the gaps. Ultimately, SDGs require sustained efforts and commitment towards a better future.

Second ans: Sustainable development is a kind of development where the needs of present generation are met without compromising the ability of the future generations to meet their own needs. Sustainable Development Goals (SDGs) are the set of 17 interconnected goals with 169 targets, which all the 193 United nations member

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countries have committed to achieve by 2030. SDGs widely focus on eliminating poverty, reducing inequalities along with environmental stewardship and economic growth.

India's progress in achieving SDGs along with successes achieved by it are as follows:

SDG-1: No poverty: India's progress in achieving SDG-1, that is 'eliminating poverty in all its forms form everywhere', can be gauzed from the fact that Indian government has been able to lift 415 million people out of poverty within just 15 years from 2005-06 to 2019-2020. Various poverty alleviation schemes such as Mahatma Gandhi National Rural Employment Guarantee Scheme (MGNREGA), Pradhan Mantri Jan Dhan Yojana (PMJDY) have played pivotal role in poverty alleviation and financial inclusion. Other schemes such as 'Housing for All' and 'Ujjwala scheme' have also addressed the vital needs of poor by providing them with housing support and better ways of cooking respectively.

SDG-2: Zero Hunger: As we know that SDGs are interconnected in nature and hence any effort to reduce poverty will also lead to reducing hunger. Pradhan Mantri Gareeb Kalyan Yojana (PMGKY), which was launched to provide the food security to the beneficiaries of National Food Security Act-2013, has helped in achieving the zero-hunger dream of India. It will provide free food grains to 67 percentage of Indian population (more than 81 crores). This scheme has recently been extended for 5 more years.

SDG-3: Good Health and Wellbeing: Indian government is striving to provide good health and wellbeing to Indian citizens by launching various schemes such as Ayushman Bharat yojana and National Health Mission. India's ambitious aim of reducing maternal mortality rate to 1 per thousand and infant mortality rate to 25 per thousand reveals its dedication towards achieving SDG-3.

SDG-5: Gender equality: India has made many efforts to enhance gender equality and women participation in various sectors of economy. The introduction of additional seats in Indian Institute of Technology (IITs) and preferences given to women for increasing their participation in Indian Institute of Management (IIMs) are indications of our efforts towards a inclusive system having gender equality. Recently passed Women Reservation Bill in Lok Sabha, which envisages to provide 33.33 percentage reserved seats for women in Lok Sabha and other state legislative assemblies, is also trying to achieve gender equality in political domain.

SDG-13: Climate Action: India is committed towards achieving net zero target by 2070. It has taken various steps for eliminating green house gas emissions, reducing waste, and increasing climate resilience. GOBARDHAN scheme was launched by the government of India for cleaning biowaste and converting it into wealth (energy). Other schemes such as Sustainable Alternative towards Affordable Transportation (SATAT) and National Green Hydrogen Mission has been launched to prevent the climate from harmful effects of fossil fuels.

Challenges faced by India in achieving SDGs:

- Population of India is increasing at a unprecedented rate. With above 140 crores population, it is world's most populous country now. Addressing hunger needs and eliminating poverty from such a large country is itself a big challenge.
- Despite various efforts made by government towards making health resilient economy, National Family Health Survey 2019-21 reveals that 35 percentage of children were stunted and 57 percentage of women and 25 percentage of men were anaemic.

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- According to a report by Transforming Rural India Foundation (TRIF), more than 68 percentage of marginal farmers still depend on other sources to supplement their income. It signifies the lack of income and poor living conditions prevailing among the marginal farmers.
- Despite making various efforts for climate actions, the devastating effects of climate change in form of unseasonal weather patterns are prevalent in India, as can be evident from recent floods and earthquakes in north and north-east regions of the country.
- As per the soil health survey of 2023, almost half of the cultivatable lands in India has become deficient in organic carbon which is an essential soil health indicator.

In summary, we can say that India has achieved the significant progress in achieving the SDGs by eliminating poverty to the large extent, reducing hunger and providing better health infrastructure and gender equality. However, considering the size of Indian economy, more needs to be done to avoid the impacts of climate change.

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10. Assess the government's efforts to promote gender equality and empower women, as per SDG 5, and discuss the impact on socio-economic development. (600 words)

First ans: Sustainable development goal (SDG) 5 talks about gender equality and women empowerment. Government plays a crucial role in promoting gender equality and empowering women, acknowledging that these efforts are not only morally imperative but also essential for sustainable socio-economic developments. Government has implemented various policies and initiatives aimed at addressing gender disparities and promoting equal opportunities for women:

- **Women's reservation bill (2023)**: Parliament has passed the bill which reserves 33% of seats in lok sabha and state assemblies for women. This women's reservation bill is a major step forward in this direction of gender equality and empowering women.
- **Gender budget statement from 2005**: The gender budget is an exercise that applies a gendered-lens to the allocation and tracking of public funds. But, the allocation to gender budgets in India as a proportion of the Union budget has remained constant ranging from only 3-6% of the union budget.
- **Beti Bachao Beti Padhao (BBBP)**: this scheme was launched in 2015 to address the issue of decline in child sex ratio and to educate citizens against gender bias and improve the efficacy of welfare services for girls.
- **Pradhan Mantri Ujjwala Yojna**: The scheme aims to provide women with a clean cooking fuel resulting into improved health and cleaner environment. As of 2023, almost 10 crore LPG connections have been given to women below poverty line.
- **Procurement quota for MSE (Micro and small enterprises)**: procurement for MSEs led by women has been increased to encourage women participation in the workforce.
- **Standup India loan scheme**: It is a funding program that offers loans between 10 lakhs to 1 crore to at least one Scheduled Cast or Scheduled Tribe and one woman borrower per bank branch for setting a greenfield enterprise in manufacturing, services, trading or agri allied activities.

As a result of these steps, India has made significant progress in closing the gender gap, ranking 127th of 146 countries in global gender gap report by world economic forum in 2023. A significant progress is seen in the last 15 years. These efforts have resulted in the increased participation of women in the workforce. Education is a powerful tool for empowering women enabling them to make informed decisions in their lives. As women gain

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access to education and skill development programs, they are better equipped to contribute meaningfully to the society. Increased women's representation in leadership roles will have positive impact on policy formation tending to be more inclusive and responsive to the needs of the entire population. It will also encourage other women to come forward and take up more responsibilities. By breaking down barriers and providing equal opportunities, government contributes to the economic empowerment of women. It enhances not only individual well-being but overall growth as well.

Gender equality is one of the prime agendas of Sustainable development goals. Governments efforts to promote gender equality and empower women, as outlined by SDG 5, have a profound impact on the socio-economic development of the country. By breaking down barriers and fostering inclusivity, these initiatives contribute to a more equitable and prosperous society. However, continued commitment, investment and a holistic approach are needed to overcome the challenges like societal norms and stereotypes and to provide gender equality benefits to all.

Second ans: Sustainable Development Goals (SDGs)are a set of 17 Global Goals that were adopted to act as a blueprint for a future that is sustainable. These were established by United Nations in 2015 as part of the 2030 Agenda for Sustainable Development. SDG 5 strives to achieve gender equality and empowerment of all women and girls.

India's efforts to achieve this goal can be seen through the progress in improving gender equality, with the sex ratio at birth increasing from 918 in 2011 to 934 in 2020. The government has taken various initiatives to achieve this goal. These have been discussed below:

1. **Beti Bachao Beti Padhao**: The aim is to address sex selective abortion and declining child sex ratio which was 918 girls for every 1000 boys in 2011. It also ensures education of girl child, survival and protection and protecting rights of girl child.
2. **Sukanya Samriddhi Yojana**: It is a government backed savings scheme that offers a guaranteed interest rate of 8.2%. Parents can open an account for their girl child when she attains the age of 10 with maturity after 21 years. Maximum contribution is up to Rs 1.5 lakh, the account is eligible for tax deduction under Section 80C of the Income Tax Act, 1961.
3. **Stand Up India Scheme**: Launched to promote entrepreneurship at grassroot levels for women and SC/ST. It provides loan for greenfield enterprises in manufacturing, services or trading and agriculture. It facilitates loan between Rs 10 lakh and Rs 100 lakh to at least one SC/ST and at least one women borrower.
4. **The Pradhan Mantri Matru Vandana Yojana (PMMVY:** It is a direct benefit cash transfer scheme designed to help expectant mothers fulfil their increased nutritional needs while compensating them for lost wages while pregnant. It provides financial support to pregnant and lactating mothers to improve their nutritional status and well-being.
5. **Women Reservation Bill:** In September 2023, Women's Reservation Bill or Nari Shakti Vandan Adhiniyam was passed in both Lok Sabha and Rajya Sabha. The bill reserves one-third of the seats in Lok Sabha, State legislative assemblies and the Delhi assembly for women.

The above-mentioned initiatives of the government have helped a lot in the socio-economic development of the country. Its contributions to the economy are manifold. These have been discussed below:

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1. **Contribution to GDP:** Government initiatives have helped in empowering women by providing them equal opportunities at workplace and in business. It helps them to achieve financial independence and it also contributes massively to GDP of the nation.
2. **Empowerment of women:** Women have faced the societal pressures for a very long time. With change in mindset over the past few years, women have been able to showcase their talent and come out of their houses to become financially sound. This empowers them to become successful and set an example for their upcoming generation.
3. **Entrepreneurship**: Schemes like Stand-Up India and Mudra yojana help women to become successful entrepreneurs. The incentives provided by the government acts as a much a needed support for becoming reliable and elevate their position in the society.

Way Forward: Women have a very important role to play in changing the nation. Indian government has introduced several initiatives as discussed above to promote and support women. With these, we strive to achieve SDG-5 and make an ever-lasting impact on the world by making it sustainable and accessible to all.

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11. Climate change threatens our planet's future, but there's still time for adaptation and mitigation. Differentiate between these strategies (adaptation and mitigation) and outline India's initiatives in both areas. (600 words)

First ans: "Climate change refers to a change in the state of the climate that can be identified (e.g., using statistical tests) by changes in the mean and/or the variability of its properties and that persists for an extended period, typically decades or longer. Climate change may be due to natural internal processes or external forcing, or to persistent anthropogenic changes in the composition of the atmosphere or in land use." India is particularly vulnerable to the impacts of climate change due to its geographical location, socioeconomic conditions, and dependence on climate-sensitive sectors such as agriculture. The country faces several threats associated with climate change, and these threats can have far-reaching consequences.

Adaptation to climate change involves taking proactive measures to minimize the risks and maximize the opportunities associated with the changing climate. It is a critical component of a comprehensive strategy to address the impacts of climate change. Adaptation strategies can be implemented at various levels, from individual households to national policies.

Mitigation in the context of climate change refers to actions and strategies aimed at reducing or preventing the emission of greenhouse gases (GHGs) into the atmosphere or enhancing their removal. The goal of mitigation is to limit the extent of global warming and reduce the impacts of climate change. Mitigation efforts can take various forms, and they are crucial in addressing the root causes of climate change.

India, as a developing country and one of the most populous nations globally, faces significant challenges and opportunities in addressing climate change. The country has been actively engaged in both adaptation and mitigation measures to cope with the impacts of climate change and reduce greenhouse gas emissions. Here is an outline of India's efforts in adaptation and mitigation:

Adaptation:

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1. **National Adaptation Fund for Climate Change (NAFCC**): NAFCC was established to finance adaptation projects and programs to reduce vulnerability to climate change.

Key Initiatives: Supporting projects related to water management, agriculture, forestry, and coastal zone management.

2. **State Action Plans on Climate Change (SAPCCs**): States and Union Territories in India have developed SAPCCs to outline region-specific adaptation strategies.

Key Initiatives: Addressing local climate vulnerabilities and enhancing resilience in sectors such as agriculture, water resources, and health.

3. **Coastal Zone Management**: Addressing the vulnerability of coastal regions to sea-level rise, storms, and other climate-related impacts.

Key Initiatives: Implementing sustainable coastal development projects, afforestation, and early warning systems for cyclones.

4. **National Water Mission**: Focused on sustainable water management and ensuring water security in the face of changing climate patterns.

Key Initiatives: Promoting efficient water use, rainwater harvesting, and improving water-use efficiency in various sectors.

5. **Himalayan Ecosystem Conservation**: Recognizing the vulnerability of the Himalayan region to climate change and the potential impacts on water resources.

Key Initiatives: Implementing projects for sustainable forest management, biodiversity conservation, and community-based adaptation.

Mitigation:

1. **National Action Plan on Climate Change (NAPCC):** Outlines India's strategy for both adaptation and mitigation, with a focus on eight national missions.

Key Initiatives: Includes the National Solar Mission, National Mission for Enhanced Energy Efficiency, and National Mission on Sustainable Agriculture.

2. **Renewable Energy Initiatives**: Promoting the development and use of renewable energy sources to reduce reliance on fossil fuels.

Key Initiatives: National Solar Mission, promoting wind energy, and incentivizing investments in the renewable energy sector.

3. **Energy Efficiency Programs**: Implementing measures to improve energy efficiency across various sectors.

Key Initiatives: Perform, Achieve, and Trade (PAT) scheme for industries, Standards & Labeling program, and the UJALA (Unnat Jyoti by Affordable LEDs for All) scheme.

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4. **Electric Mobility and Public Transportation**: Promoting electric vehicles and sustainable urban mobility to reduce emissions from the transportation sector.

Key Initiatives: Faster Adoption and Manufacturing of Hybrid and Electric Vehicles (FAME) scheme, metro rail projects, and public transportation improvements.

5. **Waste Management and Recycling**: Implementing waste management practices to reduce methane emissions from landfills.

Key Initiatives: Swachh Bharat Abhiyan, promoting waste-to-energy projects, and encouraging recycling.

India's approach to climate change involves a combination of policy frameworks, institutional mechanisms, and on-the-ground initiatives to address both adaptation and mitigation. The country's efforts aim to balance economic development with environmental sustainability while considering the needs of vulnerable communities. Ongoing international collaboration and technological advancements play a crucial role in India's journey toward a low-carbon and climate-resilient future.

Second ans: Climate change refers to long-term shifts in temperatures and weather patterns. Such shifts can be natural. But since the 1800s, human drivers have been the major driver of climate change, primarily due to the burning of fossil fuels like coal, oil and gas.

Mitigating climate change means reducing the flow of heat-trapping greenhouse gases into the atmosphere. This involves cutting greenhouse gases from main sources such as power plants, factories, cars, and farms. There are various initiatives by govt. of India to mitigate its impact such as-

a) International Solar Alliance (ISA)- Launched in 2015, it is a solar power development project in collaboration with France. It was formed with solar energy-rich countries to reduce the dependency on non-renewable sources of energy like fossil fuels.
b) Swachh Bharat Mission-Under the initiative, all villages, districts, and gram panchayats in India declared themselves “open defecation free” by 2nd October 2019. The initiative helped build over 100 million toilets in rural India.
c) COP26 Glasgow Summit-Prime Minister of India listed five commitments of India to combat climate change. The announcements were that India will achieve a target of net zero emissions by the year 2070, 50 percent of its energy requirements will be met from renewable sources by 2030, decrease in the total projected carbon emissions by one billion tonnes by 2030, take its non-fossil energy capacity to 500 GW by the end of 2030, and reduce its carbon intensity by more than 45% by 2030.

Adaptation to changing climate involves adjusting to expected future climate. The goal is to reduce our risks from the harmful effects of climate change (like sea-level rise, more intense extreme weather events, or food insecurity). There are various initiatives by govt. of India to adapt to climate change such as-

A) National Adaptation Fund on Climate Change (NAFCC)- The National Adaptation Fund for Climate Change (NAFCC) was established to support adaptation activities in the States and Union Territories (UTs) of India that are vulnerable to the adverse effects of climate change.

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B) National Action Plan on Climate Change- Government is implementing the National Action Plan on Climate Change (NAPCC) with a view to enhance the ecological sustainability of India's development path and address climate change. There are 8 National Missions under it such as-

- National Solar Mission is a major initiative to promote ecologically sustainable growth while addressing India's energy security challenge.
- National Mission for Enhanced Energy Efficiency (NMEEE) seeks to strengthen the market for energy efficiency by creating conducive regulatory and policy regime.
- National Mission on Sustainable Habitat seeks to improve ability of habitats to adapt to climate change by improving resilience of infrastructure.
- National Water Mission (NWM) ensures integrated water resource management for conservation of water, minimization of wastage and equitable distribution.
- National Mission for Sustaining the Himalayan Ecosystem (NMSHE) ensures in developing a sustainable National capacity to continuously assess the health status of the Himalayan Ecosystem.
- National Mission for a Green India focuses on increased forest cover on 5 million hectares of forest/non-forest lands and improved quality of forest cover on another 5 million ha of non-forest/forest lands.
- National Mission for Sustainable Agriculture (NMSA) has identified key dimensions for adaptation such as improved crop seeds, livestock and fish culture, water efficiency, and livelihood diversification.
- The National Mission on Strategic Knowledge for Climate Change (NMSKCC) focuses on the formation of knowledge networks among the existing knowledge institutions engaged in research and development relating to climate science.

India has taken a good number of initiatives in adapting and mitigating climate change. It should also collaborate with other developed nations which possess better technologies to achieve the results sooner.

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12. What are the economical effects of climate change on India? What are the initiatives taken by regulators and other financial institutions to tackle these effects? (600 words)

First ans: Climate change is defined as long term hazardous change in earth's environment and temperature posing irreversible threat to loss of flora, fauna and biodiversity.

Impacts of Climate Change on the Indian Economy:

1. **Impact on employment**: Extreme heat significantly lower the outdoor working capacity of humans, thence India's labor workforce productivity decreases, which lowers industrial yields, decreases exports, lowers national income, and indirectly affects global trade putting at risk country's economic growth. In India, nearly 75% of the labor force is exposed to heat related stress. By 2030, the average loss in daylight working hours could put between 2.5 and 4.5% of GDP at risk annually. According to ILO's 2019 report "working on a warm Planet" India is projected to lose the equivalent of 34 million full time jobs in 2030 due to heat stress with agriculture and construction bearing the brunt.

2. **Energy shortage**: The International Energy Agency (IEA) predicts that India's primary energy consumption will double by 2030. As more infrastructure projects are being taken up, the need for energy is rising like never before.

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Climate and energy have a direct relationship, which means that as temperatures rise, more energy needs to be used to reduce heat effects. Additionally, climate change policies frequently clash with rising energy demands.

3. **Effect on the Structure**: A nation's economy greatly benefits from a sound infrastructure. The infrastructure has been severely impacted by climate change's increase in extreme natural disasters. For instance, India's flood-related economic losses in the past ten years totaled $3 billion, or 10% of the global total.

4. **Effect on agriculture and thus food resulting in lower yield of crops**: Weather patterns may become less predictable as the climate changes. Farmers' decisions regarding which crops to plant and when to plant them are impacted by uncertainty regarding monsoonal changes, which in turn reduces productivity. Additionally, dwindling glaciers and earlier seasonal snowmelt will reduce irrigation-related river flow.

5. **Impact on Primary Sector**: As per McKinsey Global Institute report, reduced fish populations due to rising ocean temperature will affect the livelihood of around 650-800 million people in fisheries industry.

6. **Effect in GDP**: As per Oxford Economics, India's GDP is projected to fall by 90% by 2100 if countries don't work n their climatic policies. India's GDP would have been 2% higher without warming that happened up to 2019.

7. **Effect on the System of Drainage**: India uses the Indo-Gangetic Plain as its "breadbasket" and takes 34% of the water it has available each year. Himalayan glaciers are melting at an ever-increasing rate as a result of rising temperatures and increasing seasonal variability. If the rate goes up, glacial lakes will burst their natural limits, leading to flooding in river valleys fed by these glaciers and decreased flows that will cause a lack of water.

8. **Increasing Inequality**: In India, adaptability varies by state, location, and socioeconomic status. Because they are directly impacted by rising cereal prices and decreasing agricultural wages, low-income families are more susceptible to economic losses caused by climate change. As a result, adapting to climate change may result in reduced economic growth and tighter budgets for those whose resources are limited.

Initiatives taken by regulators and other financial institutions to tackle these effects

1. The International Financial Services Centres Authority (IFSCA) and Climate Policy Initiative - India (CPI) have signed a Memorandum of Understanding (MoU) for mutual assistance and cooperation to increase mobilization of global sustainable capital flows into India.

2. Sovereign Green Bonds, first of its kind fixed income instruments to finance climate related or environmental projects.

3. The Reserve Bank of India "Report On Currency and Finance 2022-23 :Towards A Greener Cleaner India" is one of the most comprehensive attempts by the central regulator to discuss the responsibility of the banking and finance sector to the plethora of challenges posed by the climate emergency. It comes close on the heels of several research and policy initiatives undertaken by the central regulator in order to assess and expand the banking sector's capacity to respond to climate change engendered financial risks.

4. RBI's 'Climate Risk and Sustainable Finance' report highlighted the significant challenges that Indian commercial banks faced in making their lending practices contribute effectively to the global efforts in addressing the climate crisis.The survey revealed that very few banks included environmental, social, and governance (ESG) criteria as part of the evaluation process for their top management. Additionally, most banks lacked a dedicated department or

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division within their organizational structure to focus on ESG initiatives and sustainable finance. Furthermore, they failed to present a clear strategy for expanding their sustainable finance portfolio or effectively responding to climate risk. Thus, one of the crucial frameworks pertaining to it is green deposits.

There is a growing need to sensitize India's financial sector to the importance and benefits of Green Finance. This can happen through sustained, market-led collaborative actions that accelerate green capital flows, beginning with an agreed definition of Green Finance.

Climate change is one of the most significant challenges defining the 21st century, and ways to deal with it occupy an important space in current policymaking discourse. Central banks in different parts of the world have recently started playing a part in articulating strategies to combat climate change since financing for major projects that affect the environment comes through financial institutions.

Second ans: As per the United Nations, Climate change refers to long-term shifts in temperatures and weather patterns. Such shifts can be natural, due to changes in the sun's activity or large volcanic eruptions. As per the Global Climate Risk Index 2021, India is among the top 10 economies in terms of vulnerability to climate risk events and is already suffering the adverse impact of climate change.

Economic effects of climate change:

Production losses: India is heavily dependent on agriculture. Climate change results in abrupt weather changes, irregular monsoons, extreme conditions like flood and drought, temperature rise, and glacier depletion. All these conditions challenge our agricultural yield and result in loss of crop production.

Impact on livestock and Fisheries sector: An increase in temperature results in a reduction in feed and fodder which is impacting India's livestock population. It also results in higher temperatures of water because of which some species of sea creatures can move to cooler waters. Hence, climate change affects our livestock, dairy, and fisheries sectors.

Health crisis: Climate change results in heat strokes, malnutrition, malaria, dengue, respiratory issues, etc. It impacts the vulnerable section the most, increasing the requirement for medical infrastructure and assistance. It also results in low productivity and wage losses for the laborers.

Infrastructure damage: It is estimated that 3-10 percent of the GDP is lost due to losses to infrastructure from disasters that include disruptions caused to the power sector, damage to airports that affect supply chains, or highways that block the networks, having a larger impact on services.

Water Scarcity: Water is greatly affected by climate change, in recent years, monsoons in India have become more sporadic while also reducing in their length and hence reducing the total precipitation. Also, the meltdown of the Himalayan glacier will result in a flood-like situation first followed by diminished flows. Due to this, North India, the most populated belt of the nation is estimated to face grievous irreversible freshwater scarcity by 2060.

Initiatives taken by regulators and financial institutions:

Carbon Neutrality: To decrease the absolute carbon emissions arising from its operations, one out of 12 public sector banks and two out of 16 private sector banks also announced time-bound plans to become carbon neutral.

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RBI's Initiatives:

•RBI has been providing incentives to banks for lending towards greener industries and projects, by introducing priority sector lending under off-grid renewable energy solutions.

•In April 2021, RBI became part of the global network for greening the financial system (NGFS), which is a network of 114 central banks and financial supervisors.

•RBI has issued sovereign green bonds for mobilizing resources for green infrastructure projects.

•RBI has issued several guidelines to its regulated entities which are a Broad framework for acceptance of Green Deposits, a Disclosure framework on Climate-related Financial Risks, and Guidance on Climate Scenario Analysis and Stress Testing.

MoU between IFSCA and CPI: IFSCA and Climate Policy Initiative - India (CPI) has signed an MoU for mutual assistance and cooperation to increase the mobilization of global sustainable capital flows into India. It aims to support the mobilization of sustainable finance in India. IFSCA can play a critical role in enabling climate investments in India from international sources through the capital markets route.

SEBI has mandated the top 1,000 listed companies by market capitalization to make filings as per the Business Responsibility and Sustainability Reporting from FY23. The key performance indicator in the BRSR Core contains several intensity ratios, such as intensity of greenhouse gas emissions, water consumption, and waste generation to help comparability, irrespective of the size of the company.

Climate change is one of the biggest challenges of our times.RBI estimates up to 4.5 percent of India's GDP could be at risk by 2030, due to lost labor hours from extreme heat and humidity. Building climate resilience, shifting towards environment-friendly solutions, and building disaster-resilient infrastructure are some of the solutions that can help us combat the evident economic, social, and environmental implications of climate change.

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13. What are some important structural reforms that India experienced post Global Financial Crisis? (600 words)

First ans: Structural reforms essentially change the fabric of an economy. These are aimed towards ensuring that an economy is better able and fit to utilize its growth potential. The **Global Financial Crisis (GFC**) of 2008 came as a blow to the Indian economy, exposing its vulnerabilities and the need for deeper structural reforms. While India was significantly less affected by the crisis, it still acted as a wake-up call for tackling long-standing issues in the economy.

Post the GFC, the Government of India (GoI) undertook a wave of structural reforms to pave the way for the nation to grow and stay resilient in the future. These are discussed below.

<u># Measures by GoI:</u>

- **Goods and Services Tax (GST):** GST is an indirect and comprehensive tax levied on all goods and services across the nation. Introduced in 2017 with a vision of 'one nation one tax', GST has contributed towards streamlining taxes and improved transparency efficiency, increasing overall tax collection.

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- **EASE reforms**: Enhanced Access and Service Excellence (EASE) reforms were reforms launched in 2018 by GoI and Public sector banks to foster new-age reforms. It focuses on bringing an exhaustive and all-inclusive revamping, enhancing the PSBs' ability to meet the changing demands of the banking landscape.
- **Liberalization of FDI policies**: To attract foreign investment and boost economic growth, the GoI has progressively liberalized the FDI policies. It has gradually reduced FDI limits in various sectors, encouraging higher levels of foreign participation. This aims to increase capital flow and bring in advanced technologies, enhancing job opportunities.
- The **digitization of the economy**, especially the financial sector, ensures transparency and accountability, promoting resilient growth and technology-driven innovation.

Measures in the financial sector:

- **Financial Stability and Development Council (FSDC):** On the recommendations of the Raghuram Rajan committee, FSDC was established in 2010 to monitor financial risks and market conditions, so that financial risks can be managed through early interventions and situations like GFC can be avoided.
- **Insolvency and Bankruptcy Code (IBC):** IBC is a law introduced in 2016 to constitute a consolidated framework that governs insolvency and bankruptcy procedures of businesses and individuals.
- **NARCL**: National Asset Reconstruction Company Ltd is constructed as a bad bank to absorb the structural NPA in the Indian companies and works at recovering the assets. NARCL consists of an Asset Reconstruction Company (ARC) and an Asset Management Company (AMC).
- **Basel III norms**: As a response to GFC, Basel norms III were introduced to increase the resilience of the global financial sector. RBI has kept the minimum requirement rates a little higher than the global level to ensure a strong financial sector.
- **Flexible inflation targeting:** In 2016, RBI adopted flexible inflation targeting (FIT), aiming to make monetary policy decisions more resilient and relevant.

The post-GFC era pushed a series of structural reforms. Even after much progress, the journey is far from over. A joint committee towards continued reforms, tackling long-standing issues, is required to help India in its journey of fulfilling its potential and becoming a $5 trillion economy by 2025.

Second ans: "ALL BANKS ARE TO BIG TO FAIL" this notion burst when one of the largest banks of the USA collapsed in 2008. The Global Financial Crisis (GFC), also known as Sub-prime loan crisis, refers to period of extreme stress in the US Housing market that originated due to poor credit rating and excessively sub lending by the US banks. The catalysts for the GFC were falling prices of US real estates and a rising number of borrowers who were unable to repay their loans.

Though, Indian financial sector not being deeply integrated with the global financial system was spared in the first-round effect of the GFC. However, as the financial crisis morphed into a full-blown global economic downturn, India could not escape the second round effects.

Various structural reforms taken by the Indian Government are as follows:

BANKING AND FINANCIAL REFORMS:

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1. **Recapitalisation of Banks**: Just after the GFC, Indian government infused money into the financial system to improve the capital and financial health and maintain the trust of the customers on the Indian banks.

2. **Insolvency and Bankruptcy Code (IBC**): This was introduced in 2016 to address the issue of rising NPAs in India. It provides a timely bound procedure for the insolvency of the companies, identifying potential borrowers and the problem of ever-greening of the loans.

3. **EASE Reforms (Enhanced Access and Service Excellence**): It was introduced in 2018 for the new-age reforms for profitability, increasing transparency and accountability, customer services and reviewing asset quality.

4. **PCA Framework (Prompt Corrective Action**): The PCA framework was strengthened in 2017 to address the financial health of the banks. It ensures that the corrective measures are applied when there is any issue in the functioning of any bank. It has three parameters:

- Capital to risk weighted assets
- Net Non-performing assets
- Leverage

5. **Monetary Policy Committee**: RBI along with Indian government, constituted MPC in 2016. It is a flexible inflation targeting framework to maintain reasonable inflation in the country. It aims to balance the economic growth along with price stability.

FISCAL REFORMS:

1. **GST (Goods and Service Tax**): It replaced the complex and fragmented tax structure with a unified taxation system. It aimed at reducing tax evasion and simplifying the tax reforms in the country.
2. **JAM Trinity:** The Jan Dhan accounts were brought to bring the unserved population in the formal financial system. These accounts were then linked to the Aadhar numbers for the identification of the needy ones. All the services were then made available on the mobile for easy availability and feasibility.
3. **DBT (Direct Benefit Transfer**): It was introduced to directly transfer the subsidies into their bank accounts to reduce the leakages and corruption and increase the transparency in the system.

OTHER REFORMS:

1. **BASEL III Norms**: RBI has adopted the Basel III norms to strengthen the risk management and increase capital adequacy ratio to 9% in the Indian banks.
2. **Liberalisation of FDI (Foreign Direct Investment**): The government allowed 100% in various sector to help banks diversify their risk portfolio and not felel burden to provide capital for infrastructure and capital developments.
3. **Real Estate Regulatory Authority (RERA**): To bring transparency and accountability of the real estate projects and protect the interest of home buyers and making a more transparent and reliable market.

GFC was a wake-up call for the global financial system which was plagued by poor regulation and fragile risk management system. This forced all the central banks and governments around the world including India to make their system more robust to such external shocks. Rbi along with Indian government has done commendable job to plug out the leakages by regulations and structural reforms, whenever deemed necessary.

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14. "The post-1991 economic reforms marked a watershed moment in India's economic history." Do you agree with this statement? Justify your answer by discussing the impact of these reforms on various sectors like agriculture, industry, and financial services. (600 words)

First ans: The statement, "The post-1991 economic reforms marked a watershed moment in India's economic history," holds merit as the economic liberalization initiated in 1991 brought about transformative changes across various sectors. These reforms, initiated in response to a severe balance of payments crisis, brought about significant changes in the economic landscape of India especially in sectors like agriculture, industry and financial services.

1. Agriculture Sector:

- **Before 1991**: The agriculture sector in India was characterized by heavy government intervention, rigid controls, and a focus on self-sufficiency. However, these policies led to inefficiencies, stagnation, and a lack of competitiveness.
- **Impact of Reforms**: Post-1991, agricultural reforms aimed at liberalizing the sector, reducing government intervention, and encouraging private investment. The dismantling of the Agricultural Price Commission and reduction of subsidies led to greater market orientation. The introduction of contract farming and the National Agriculture Policy in 2000 further emphasized a shift towards a more market-driven approach.
- **Result**: While challenges persist, these reforms have enabled farmers to access broader markets, diversify crops, and engage in agribusiness. The growth in agri-exports, particularly in horticulture, reflects the positive impact of reforms on the agriculture sector.

2. Industrial Sector:

- **Before 1991**: The industrial sector operated in a controlled and protected environment, with stringent licensing policies and limited foreign participation. This led to inefficiencies, a lack of innovation, and a failure to keep pace with global advancements.
- **Impact of Reforms**: Post-1991, industrial reforms focused on dismantling the License Raj, encouraging foreign direct investment (FDI), and promoting competition. The introduction of the New Industrial Policy and delicensing of several industries opened doors for private players and foreign companies.
- **Result**: The industrial sector witnessed increased competitiveness, efficiency, and innovation. FDI inflows surged, leading to the establishment of joint ventures and collaborations. Sectors like information technology, telecommunications, and pharmaceuticals experienced significant growth, contributing to India's emergence as a global player in these industries.

3. Financial Services Sector:

- **Before 1991**: The financial services sector was characterized by a highly regulated banking system, controlled interest rates, and limited private participation. The lack of competition and innovation stifled the sector's growth.
- **Impact of Reforms**: The post-1991 period brought about extensive reforms in the financial services sector. The Narasimham Committee recommendations paved the way for liberalization, privatization, and globalization.

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This included the entry of private banks, the establishment of asset reconstruction companies, and the introduction of new financial instruments.

- **Result**: The financial services sector underwent a remarkable transformation, with increased competition, efficiency, and financial inclusion. The entry of private banks enhanced customer services, and the stock markets witnessed significant growth. The establishment of the National Stock Exchange (NSE) in 1994 provided a more modern and efficient trading platform, contributing to the development of India's capital markets.

The post-1991 economic reforms undeniably marked a watershed moment in India's economic history, steering the nation away from a restrictive and controlled economic environment towards a more liberalized and globally integrated one. The impact of these reforms on agriculture, industry, and financial services has been profound, fostering greater efficiency, competitiveness, and innovation. While challenges persist, the overall trajectory of India's economic development post-1991 reflects a shift towards a more dynamic and open economy, reinforcing the significance of the reforms in shaping the country's economic landscape.

Second ans: "The post-1991 economic reforms marked a watershed moment in India's economic history." One must agree with this statement as it opened new avenues of growth for the Indian economy.

In the year 1991, Balance of Payment crisis had led to a recession and the need to fulfil structural reforms to get loans from IMF and World Bank served as a catalyst for the government to bring in the economic reforms. It was surely a watershed moment in India's economic history and introduced LIBERALISATION, PRIVATIZATION and GLOBALIZATION in the Indian economy also as LPG Reforms.

Impact of these reforms on Agriculture:-

Positives

The agriculture sector historically rooted in traditional practices, view dismantling of license raj system and reduction of trade barriers. This led to the increased investment, technological infusion and market driven agriculture practices. The whole system became more transparent than before. India first became self-sufficient in agriculture produce and then with the passage of time, it also started exporting various products thus contributing positively in balance of payments. Introduction of contract farming and establishment of agroprocessing industries marked an era of diversification.

Negatives

The impact of these reforms was not holistic and inclusive. The small and marginal farmers did not get much benefits as compared to apparent benefits at macro-level. Balancing growth with equity is imperative, and targeted interventions for marginalized farmers become central to achieving sustainable agriculture growth.

Impact of these reforms on Industry:-

Positives

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It had undergone massive transformation with Foreign Direct Investment ushering in the country's economy bringing in the technology, capital and the much required managerial expertise in the sector. It created a lot of jobs as well brought in the latest innovations in the sector.

Negatives:-

The flip side of liberalization was the intensive challenge that it brought for the traditional industries like handicrafts etc. Some sectors faced obsolescence as they were unable to face the new market-oriented approach. Adopting a balance between innovation and to preserve traditional industries turned out to be a big challenge in the post 1991 era.

Impact of these reforms on Financial Services:-

Positives

The financial sector experienced a revolutionary overhaul with these measures. The entry of private banks and foreign banks were permitted in the India sphere which brought in the competitive and innovative environment. Regulators like IRDAI and SEBI were set up. Stock markets soared to new heights attracting both national and international investors. The push towards financial inclusion and financial literacy further brought in the positive change in the sector.

In conclusion, the post-1991 economic reforms stand as a defining chapter in India's economic history, steering the nation towards growth and development. The various impacts on agriculture, industry and financial sector underlines both opportunities as well as challenges. While acknowledging the strides made in the growth, inclusivity and sustainability of all the resources must be kept in the mind. Policymakers must continuously evolve strategies to ensure the benefits of economic reforms reach all the segment of the society.

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15. Fiscal deficit has been a key concern in India's post-reform period. Examine the various reasons for this persistent deficit and suggest measures to achieve sustainable fiscal consolidation. (600 words)

First ans: Fiscal deficit is the difference between the government's total expenditure (revenue and capital) and its total receipt (revenue and capital) except the borrowings. It represents the amount of borrowing required by the government to meet its spending obligations when its expenses surpass its income, leading to increased borrowing and accumulation of debt. The deficit is typically financed through borrowing from various sources, such as issuing government bonds or seeking loans from domestic or international entities. The fiscal deficit is a key variable in judging the financial health of the government sector and the stability of economy. Accumulated fiscal deficits contribute to a country's overall public debt burden.

There are various reasons for this persistent deficit and some of them are as follows-

1. **Subsidies:** India has a sizable poor population with a low per capita income compared to other economies. The Indian government spends a significant amount of money on subsidies and social welfare programmes such as the Mahatma Gandhi National Rural Employment Guarantee Act (MGNREGA) and the Public Distribution System (PDS). While aimed at supporting vulnerable sections of society, they put a strain on the government budget.

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2. **Increased government spending:** India faces security challenges from its neighbors, demanding a substantial allocation for defense expenditure. This further contributes to the fiscal deficit.
3. **Capital expenditure:** The Indian government has been increasing its spending on capital projects such as highways, railways, and airports. These projects are essential for economic growth but also require significant amounts of money, contributing to the fiscal deficit.
4. **Economic downturns:** During recessions or economic slowdowns, the government revenues decline due to lower tax revenues, and spending on unemployment benefits and social services increases. This can lead to a fiscal deficit.
5. **Narrow tax base:** India has one of the lowest tax-to-GDP ratios among major economies. India's tax base, particularly the income tax base, is narrow compared to many developed economies. The government's tax revenue is often inadequate to cover its spending, leading to a fiscal deficit. A large part of the Indian economy operates in the informal sector, characterized by low tax compliance. This reduces tax revenue collection further.
6. **Inefficient revenue collection:** Loopholes and inefficiencies in tax administration allow for tax evasion and avoidance, hindering revenue collection.

Fiscal consolidation is the process by which a government tries to reduce its debt by cutting spending and increasing revenue. It's a way for a government to get its finances in order and become more financially stable. It is an effort to reduce public debt, raise revenues and bring down wasteful expenses. The government can achieve sustainable fiscal consolidation through a combination of measures, including-

- **Cutting government spending:** This can involve reducing government subsidies, cutting back on discretionary spending, and reducing the size of the public sector workforce.
- **Increasing tax revenue**: Increasing taxes can increase the government revenue to offset the deficit. This can be achieved through measures such as raising taxes, closing tax loopholes, and improving tax collection efficiency.
- **Privatization**: The government can sell off state-owned assets and enterprises to private companies, reducing the size of the public sector and generating revenue.
- **Social security reform**: The government can reform its social security system to reduce the long-term fiscal burden and make it more sustainable.
- **Reforms to reduce entitlement spending**: The government can implement reforms to programs and subsidies to control the growth of spending and reduce the long-term fiscal burden.
- **Debt restructuring**: The government can restructure its debt by renegotiating the terms of its loans, extending the maturity of its debt, or exchanging its existing debt for debt with longer maturities.

Managing the fiscal deficit is a critical aspect of fiscal policy, and governments strive to strike a balance between promoting economic growth and maintaining fiscal discipline. Governments often employ deficit financing to stimulate economic growth, support social welfare programs, or address emergencies. However, prolonged and excessive deficits can lead to concerns about fiscal sustainability, inflation, and high-interest payments on the accumulated debt. Budget 2024 needs to focus on sustaining the domestic growth momentum, while at the same time demonstrating a continued commitment towards fiscal consolidation in addition to limiting the rise in market borrowings.

Second ans: Fiscal deficit is the difference between the government's total expenditure and its total revenue (excluding borrowings).It is an indicator of the extent to which the government must borrow in order to finance its operations and is expressed as a percentage of the country's GDP. India has seen sustained levels of high fiscal deficits post 1991 reform period. The fiscal deficit reached as high as 9.5% of GDP in the Covid-19 period.

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Reasons for persistently high fiscal deficit:

1. **Coalition politics post 1980s**: The coalition politics led to political instability at the centre during the 1980s and 1990s. This led to multiple successive governments and a lack of good fiscal approach.
2. **Populist stance of governments**: The coalition economics led to governments increasingly going for populist policies instead of fiscal prudence. This was necessitated by the political parties due to anger by a section of the population that was not benefitted by LPG reforms.
3. **Electoral populism**: In a democratic country, the party at the government has to think of re-election prospects and thus indulge in electoral populism. This was evident in 2009 and 2019 Lok Sabha elections.
4. **Absence of long-term map for fiscal consolidation**: Although the Fiscal Responsibility and Budget Management (FRBM) Act was enacted in 2002, it is in news more for its breach than fiscal consolidation. Successive governments have amended the act to breach the targets.
5. **Low tax base**: Majority of Indian population is out of the tax net of the government. The agriculture sector which employs majority of Indians is exempted from the Income Tax. The taxes are not paid on time and the government is not able to tax the citizens coming in the tax bracket.
6. **Poor tax buoyancy**: The revenues of the government are not in sync with the growth of GDP. This is because of low tax buoyancy. High-growth phases in the economy have not benefited the government exchequer
7. **Lack of tax reforms**: The tax laws in India, both direct and indirect taxation, are complex and difficult to understand by the common populace. The government should overhaul the tax laws and make them more citizen-friendly.

Measures to achieve sustainable fiscal consolidation:

1. **Enhancing Tax Administration Efficiency**: The government should aim to improve tax administration efficiency by combatting tax evasion, increasing tax compliance, and reducing tax avoidance.
2. **Addressing Fiscal Deficit**: Managing debt is essential for the government, as it needs additional resources for capital and revenue expenditures. Uncontrolled budget deficits can have negative effects on long-term economic growth.
3. **Increasing the Tax-to-GDP Ratio**: To boost tax revenues, the government should focus on expanding the tax base, reducing tax breaks and exemptions, and increasing the tax-to-GDP ratio.
4. **Better targeting of government subsidies**: The government should enhance the implementation of direct benefit transfer (DBT) to check for leakages in subsidies.
5. **High economic growth rate**: A sustainable high economic growth rate will help in increasing the base effect and thus help in fiscal consolidation.
6. **Sustainable fiscal management plan:** The government should overhaul the FRBM Act and set realistic targets to achieve for both central and state governments.

The current government is moving toward the path of fiscal consolidation, especially post COVID-19. The government should take measures to enhance its fiscal capacity and foster fiscal cooperation and coordination with the subnational governments. The formation of the 16th Finance Commission is a good place to restart the focus on it.

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16. How the Monetary Policy has been evolved in India? Explain various direct monetary policy tools and their consequences? (600 words)

First ans: Monetary policy is the process implemented by central bank to manage money supply in order to achieve specific goals such as limiting inflation, maintaining an appropriate exchange rate, and promoting economic growth. The evolution of monetary policy framework has closely tracked economic and financial development of our country. Its evolution can be understood through following points-

Evolution of monetary policy in India

Early phase

a) After Independence, monetary policy focused on expanding availability and access to credit for development needs of economy.
b) Monetary policy was constrained in 1960s and 1980s due to deficit financing, frequent supply shocks in agriculture sector, global oil price shocks and collapse of Bretton wood. Due to these events, monetary targeting with feedback, became formal monetary policy framework in 1985 [Recommended by S. CHAKRAVORTY committee]. Money supply [M3] became objective of controlling inflation.
c) In monetary targeting with feedback, also called Rule based monetary targeting, reserve money was used as operating target by regulating monetary expansion consistent with growth. Due to continued expansion fiscal policy, both Statutory liquidity ration [SLR] and Cash reserve ratio [CRR] was used as primary instrument.

Multiple Indicators Approach

After 1991 reforms and rise in foreign capital flows, the efficacy of M3 came under scrutiny. Also due to reforms, there was shift towards market-based financing. In lieu of this, in 1998, RBI adopted multiple indicators approach in monetary policy. In MI approach, there was a greater emphasis on interest rate vis-à-vis quantity channels [money supply] for monetary policy formulations.

Short term interest rates became key instruments in signalling monetary policy.

Flexible inflation targeting

In post GFC period, credibility of MI framework came into question. In 2014, headline consumer price index [CPI inflation-combined] became anchor for monetary policy. India formally adopted Flexible Inflation targeting [FIT] with amendment in RBI ACT in June 2016. The amended act states "**The primary objective of monetary policy is to maintain price stability keeping in mind the objective of growth**".

Price stability has been defined numerically by target of 4% with tolerance band of +/- 2%.

Monetary policy committee

Another major change came in 2016 amendment when there was shift from governor-centric monetary policy decision making process to collegial decision making in form of Monetary Policy Committee [MPC].

Direct Instruments of Monetary Policy

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Instruments of monetary policy are the tools with RBI that can be used to realise its set targets and objectives. The instruments are divided into – Direct and Indirect Instruments.

Direct instruments are those instruments of monetary policy which enable RBI to hit Monetary policy target without significant policy action. The direct instruments are-

a) **Cash reserve ratio**- CRR is the average daily balance required to maintain with RBI as percent of its Net demand time liabilities.
b) **Statutory Liquidity Ratio**- SLR is the requirement that commercial banks have to keep as liquid assets in a certain proportion of their demand and time deposits. The liquid assets are cash, gold and approved securities as G-Secs.
c) **Refinance Facilities** – Refinance facilities are sector specific refinance facilities provided by RBI to banks. These facilities are given to the export sector through banks. Export refinance facilities include foreign exchange, swap facility etc offered by RBI.

Consequences of Direct Instruments

POSITIVE COSEQUENCES

1. **Controlling Inflation-** Both CRR and SLR are powerful tool of monetary policy to control inflation and over circulation of cash. If RBI enhances, the CRR and SLR levels, bank have less money to lend. This lessens the money supply in the economy. This helps in curbing the inflation.
2. **Reduce risk of Bank Run-** Higher SLR and CRR help prevent bank runs by maintaining large buffer of assets. This enhances depositor confidence in banks.
3. **Financial stability** – Through SLR and CRR, RBI had control over the excessive credit expansion and speculative bubbles [Such as housing bubble of GFC]. This maintains the financial stability.

NEGATIVE CONSEQUENCES

1. **Implications for banks –** Maintaining CRR and SLR reduces profitability of banks since those funds maintained with RBI do not earn interest.
2. **Liquidity squeeze** – Too high SLR and CRR, could reduce availability of credit in economy. This may hinder investment and economic growth.

Thus, Monetary policy is concerned with making money available to the market at reasonable rates in order to achieve price stability, balancing inflation and accelerating economic growth. Monetary policy framework in India has evolved in line with the developments and changing nature of economy. There are two tools -direct and indirect tools. Proper implementation of these tools plays a very prominent role in the development of a country.

Second ans: Monetary policy is a set of actions to control a nation's overall money supply and achieve economic growth. Monetary policy strategies include revising interest rates and changing bank reserve requirements.

<u>Evolution of Monetary Policy:</u>

1. 1935 to 1949: Initial Phase

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Until independence, the focus was on maintaining the sterling parity by regulating liquidity through open market operations (OMOs), with additional monetary tools of bank rate and cash reserve ratio (CRR). Exchange rate was the nominal anchor for the monetary policy.

2. **1949 to 1969: Monetary Policy in sync with the Five-Year Plans**

The role of monetary policy during this phase of planned economic development revolved around the requirements of five-year plans. The monetary policy was relied upon for administering the supply of and demand for credit in the economy.

3. **1969 to 1985: Credit Planning**

This phase was marked by the nationalization of banks in 1969. Reserve Bank faced the challenge of maintaining a balance between financing economic growth and ensuring price stability in the wake of the sharp rise in money supply emanating from credit expansion. Traditional monetary policy instruments like bank rate and OMOs were ineffective due to excess money supply due to deficit financing.

4. **1985 to 1998: Monetary Targeting**

There was deterioration in external balances and forex due to worsening fiscal situation and global shocks like Gulf war. The balance of payment crisis led to LPG reforms. There was a shift from fixed exchange rate regime to a market determined exchange rate system in 1993. The automatic monetisation through ad hoc treasury bills was abolished in 1997 and replaced with ways and means advances (WMAs).

5**. 1998 to 2015: Multiple Indicators Approach**

Under this approach, besides monetary aggregates, a host of forward-looking indicators such as credit, output, inflation, trade, capital flows, exchange rate, returns in different markets and fiscal performance constituted the basis of information set used for monetary policy formulation. Increased market orientation of the domestic economy and deregulation of interest rates introduced since the early 1990s also enabled a shift from direct to indirect instruments of monetary policy.

6**. 2016 onwards: Flexible Inflation Targeting**

Flexible inflation targeting (FIT) was formally adopted with the amendment of the RBI Act in May 2016. Now, the primary objective of monetary policy is to maintain price stability while keeping in mind the objective of growth.

Monetary policy frameworks in India have thus evolved in line with the developments in theory and country practices, the changing nature of the economy and developments in financial markets.

Direct monetary policy tools and their consequences:

Direct instruments are those instruments of monetary policy which enable the RBI to hit the monetary policy target (money supply, liquidity) without significant policy action by others.

1. **Cash Reserve Ratio (CRR):**

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The cash reserve ratio is the proportion of demand and time deposits (Net Demand and Time Liabilities) that every scheduled commercial bank has to keep with the RBI as cash reserves.

Change in CRR leads to an increase or decrease in funds available with the commercial banks and thus affects the money supply.

2. **Statutory Liquidity Ratio (SLR)**

SLR is a requirement that commercial banks have to keep a certain proportion of their demand and time deposits as liquid assets (cash, gold, approved securities) in their vault.

SLR is necessary to prevent instances of bank run. Besides, it is a tool for increasing demand of government bonds and control inflation.

3. **Refinance Facilities**:

Refinance facilities are sector-specific refinance facilities given by the RBI to banks. The main types of refinance facilities are those given to the export sector through banks.

It helps in paving the focus of banks towards the sectors that necessitate investments.

Thus, RBI uses various combinations of direct and indirect monetary policy instruments to fulfil its objective of monetary policy.

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17. Evaluate the effectiveness of initiatives like "Make in India," "Atmanirbhar Bharat," and "Production Linked Incentive (PLI)" schemes in promoting domestic manufacturing and attracting foreign direct investment. (600 words)

First ans: India's shift from a primarily agrarian economy to a more service-oriented one, with an emphasis on boosting the industrial sector, has been a gradual and strategic process. India, with its demographic dividend and large consumer base, has long aspired to become a global manufacturing hub. To achieve this, the government has launched several initiatives, including "Make in India" (2014), "Atmanirbhar Bharat" (2020), and the Production Linked Incentive (PLI) schemes (2020 onwards).

MAKE IN INDIA

The "Make in India" initiative was designed to facilitate investment, foster innovation, and build best-in-class manufacturing infrastructure. Its primary focus is on 25 sectors of the economy.

Effectiveness:

1. **Increased FDI**: FDI inflows in India have consistently reached record highs for eight years since its launch, with 2021-22 recording the highest ever FDI at USD 83.6 billion.
2. **Manufacturing Growth**: The manufacturing sector's share in GDP increased from 15.8% in 2014-15 to 18.5% in 2022-23.

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3. **Focus on specific sectors**: Initiatives like Phased Manufacturing Programs (PMPs) in mobiles and electronics spurred domestic production in these sectors.

Challenges:

1. **Limited impact on exports**: Despite increased manufacturing, exports haven't grown significantly, raising concerns about import substitution rather than export-oriented growth.
2. **Infrastructure bottlenecks**: Poor infrastructure, including logistics and power, continues to hinder manufacturing growth and competitiveness.

ATMANIRBHAR BHARAT

This initiative, announced amidst the COVID-19 pandemic, aims to make India self-reliant and to reduce dependence on imports. It encompasses a wide array of measures, including policy reforms and financial incentives.

Effectiveness:

1. **Economic Stimulus**: The government announced several economic packages under this initiative, targeting various sectors to combat the economic distress caused by the pandemic.
2. **Local Production**: There has been a marked emphasis on local production, which has seen a rise, particularly in sectors like electronics and pharmaceuticals.
3. **FDI**: During the COVID-19 pandemic, India attracted over USD 22 billion in FDI, with significant investments flowing in through the automatic route.

Challenges:

1. **Implementation hurdles**: Implementing complex reforms and navigating bureaucratic processes can be slow and cumbersome.
2. **Skills mismatch**: The workforce may not have the necessary skills and training for high-tech manufacturing sectors.

PRODUCTION LINKED INCENTIVE (PLI) SCHEME

The PLI scheme aims to incentivize companies in certain manufacturing sectors by offering incentives on incremental sales from products manufactured in India. The scheme was launched in 2020 to boost domestic manufacturing across 14 key sectors.

Effectiveness:

1. **Boosting production**: The impact of the PLI scheme has been substantial in sectors like large-scale electronics manufacturing, which attracted an investment of INR 4,784 crore and contributed to a total production of INR 2.04 lakh crore.
2. **FDI**: The PLI schemes have significantly boosted FDI in the manufacturing sector, with a remarkable increase of 76% in FY 2021-22.
3. **Targeted approach**: PLI schemes focus on specific sectors with high growth potential and strategic importance, potentially leading to faster development and technology transfer.

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Challenges:

1. **Potential distortions**: PLI schemes could create unfair advantages for select companies and sectors, potentially harming competition.
2. **Implementation complexities**: Designing and monitoring effective PLI schemes requires careful planning and execution to avoid unintended consequences.

FDI inflows from 2014-23 period is about $596 billion, which is about double than 2005-14. Despite this positive trend, there was a recorded decrease in FDI inflows in FY 2023, attributed to global factors such as the Russia-Ukraine conflict, global recessionary pressures, spillover effects of the COVID-19 pandemic, etc. These three schemes have collectively contributed to the growth of India's manufacturing sector and attracted FDI in these situations as well. Continuous policy refinement, addressing infrastructural challenges, and an ease of doing business environment are crucial for these initiatives to yield more substantial results.

Second ans: Encouraging indigenous production boosts employment, strengthens the infrastructure, and raises economic output, all of which assist a country like India to stay on its intended course for becoming a developed country by 2047. India's manufacturing sector currently contributes around 16.5% in total GDP. With the aid of essential programs like "Make in India," "Aatmanirbhar Bharat" and "Production linked incentive," the Indian government is effectively working to promote growth and development that is more rapid and inclusive with the goal of making India a hub for manufacturing.

Let's examine these initiatives and discuss their effectiveness:

1. **Make in India:** This scheme of Ministry of Commerce and Industry was launched in 2014 with the objective of facilitating investment, nurturing innovation, enabling ease of doing business in the economy, and building future ready manufacturing ecosystem.
   Progress:
   a. It led to radiant growth in the IT and manufacturing sector. This has encouraged various global and foreign players to make investments and boost their business by building the products in India. India, according to UNCTAD was the 7th largest recipient of FDI in 2021 calendar year.
   b. Steps taken to improve ease of doing business include simplification of taxation by way of GST implementation, providing C-PACE for accelerated corporate exits, and rationalisation of existing rules. As a result of these measures, India jumped to 63rd in World Bank's ease of doing business rankings as per the report which is now scrapped.

2. **Atmanirbhar Bharat**: In 2020, PM NarendraModi gave a clarion call to nation by launching a package of ₹20 lakh crores under Atmanirbhar Bharat or Self-Reliant India to make our country independent and self-reliant in all areas. The Self-Reliant India Mission is driven by the vision of reducing import dependence. It encompasses themes such as 'Local for Global: Make in India for the World' and 'Vocal for Local'.
   Progress:
   a. The mission has helped reduce dependence on imports of air conditioners by 65% between October 2020 and November 2020.
   b. Under this the country launched the world's largest vaccination drive with two 'Made in India' vaccines—Covaxin and Covishield—and demonstrated its determination to become self-reliant.

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c. Defence sector has put prohibitions on import of products that could be manufactured in domestic boundaries.

3. **Production liked Incentives**: The government of India launched the PLI scheme in 2020 to boost domestic production and reduce the import burden. Through this PLI scheme, the government provides incentives to Indian companies based on sales of their products. It was launched in response to Make in India initiative and Atmanirbhar Bharat across 14 sectors.
   Progress:
   a. India has become the 2nd largest mobile manufacturer in the world
   b. India is now the 2nd largest steel manufacturer second to china.
   c. The PLI schemes have demonstrated that they have the potential to attract both local and international investment. As a result of the incentives that have been provided, industries such as computer electronics, textiles, and vehicles have seen a surge in interest and investments.

The changing landscape of FDI in the Indian industrial sector is marked by positive trends driven by economic reforms, market potential, and infrastructural development. To sustain and accelerate this momentum, policy makers must focus on creating a supportive and simplified regulatory environment in an attempt to reduce regulatory burden. By doing so, India can position itself as an apex destination for attracting investment, particularly in strategically important sectors, contributing to economic growth and development.

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18. Discuss the changing landscape of foreign direct investment (FDI) in the Indian industrial sector. What are the factors attracting FDI, and what policy measures can be taken to further encourage investment in strategic sectors? (600 words)

First Ans. Foreign Direct Investment (FDI) refers to the investment made by a person, company or entity from one country to the business interests in another country. The landscape of FDI in Indian industrial sector has undergone significant changes in recent years. Several factors contribute to the evolving nature of FDI in India and understanding these dynamics is crucial for policymakers and investors alike.

The historical trajectory of FDI in India spans from the colonial era, marked by the East India Company, to post independence policy shifts. Initially dominated by the British capital, FDI policies evolved through restrictive phases to partial liberalization in the 1980s. FDI has grown at a phenomenal rate since 1980s and the global market for it has become increasingly competitive. Economic reforms in the 1990s opened the doors for FDI, with the establishment of Foreign Investment Promotion Board and increased foreign equity caps. Globally economic trends affected FDI inflows, but India's polices aimed at investor-friendly environments led to resurgence. The establishment Foreign Investment Implementation Authority, the Foreign Investment Promotion Board and proactive intellectual property regulations further facilitated FDI. Recent increases in FDI limits in banking and insurance sectors showcase ongoing efforts to attract FDI and align with global trends. India was ranked 5th largest recipient of FDI in 2020 according to world investment report. In recent times India has become an attractive spot for investment in industries. Several MNCs have expressed their will to set up manufacturing plants in India. India is globally being looked as a democratic alternative to Chinese manufacturing industry. The FDI is expected to further boom in the Indian industry market.

The key factors to attract FDI are:

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1. **Growing Market**: With a population of now 1.5 billion, India offers a vast consumer base, presenting lucrative opportunities for foreign businesses. Additionally, the rising middle class and increasing urbanization contribute to the demand for wide range of goods and services.
2. **Government's effort**: Reforms such as Goods and Services tax, the Insolvency and Bankruptcy code (IBC) and initiatives like "Make in India" aim to simplify regulatory processes reduce bureaucratic hurdles and create a more business-friendly environment.
3. **Diverse industries**: In recent times industries like Information Technology, pharmaceuticals and renewable energy has seen surge in FDI. The country's emphasis on digital transformation has enhanced its appeal for technology-driven investments.
4. **Geopolitical scenario**: The reconfiguration of global supply chains has led to a renewed interest in India as a manufacturing hub. As businesses seek to diversify their operations and reduce dependence on any single market, India's strategic location, along with its potential to offer cost-effective manufacturing solutions becomes a compelling factor for FDI.

To further encourage FDI policymakers can consider implementing several measures.

Firstly, continued efforts to streamline regulatory processes and reduce the bureaucratic complexities are essential. A transparent and predictable regulatory framework instills confidence among foreign investors. Secondly, targeted incentives and subsidies can be provided to attract FDI in sectors crucial for India's economic development. This could include tax breaks, custom duty exemptions or financial support for research and development activities. Moreover, infrastructure development remains a critical aspect. Enhancing transportation, logistics and digital infrastructure can significantly reduce the operational costs. Collaborations between the government and private sector can accelerate infrastructure projects. Lastly fostering a skilled workforce through education and vocational training is pivotal. Aligning educational initiatives with industry requirements ensures a continuous pool of skilled talent.

In conclusion, the changing landscape of FDI is shaped by factors such as market size, regulatory reforms, technological advancements and a global geopolitical dynamic. Policymakers must continue to adapt and implement measures that facilitate a conducive environment for foreign investment.

Second ans: Foreign direct investments (FDIs) are substantial, lasting investments made by a company or government into a foreign concern. FDI investors typically take controlling positions in domestic firms or joint ventures and are actively involved in their management. FDI plays a pivotal role in the economic development of a country. It not only brings capital but also facilitates the transfer of skills, technology, and innovation. The landscape of FDI in India's industrial sector has undergone a significant transformation since the country's independence:

- The period before 1991 reforms was characterized by a closed economy, where FDI was not encouraged due to the inward-looking import substitution policies.
- Since then, India became open to foreign investments, FDI inflow gradually increased due to further liberalisation and positive economic growth. Automatic permission was to given in identified high priority sectors.

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- The reforms have boosted India's image as preferred destination for foreign investment, with foreign investors now having unrestricted access to many industry sectors.
- Foreign exchange regulation act (FERA) was replaced by Foreign exchange Management act (FEMA), in order to ensure transparency in foreign investments.
- Implementation of single window clearance system and goods and services tax have eased the bureaucratic hurdle, thereby enhancing the ease of business in the country.
- India has seen a significant jump in India's ease of doing business world bank ranking since 2015. Various initiatives were launched like Make in India, Start-up India etc.
- As per world investment report, India secured the third highest FDI for new greenfield projects in 2022. From being a closed economy to this stage, India has witnessed a phenomenal growth.

There are various factors which attract FDI:

- Economic stability: A stable economy is a key factor that attracts foreign investors. Higher international credit rating will make investors confident about investing with lower interest rates.
- Regulatory environment: A transparent and reliable regulatory environment is crucial for attracting both foreign and domestic businesses.
- Policy stability: certainty in policies in the country assures investors of a secure and conducive business environment making them willing to invest.
- Infrastructure: Easily accessible and efficient infrastructure is extremely important which includes roads, ports, power supply and digital connectivity.
- Sector-specific conditions: conditions like market size, growth prospects, labour cost significantly influence FDI inflows in the country.
- Skilled workforce: Skilled pool of workforce with young demographic profile is another major attraction for foreign investors.

These factors together create a conducive environment for foreign investment, making India an attractive destination for FDI. Following policy measures can be taken to further encourage FDI in strategic sectors:

- Infrastructure development: Enhancing infrastructure including transportation and energy facilities is crucial to attract FDI.
- Skill development: Continued investment in education and skill development programs are essential to maintain a skilled workforce which can attract foreign investment.
- Customized incentives: Tailoring incentives to specific industries in strategic sector like high tech industries, and green technologies can be an effective strategy.
- Sustainable practices: With an increasing global focus on sustainability, promoting environmentally friendly and socially responsible practices can make India an attractive destination.
- Policy stability and predictability: Clear and consistent policies, along with a commitment to economic reforms, can create a favourable environment for FDI.
- Technology transfer: Encouraging technology transfer agreements can be mutually beneficial approach. FDIs may be more inclined to invest if they see opportunities for knowledge exchange.

India has witnessed a phenomenal growth in foreign investment inflow. The landscape changed from being a closed economy to an open economy with third highest FDI for new greenfield projects in 2022. Continued efforts

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to improve infrastructure, ensuring policy stability, creating a regulatory environment and investment in skill development is the need of the hour for accelerating the inflow of FDI, particularly in strategic sector.

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19. Economic development means not only creation of jobs but also developing healthy working conditions." Discuss the statement in the light of Labour Codes in India. (600 words)

First ans: A growing economy thrives on a productive workforce, which in turn depends on their well-being and safety. India's robust economy, among one of the fastest growing globally, hinges on the productivity of its massive workforce. Developing healthy working conditions is crucial to ensure labour productivity and health. However, longstanding issues such as poor working conditions, inadequate safety measures, and informal employment have plagued the nation's labour landscape. In response to these challenges, the Government of India initiated a pivotal reform by introducing **04 historic labour codes**, aiming to consolidate and simplify the existing 29 cumbersome laws.

The new labour codes aim to simplify laws, increase protection and benefits for workers, and enhance flexibility for employers in managing their workforce. The objective is to encompass over **500 million** organized and unorganized workers, **90% of the workforce which has been outside labour laws (informal sector)**. The contribution of the 04 labour codes towards facilitating a better work environment for workers is discussed below:

1. Code on wages, 2019:

- **Minimum wages**: The code introduces the concept of a floor wage as the universal minimum wage for workers, based on various geographical factors, ensuring the protection of vulnerable workers.
- **Timely payment**: Ensures uniform applicability and timely payment of wages to all employees.
- **Equal pay for equal work**: Prohibits gender discrimination in wages and recruitment in work of similar nature.
- **Prevents exploitation**: Provides for a fixed number of working hours. In case of overtime, the worker is entitled to overtime compensation which should be at least twice the standard wages.
- **Transparency**: Provides clarity on deductions and allowances, reducing ambiguity and promoting better compliance.

2. Code on Social Security, 2020:

- **Inclusion of unorganized workers**: The provision of **a 'Social Security Fund' for 40 Crore unorganized workers**, along with gig and platform workers, will help in universal social security coverage.
- **Broader coverage**: Includes more workers under the Employees' Provident Fund (EPF) and Employees' State Insurance (ESI) schemes, enhancing safety nets.
- **Portability of benefits**: Allows workers to retain benefits even when changing jobs or locations, reducing vulnerability.
- **Strengthening of social security institutions**: The code proposes the establishment of a **National Social Security Board** to recommend to the central government the formulation of schemes for the various sections of unorganized, gig, and platform workers.

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- The code also **simplifies administrative processes**, making it easier for workers to avail themselves of these benefits. Mandates electronic platforms and grievance redressal mechanisms, improving efficiency and accountability.
- Digitization of records: With the aim of making a national database for unorganised sector workers, registration of all these workers would be done on an online portal and this registration would be done on the basis of Self Certification through a simple procedure.

3. Occupational Safety, Health and Working Conditions Code, 2020:

- **Enhanced safety standards**: Introducing stricter measures of workplace safety. Employers are required to ensure the workplace is free from hazards and provide free annual health tests.
- **Occupational Safety and Health (OSH) committees**: Mandates the formation of committees with worker representation, promoting safety awareness and participation.
- **Prevents overwork**: The code fixes the daily work limit to a maximum of eight hours.
- **Focus on hazardous industries**: Prioritizes safety in industries with high risks, such as construction, mining, and chemical manufacturing.
- **Right to refuse unsafe work**: Empowers workers to decline hazardous tasks, protecting their health and safety.
- **Women's safety**: Women have to be permitted to work in every sector, but the employer has to ensure the provision of security and consent of women.

4. Industrial Relations Code, 2020:

- **Simplified dispute resolution**: Streamlines labour dispute processes and increases the threshold for strikes and lockouts, reducing delays and encouraging peaceful resolution of disputes.
- **Collective bargaining**: Introduces the concept of negotiating union, providing workers a more democratic and representative platform for collective bargaining.
- **Fixed-term employment**: The code introduces a new provision for fixed-term employment, giving employers the flexibility to engage a worker based on a written contract. This encourages formalization in employment, reducing uncertainty and improving job security.
- **Skill development**: Proposes the setting up of a re-skilling fund for training retrenched workers with a contribution from the employer. This promotes continuous learning, empowering workers to adapt to the changing needs of the industries.

The introduction of new labour codes is a significant development for the Indian labour market. These are expected to provide greater flexibility for employers, while also offering better protection for workers. However, concerns raised by labour activists suggest the implementation of the new codes may not be without its challenges. The government has to ensure that these codes are implemented with honesty and integrity, to push India towards achieving its broader goals of speeding up economic growth and unleashing the untapped potential of thousands of our industries and workers.

Second ans: Economic development means not only creation of jobs but also developing healthy working conditions." Discuss the statement in the light of Labour Codes in India.

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Economic development in reference to job creation, does not only means providing employment but also the work-related benefits such as freedom, safety, dignity, work-life balance, future investments as provident fund, and insurance. Thus, economic development ensures that job environment remains healthy for any human being. This thing has been emphasized by the new labour codes.

NEW LABOR LAWS in relation to healthy working condition

In order to codify the existing 29 cumbersome labour laws, the parliament in 2023 passed the four new labour laws. These four labour laws are- occupational safety, health and working conditions code; code on wages; industrial relations code and code on social security.

The idea behind these labour laws is to ensure that labour receive wage security, social security and health security, gender equality in terms of remuneration and a minimum floor wage. It aims to make the lives of inter-state migrant workers easier

I. **CODE ON WAGES 2019**

1. This code replaced the four previous acts- payment wages act 1936, minimum wages act 1948, payment of bonus act 1965 and equal remuneration act 1976.
2. This code introduced the statutory concept of **Floor wages**, which shall be applicable on all organized and unorganized workers.
3. This code suggests for review/revise in minimum wages at regular intervals.
4. It also states that in case if any employee is removed, dismissed, retrenched or resigned or becomes unemployed, the wages are to be paid within two working days.

II. **OCCUPATIONAL SAFETY, HEALTHY AND WORKING CONDITION CODE 2020**

It replaced the 13 previous acts based on safety, health etc.

1. This code promotes formalisation of employment. Also, this code deals with duties of employer in respect of workplace safety and security.
2. The code specified that working hours should be limited to eight hours. Any overtime requires workers consent and wages has to be doubled. There is provision of health and hygiene such as adequate lightning and ventilation in workplace along with separate toilets for all three genders- male, female and transgenders.
3. This code promotes gender equality. Women employment is allowed in all establishment of works. Any night shift of women, require their consent and adequate safeguards.

III. CODE ON SOCIAL SECURITY

This code replaces previous 9 acts.

1. This code proposed social security benefits to all employees and workers including unorganized sector.
2. This code proposed creation of social security fund for extending benefits such as death and accidental insurance, maternity benefit, pension cover etc.
3. This code caters to new forms of employment as gig workers, platform workers etc. As per this code, EPFO and ESIC coverage will be allowed for this class of workers too.

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IV. INDUSTRIAL RELATION CODE

1. This act replaces – Trade Unions act 1926, Industrial employment act 1946, Industrial disputes act 1947.
2. This code encourages disputes through negotiation. As per this code, unions with more than 51% of the workers on muster roll, will have right to negotiate terms with management.
3. The new Code also proposes the setting up of a re-skilling fund for training retrenched workers with a contribution from the employer, of an amount equal to 15 days last drawn by the worker.

The profits of Industries matter a lot for the constant and steady economic growth. At the same time, taking care of interest of workers and safe working conditions are equally important. The new labour codes aims to satisfy both the parties. The government must ensure that they are implemented properly. Then only, the nation will be able to achieve desired goal of economic growth.

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20. What do you mean by Monetary Policy Transmission? Critically evaluate the efficiency of the current monetary policy transmission. (600 words)

First ans: Monetary policy transmission refers to the mechanism by which the central bank's policy initiatives are conveyed to attain the ultimate goals of achieving stable inflation and fostering economic growth. The comprehensive process of monetary policy transmission commences with the Reserve Bank of India (RBI) changing policy rates like the repo rate, in turn influencing various sectors such as market rates, household and firms, corporate bond yields, and asset prices. The ultimate aim is to achieve the desired outcome of maintaining price stability while promoting economic growth.

The change in policy rates by RBI is expected to impact the cost of funds of banks and in turn, their lending rates. Any alterations in policy rates are usually transmitted to the economy via 04 different but interconnected channels:

- **Interest rate channel**: This is the most direct channel. When a central bank increases interest rates, borrowing becomes expensive, discouraging corporate borrowing and household consumption. This reduces the aggregate demand, putting downward pressure on inflation and economic growth. The opposite occurs with rate cuts.
- **Asset price channel**: Monetary policy impacts asset prices, such as bonds, stocks, and real estate. Tightening policy can reduce asset value, decreasing household wealth and business confidence, negatively affecting economic growth. Easing policy can boost wealth and confidence, stimulating the economy.
- **Exchange rate channel**: Monetary policy's influence on exchange rates impact imports and exports. Tightening policy may appreciate domestic currency, making exports costlier and imports cheaper, slowing economic growth. Easing policy stimulates growth through an opposite effect.
- **Expectations channel**: Central bank communications and actions shape economic expectations. If people believe inflation will be low and stable in the future, they are less likely to demand higher wages and raise prices preemptively. This self-fulfilling prophecy reinforces the effectiveness of monetary policy.

For RBI to achieve its mandate effectively, the monetary policy transmission must be smooth and seamless. Any hurdle to this process hampers the achievement of RBI's objectives. Therefore, RBI monitors the transmission of monetary policy regularly and takes corrective steps if required.

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In 2019, RBI instructed commercial banks to link the floating interest rates on new loans with external benchmarks, such as treasury bills, replacing MCLR (marginal cost of lending rates). Though the new system has improved policy rate transmission, the performance is still not up to the mark.

A recent report by SBI revealed the asymmetric transmission of monetary policy. This means that an increase in policy rates by RBI does not lead to a proportional increase in market rates. This indicates a lag in the monetary policy transmission.

Several reasons contribute to this lag:

- **Low dependency on repo rate**: In India, banks dominate the financial system, with limited opportunities for investment in other avenues. Due to this, banks can mobilize a huge amount of savings, reducing their dependency on repo rate changes.
- **Asset side issues**: Banks are needed to tie up their funds in government securities under SLR requirements, and priority sector lending norms limit banks' exposure to other productive sectors, limiting their returns.
- **Low deposit growth**: Stagnant real interest rates due to high inflation erode household savings, reducing the pool of funds available for banks to lend. This restricts banks' ability to reduce lending rates even when market conditions warrant it, potentially impacting loan uptake and economic activity.
- **NPAs**: Public sector banks are grappling with the issue of low-quality assets and high Non-performing assets (NPAs) and struggle to offer competitive interest rates, impacting their ability to lower rates effectively.
- **Lack of competition**: India's banking sector is highly dominated by public sector banks. This lack of competition reduced pressure on banks to pass on rate changes to consumers.

Impacts of lag of Monetary Policy Transmission:

- **Reduced borrowing**: Higher lending rates discourage borrowings, limiting investment and consumption.
- **Economic growth**: Delayed or incomplete rate cuts slow down economic growth by reducing investment and consumption.
- **Ineffective RBI policies**: RBI's policies lose their effectiveness if banks deviate from them.
- **Impact on retail/SME borrowers**: Slow pass-through of rate cuts hurts small borrowers.

The effective transmission of monetary policy is the key for RBI to fulfill its mandate of ensuring financial stability and economic growth. However, due to several hurdles, this transmission is hindered, in turn reducing the effectiveness of policy measures. To enhance this process measures such as aligning external benchmark-based lending rate systems with global standards, addressing issues of NPAs, and implementing appropriate steps are crucial.

Second ans: Monetary Policy Transmission is the process through which the central bank's policy action is transmitted in order to achieve its ultimate goal of price stability and growth. It aims to pass on the benefits of the monetary policy to the customers.

RBI Act mandates the RBI to maintain inflation target of 4% (plus minus 2%) while keeping the stable growth rate in mind. To make this happen effectively, the efficiency of the Monetary Policy Transmission plays a very crucial role. The channels through which monetary policy transmission takes place are following:

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1. **Interest Rate Channel**: Changes in repo rate affect the lending and borrowing in the financial system. Higher repo rate leads to decrease in the lending to the corporates and businesses, hence reducing the money supply in the economy. Conversely, lower repo rate stimulates borrowing, hence promote spending and growth.
2. **Bank Lending Channel**: It refers to the rate at which banks provide loans to its customers. This channel however shows the effects slowly. Studies have suggested that it takes 2-3 quarters to see the effect of policy rate change in economic consumption and 3-4 quarters to see its effect on inflation.
3. **Asset Price Channel**: This channel refers to how the changes in the policy rates can change, the yields of different assets link bonds. A dip in policy rate will show the growth potential in the economy but can lead to investors look for some more lucrative investments.
4. **Exchange Rate Channel**: While the above three affect the demand side of the economy, this channel is linked with supply side of the economy. For example, a depreciation in policy rates will lead to net increase in the supply of rupee in the economy, leading to higher exports but affect the imports. As India is a net exporter, this will directly affect the reserves of RBI.

Efficiency of the Monetary Policy Transmission is built on the idea of how much and how fast Monetary Policy can influence its goals, like price stability, inflation and growth. The current monetary policy has following challenges:

1. **Rigidity in the interest rates**: It is often found that banks do not revise their interest rates even when the RBI changes them, making the transmission difficult.
2. **Global Interconnectedness**: External factors like global interest rates and geopolitical conditions do not let the central bank fully utilize its true potential.
3. **High Non-performing assets (NPAs):** The accumulation of large NPAs has reduced the profitabilty of the banks. Due to this, banks keep their weighted average rate much higher than their margnal lending rate.
4. **Issue in MCLR** (Marginal Cost of Fund Based Lending Rate): Transmission has been significant for the new loans but not has no effect on the outstanding loans.
5. **Uni-Dimensional nature of Monetary Policy**: The RBI Act only provides a limited set of options to the monetary policy to control inflation. It is not possible to see the true impact if the government is adopting Expansionary Fiscsl Policy.
6. **Availabilty of Other Financial Instruments**: Households are nowadays investing in government saving schemes like PPF, Sukanya Samridhi Yojana, etc as these offer higher interest rates than the bank deposits. Hence, banks need to increase their rates to attract the deposits.

Thus, we can see that there are many challenges associated with the Monetary Policy Transmission. However, RBI is committed to ensuring effective monetary policy. It has come up with new initiatives like Standing Deposit Facility, Liquidity Adjustment Facility,etc to streamline the process. To strengthen the transmission further, more vigilance and pro-activeness in this regard is expected. Continuous evaluation and adaptations are crucial for improving the efficiency of Monetary Policy in India.

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21. What do you mean by Liquidity Adjustment Facility? What are the differences between Standing Deposit Facility and Reverse Repo Rate? (600 words)

First Ans. The financial landscape is a dynamic ocean, where liquidity serves as the current propelling lending and economic activity. Central banks, like seasoned captains, employ various tools to ensure smooth sailing, and

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among these tools, the Liquidity Adjustment Facility (LAF) plays a crucial role. Understanding their nuances is the key to navigating the complexities of monetary policy.

The LAF is the principal operating instrument of the Reserve Bank's monetary policy. While reserve ratios like CRR and SLR help changes in the stance of monetary policy on a more permanent basis, LAF is used to monitor day-to-day liquidity in the market.

Introduced on the recommendations of the **Narsimham Committee** (1998), LAF aims to ensure financial stability by injecting/absorbing liquidity into/from the banking system. LAF consists of 03 components, as discussed below:

- **Repo Rate**: It refers to the rate at which banks can borrow from RBI on an overnight basis, using eligible securities as collateral. It is used by banks to overcome any short-term cash shortages during periods of uncertainty or any other economic stress.
- **Marginal Standing Facility (MSF**): Through the repo option, banks are allowed to borrow on securities only up to a certain limit. When that limit is exhausted and banks need more funds, they can do so through MSF. MSF allows banks to borrow from RBI using its SLR securities. In this window, a penal rate is charged by RBI, which is 25 basis points above the repo rate.
- **Standing deposit facility (SDF):** The SDF has its origins in a 2018 amendment to the RBI Act and is an additional tool for absorbing liquidity without any collateral. By removing the binding collateral constraint on the RBI, the SDF strengthens the operating framework of monetary policy, adding that it is also a financial stability tool. The SDF rate is tied at 25 basis points lower than the repo rate.

The LAF corridor has the MSF rate as its upper band (ceiling) and the SDF rate as its lower band (floor). Through LAF, RBI aims to perform many functions such as managing inflationary pressure, boosting economic growth, and ensuring financial stability in the market.

The Standing Deposit Facility (SDF) and Reverse Repo Rate (RRR) are both tools used by central banks to manage liquidity in the financial system, but they differ in several key aspects:

Objective:

- SDF: Absorbs excess liquidity in the system to control inflation and manage overnight rates.
- RRR: Tightens overall liquidity to manage inflation and influence money supply growth.

Mechanism:

- SDF: Banks park their surplus funds with the central bank at a fixed interest rate (currently below the repo rate). This directly reduces the amount of money in circulation.
- RRR: Central bank offers a fixed interest rate to banks on their surplus funds parked with it through reverse repo agreements. This incentivizes banks to lend out their money rather than park it with the central bank, thus reducing overall liquidity.

Initiative:

- SDF: Initiated by banks voluntarily when they have excess cash.
- RRR: Initiated by the central bank through policy announcements.

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Interest Rate:

- SDF: Offers a fixed interest rate, currently set 25 basis points below the repo rate.
- RRR: Determines the fixed interest rate offered on reverse repo agreements, which is subject to change based on monetary policy objectives.

Impact:

- SDF: Has a more targeted impact on overnight rates and short-term liquidity.
- RRR: Has a broader impact on overall liquidity and money supply growth.

In summary, both SDF and RRR are liquidity management tools, but they differ in their specific goals, mechanisms, and impacts. Choosing the right tool depends on the specific economic circumstances and the central bank's monetary policy objectives.

Second ans: Liquidity Adjustment Facility (LAF) refers to a set of monetary policy tools used by the Reserve Bank of India (RBI)to inject money into the banking system or absorb it from the system when it is in excess. It was introduced by Narasimham Committee on Banking Sector Reforms of 1998.Its main objective is to improve liquidity management in the economy and enhance monetary control. It has since been used to inject or absorb liquidity as and when required. Liquidity adjustments through the LAF help banks manage their day-to-day liquidity requirements more efficiently. It is a crucial tool for managing inflation in the economy by increasing or decreasing the money supply.

LAF consists of two components - repo (repurchase agreement) and reverse repo. When banks need liquidity to meet its daily requirement, they borrow from RBI through repo. The rate at which they borrow fund is called the repo rate. When banks are flush with surplus fund, they park it with RBI through the reverse repo mechanism at reverse repo rate.

LAF plays an important role in the economy by maintaining liquidity in the banking system, regulating money market interest rates, promoting monetary stability, helping banks meet their day-to-day cash needs, and facilitating the smooth flow of credit to the economy.

Along with LAF, RBI also makes use of other monetary policy tools such as Standing Deposit Facility (SDF) and Reverse Repo operations. Both these tools serve similar purposes as they both are used to absorb excess liquidity in the economy, thereby controlling inflation. But there are some key differences between these tools as explained below:

The Standing Deposit Facility (SDF) and Reverse Repo Rate are both monetary policy tools used by central banks to manage liquidity in the financial system and achieve their policy objectives. While they serve similar purposes, there are key differences between the two:

1. Nature of Transactions:

The SDF is a facility where banks can park excess funds with the central bank at an interest rate determined by the central bank. It is essentially a deposit facility for banks to earn interest on their surplus funds. On the other hand,

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Reverse repo (repurchase agreement) is a market transaction where the central bank borrows money from commercial banks by selling securities. In this transaction, commercial banks lend funds to the central bank in exchange for government securities with an agreement to repurchase them at a later date.

2. Initiator of Transaction:

In SDF, banks initiate the transaction by depositing their excess funds with the central bank. Whereas, in reverse repo operations, the central bank initiates the transaction by borrowing funds from commercial banks.

3. Purpose:

The SDF is primarily used to absorb excess liquidity in the financial system. By offering an interest-bearing facility, the central bank encourages banks to deposit their surplus funds, reducing the amount of money circulating in the economy. Whereas, the reverse repo rate is used by the central bank to manage short-term liquidity in the market. When the central bank wants to absorb excess money supply, it conducts reverse repo operations, effectively draining liquidity from the banking system.

4. Interest Rates:

The interest rate on the SDF is set by the central bank. It serves as the rate at which banks earn interest on their deposits with the central bank. On the other hand, the reverse repo rate is the interest rate at which the central bank borrows money from commercial banks in a repurchase agreement.

5. Market Dynamics:

The SDF is more of a standing arrangement where banks can voluntarily deposit funds with the central bank. It is a tool for managing excess reserves. Whereas, reverse repo transactions are typically conducted in the open market, allowing the central bank to actively manage liquidity by adjusting the volume and frequency of these operations.

In summary, liquidity adjustment facility, standing deposit facility and reverse repo operations are monetary policy tools which are used by the central bank to manage liquidity in the financial system and promote financial stability in the country. These tools are crucial for achieving the objectives of monetary policy, ensuring economic growth and price stability.

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22. How do efficient capital markets contribute to the growth and development of the Indian economy? Discuss with examples (500 Words)

First ans: In the dynamic landscape of the Indian financial sector, efficient capital markets play a crucial role in propelling growth and development. These markets, where long-term financial instruments such as bonds, stocks, and derivatives are traded, act as a vital link, mobilizing savings from individuals and institutions towards productive sectors like business and infrastructure. Both kinds of capital markets, primary and secondary, act as matchmakers, connecting savers with their desire for returns to businesses seeking growth and innovation. By operating effectively, these markets unlock a plethora of benefits that drive the nation forward.

1. **Capital for expansion**: Burgeoning startups, filled with potential, often find it difficult to obtain credit from conventional sources. They find support in efficient capital markets, utilizing equity financing to propel their

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growth. A striking example is Flipkart, India's e-commerce giant, which mobilized substantial capital through these markets and utilized it for its growth, transforming the landscape of online shopping in India.

2. **Foundational support for infrastructure**: Ambitious infrastructure plans require a huge amount of capital mobilization. Efficient capital markets, with debt instruments such as bonds, provide this opportunity for the government to leverage such instruments and raise funds without unduly putting pressure on the national treasury. The Delhi Metro, a testament to modern infrastructure, was partially financed through bonds. It facilitated urban mobility and helped in enhancing economic activity.

3. **Catalyst for innovation and employment**: Going beyond traditional sectors, capital markets provide alternate avenues for venture capitalists to invest in dynamic startups. This stimulates innovation, increases job creation, and enhances India's competitiveness globally. India's flourishing fintech sector, with disruptors like Paytm reshaping financial services, is a testament to this. A recent Indian unicorn, the e-grocery company Zepto, also serves as an example.

4. **Corporate governance and transparency**: Effective capital markets necessitate transparency and robust corporate governance standards of publically listed firms. This not only attracts foreign investment, bringing in valuable capital and expertise but also fortifies the nation's economy. Tata Consultancy Services (TCS), a prominent global entity, exemplifies this commitment to sound corporate governance, attracting international investors and spurring the economy's growth.

5. **Financial inclusion and prosperity**: Utilizing mutual funds and retail participation, effective capital markets have allowed more investors to participate in the narrative of economic growth. This has helped in broadening the investor base, along with promoting financial inclusion and empowering citizens. The surge in retail investor engagement in the Indian stock market serves as a tangible manifestation of this evolving trend.

However, the road to efficiency is not without its bumps. Challenges like limited access for small and medium enterprises (SMEs), information asymmetry, and regulatory hurdles need to be addressed. Yet, the Indian government's initiatives to digitize financial services, expand market access, and strengthen regulation are paving the way for a more vibrant and inclusive capital market ecosystem.

India is on its way to becoming a **$30 trillion economy** by the 100th year of its independence. To fuel this process, India needs to develop a robust network of world-class infrastructure. By channeling funds for growth, fostering innovation, and promoting financial inclusion, these markets act as the invisible hand, propelling India towards a brighter economic future

Second ans: India's journey towards becoming a $5 trillion economy hinges on several factors, amongst which a robust and efficient capital market stands tall.As the Indian economist and former RBI governor, Raghuram Rajan, once stated, "An efficient capital market is not just about high returns. It is about getting capital effectively allocated to its most productive uses." This quote encapsulates the critical role of efficient capital markets in the Indian economy.There are several ways in which the capital markets foster India's growth and development as:

1. **Resource Allocation**: In an efficient capital market, capital flows to the most promising businesses and projects. For instance, the rise of Indian startups in sectors like e-commerce (Flipkart) and digital

payments (Paytm) have been facilitated by efficient capital markets. These companies have attracted significant investments, enabling them to innovate and expand.

2. **Economic Growth through FDI and FII:** Efficient capital markets attract foreign direct investment (FDI) and foreign institutional investors (FII). For example, the Indian government's recent policy reforms in FDI have led to increased foreign investments in sectors like retail, aviation, and defence, contributing to the overall economic development.

3. **Risk Diversification**: Efficient capital markets allow investors to diversify their risk by investing in a variety of assets. The growth of mutual funds and the introduction of Real Estate Investment Trusts (REITs) in India are examples of how investors can spread risk, which in turn stabilizes the economy.

4. **Corporate Governance and Transparency**: Efficient markets foster better corporate governance and transparency. The Securities and Exchange Board of India (SEBI)'s regulations on corporate governance have enhanced transparency and accountability in Indian companies, thus boosting investor confidence.

5. **Employment Generation**: Efficient capital markets lead to the creation of new enterprises and the expansion of existing ones, thereby generating employment. The Information Technology Enabled Services (ITES) sector in India, heavily reliant on capital markets for growth, has been a significant employment generator in the past decade.

6. **Innovation and R&D**: Access to capital markets enables companies to invest in research and development. A recent example is the pharmaceutical sector in India, where companies like Sun Pharma and Dr. Reddy's have heavily invested in R&D, contributing to India's position as a major player in the global pharmaceutical industry.

7. **Information Dissemination**: Efficient markets ensure rapid dissemination of information, which is crucial for informed decision-making. The prompt disclosure norms of SEBI (Securities and Exchange Board of India) for listed companies have significantly improved transparency and investor awareness.

The efficient capital markets are instrumental in the growth and development of the Indian economy. They not only ensure the efficient allocation of resources but also instill confidence among investors, both domestic and international. The Indian economy, with its growing capital markets, is poised to become a global economic powerhouse, leveraging these markets for sustainable and inclusive growth. The examples cited above underscore the importance of these markets in channeling investments, fostering innovation, and driving economic progress.

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23. Briefly explain the concept of "financial deepening" in the context of the Indian financial system. How can further deepening be achieved, and what are its potential benefits for the economy? (500 words)

First ans: Financial deepening, in the context of the Indian financial system, refers to the process of expanding and diversifying the financial services available to individuals, businesses, and the government. This involves not just increasing the volume of financial assets and transactions, but also enhancing the efficiency, inclusivity, and resilience of the system.

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The primary goal of financial deepening is to enhance the overall sophistication and depth of the financial system. This includes the development of a broader range of financial products and services, such as banking, insurance, capital markets, and other financial intermediaries.

Key Dimensions of Financial Deepening in India:

1. **Broadening financial institutions and markets**: This includes increasing the presence of banks and other financial institutions, especially in rural and underserved areas. Over the past decades, India's scheduled commercial bank branches grew from around 8000 (1969) to about 1.6 lakh (2023).

2. **Developing diverse financial instruments**: This includes introducing a wider range of financial products, catering to different risk appetites and investment horizons. India is home to over 21,000 fintech startups, offering innovative solutions in areas like payments, lending, wealth management, and insurance. This vibrant ecosystem fosters financial inclusion and caters to the needs of a broader sector of the economy.

3. **Enhancing financial inclusion**: It is crucial to expand financial services to unbanked and underbanked areas, especially women and marginalized communities. As of 2023, India has over 850 million bank accounts, from just 54 crore accounts in 2014, reflecting the success of initiatives such as Jan Dhan Yojana.

4. **Improving Market Liquidity and Efficiency**: Deeper markets with higher trading volumes and efficient price discovery mechanisms facilitate easier access to capital. India's total market capitalization surpassed $3.5 trillion in January 2023, marking a substantial increase from around $1.5 trillion in 2014. This reflects growing investor confidence and the expanding size of the Indian economy.

5. **Strengthening Financial Regulation and Supervision**: To ensure robust regulatory frameworks and effective supervision, RBI has brought continuous reforms to strengthen the regulatory environment in India in response to various situational elements. As a result, the recent Financial Stability Report of RBI highlights a strong resilience of the banking sector with improving capital adequacy and NPA ratios.

India has made significant strides in financial deepening over the past decade with initiatives like Jan Dhan Yojana, Aadhaar-based financial inclusion, and the development of digital payments infrastructure. These have resulted in increased bank deposit mobilization, expansion of credit access, and greater diversification of financial instruments. However, further progress can be achieved through the following:

- **Leveraging technology**: Utilizing technology involves employing digital platforms and mobile banking to extend financial services to remote areas and underserved populations. Increasing digitization of banking and introduction of a digital currency like CBDC can contribute to increased transparency and security in financial transactions.
- **Strengthening regulatory frameworks**: Strengthening regulatory frameworks involves implementing robust regulations to uphold financial stability, prevent systemic risks, and safeguard consumer interests.
- **Developing the debt market**: Encouraging the growth of the corporate bond market and infrastructure debt market to provide long-term financing for businesses and infrastructure projects.
- **Enhancing financial inclusion for MSMEs**: Providing affordable and accessible financial products and services to micro, small, and medium enterprises to fuel their growth.
- **Deepening pension and insurance penetration**: Expanding the reach of pension schemes and insurance products to improve social security and risk mitigation, particularly in rural areas.

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A deepened financial system can significantly benefit the Indian economy in several ways:

- **Improved Financial Risk Management**: Diverse financial instruments and efficient markets can help individuals and businesses manage risks and improve financial stability.
- **Financial Stability**: Diversification and stronger institutions increase resilience to shocks and promote financial stability, protecting depositors, investors, and the broader economy.
- **Poverty Reduction and Inclusive Development**: Financial inclusion can empower marginalized communities, promote entrepreneurship, and contribute to poverty reduction.
- **Enhanced Long-Term Growth**: A robust and diversified financial system can attract foreign investment, foster innovation, and support long-term sustainable economic growth.

Financial deepening is crucial for India's continued economic growth and development. By tackling remaining challenges and implementing effective strategies, India can further strengthen its financial system and unlock its full potential for generating prosperity and inclusivity.

Second ans: The United Nations Economic and Social Commission for Western Asia (UNESCWA) defines Financial Deepening as the increased provision of financial services with a broader choice of services suited to all societal levels.In the context of the Indian financial system, financial deepening involves the expansion and diversification of financial services, the inclusion of a larger section of the population in the financial system, and the deepening of financial markets.Achieving deeper financial integration involves expanding the breadth, depth, and efficiency of financial markets and institutions.

India has seen significant progress in financial sector reforms, particularly in technology-driven services like mobile banking, digital payments, and online transactions.Despite these advances, a large section of the Indian population, especially in rural areas, remains underbanked or unbanked.

STRATEGIES FOR FURTHER FINANCIAL DEEPENING:

While India has made significant strides in financial deepening since the 1990s, with initiatives like bank liberalization and digitalization, further progress is crucial for sustained economic development. The deeper financial penetration can be achieved through various strategies, as:

1. Promoting Financial Inclusion: Continuing efforts to bring the unbanked population into the formal financial system through initiatives like the Jan Dhan Yojana.
2. Microfinance and fintech solutions: Tailored financial products and services like microloans and mobile banking can cater to the specific needs of the financially excluded.
3. Strengthening Digital Infrastructure: Expanding and enhancing digital financial services to ensure wider access and convenience.
4. Enhancing Credit Availability: Developing a more inclusive credit system to cater to small and medium-sized enterprises (SMEs) and marginalized sections.
5. Deepening Capital Markets: Encouraging wider participation in equity and bond markets and introducing more diverse financial instruments.

POTENTIAL BENEFITS

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Facing several challenges, like balancing financial innovation with risk management andtraditional reliance on informal financial systems, the financial deepening can reap following potential benefits:

1. Economic Growth: A deeper financial system can efficiently allocate resources, leading to higher economic growth.
2. Financial Inclusion: Increased access to financial services for all segments of society, reducing income inequality.
3. Stability: A mature financial system is better equipped to handle economic shocks, contributing to overall economic stability.
4. Innovation and Entrepreneurship: Easier access to credit and financial services can spur entrepreneurship and innovation.
5. Inclusive development: By bringing more people and businesses into the formal financial system, financial deepening can bridge the gap between the rich and the poor and promote equitable development.
6. Global competitiveness: A vibrant and well-developed financial system makes India a more attractive destination for foreign investment and enhances its integration into the global economy.

Financial deepening is essential for the inclusive economic growth of India. By implementing strategic reforms, enhancing technology use, and focusing on financial inclusion, India can achieve a more robust and diversified financial sector. This development will not only spur economic growth but also contribute to the stability and resilience of the Indian economy. There is a need for coordinated efforts from the government, financial institutions, and the public to realize the full potential of financial deepening in India.

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24. Discuss various developmental roles played by the Reserve Bank of India. (600 words)

First ans: The Reserve Bank of India (RBI) is not just the nation's central bank but also a vital catalyst for economic growth. In addition to its conventional functions including financial stability and regulation, the RBI assumes a multifaceted role in fostering development across diverse sectors. Its active involvement in areas such as financial inclusion, technological innovation, and infrastructure development underscores its commitment to shaping a robust and inclusive economic landscape. This multifunctional approach positions RBI as a dynamic force driving India's economic progress and resilience, both on national and global fronts. Some crucial developmental roles of RBI are discussed below:

1. <u>Fostering financial inclusion:</u>

- **Financial infrastructure development**: The RBI actively promotes the development of financial infrastructure, especially in rural and marginalized regions. Initiatives like PM Jan Dhan Yojana, Aadhar enabled payment system (AEPS), JAM trinity, and micro ATMs have brought essential financial services to the doorsteps of millions, empowering previously excluded sections of society.
- **Financial inclusion initiatives**: Recognizing the importance of financial awareness, RBI takes regular measures to educate people about banking products, financial planning, and debt management. Initiatives like the annual Financial Literacy Week and the National Centre for Financial Education (NCFE) help RBI in bridging the digital divide.

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- **Priority sector lending (PSL):** The RBI mandates that banks allocate a significant portion of their credit to priority sectors such as agriculture, education, and export promotion. It enables better credit penetration to credit-deficient areas and promotes business and entrepreneurship among those sections.

2. Supporting agricultural development:

- **Promoting rural and agricultural credit**: The RBI recognizes the centrality of agriculture in the Indian economy. It established the Agriculture Credit Department to enhance the flow of credit in the sector. RBI's subsidiary NABARD (National Bank for Agriculture and Rural Development) works exclusively in the sector. Schemes like Kisan Credit Cards and Differential Rate Interest (DRI) loans provide affordable financing, while initiatives like Micro Irrigation Fund and Rural Infrastructure Development Fund (RIDF) address specific needs of the sector.
- **Development of rural financial institutions**: RBI has played a vital role in developing and strengthening rural financial institutions like RRBs (Regional Rural Banks) and cooperative banks. These institutions cater specifically to the needs of rural communities, enhancing access to affordable credit and financial services.

3. Promoting industrial growth:

- **Direct and indirect financing**: RBI provides financial assistance to industries through institutions like SIDBI (Small Industries Development Bank) and EXIM (export-import) Bank of India. These institutions offer financial services to support industrial growth and promote exports.
- **Financial inclusion of MSMEs**: Recognizing the contribution of MSMEs (Micro, Small, and Medium Enterprises) in the employment and growth of the country, RBI has implemented dedicated policies for the sector, such as PSL norms, Stand-Up India, and PM Mudra Yojana which aim to provide capital to these underserved segments, fostering entrepreneurship and job creation.

4. Ensuring financial stability:

- **Prudential regulations**: RBI sets and enforces prudential regulations for banks and financial institutions, ensuring they maintain adequate capital and buffers, managing risks effectively. This promotes financial stability, protecting depositors' interest and increasing confidence in the sector.
- **Macroeconomic management**: RBI plays a crucial role in managing inflation and financial stability. Through various monetary policy instruments, RBI regulates money supply and credit flow, ensuring macroeconomic stability conducive to sustainable development.

5. Building a robust financial system:

- **Supervisory framework**: RBI actively supervises banks and financial institutions, ensuring they comply with regulations and maintain sound banking practices. This promotes transparency and accountability within the financial system, creating a secure environment and building trust and confidence among investors and consumers.
- **Technological innovation**: Through its Regulatory Sandbox framework, RBI promotes innovation in the financial sector, encouraging the adoption of new technologies like blockchain and artificial intelligence. This streamlines financial services, improves efficiency, and ensures financial resilience.

The Reserve Bank of India wears many hats beyond being the custodian of the monetary policy. Its various initiatives highlight its diverse approach towards the holistic economic development of the nation. As India is on its

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path to become a global leader, RBI will undoubtedly remain a key player in shaping a sustainable and inclusive future.

Second ans: In the dynamic landscape of a nation's economy, a central banking institution serves as the backbone, orchestrating the symphony of financial stability and growth. The Reserve Bank of India (RBI) is the central bank of India and plays a vital role in regulating the country's monetary policy, issuing currency, and overseeing the banking system. Chaired by the RBI Governor, this body is responsible for making critical decisions regarding the nation's financial regulations, and economic development strategies.

RBI also performs certain developmental functions to promote the economic growth of the country. These developmental functions are as follows-

1) **Promotion of Agricultural Finance** - RBI has an Agricultural Credit department to conduct research regarding various problems of agricultural credit. RBI also advises the Central Government, state governments and co-operative societies on the various aspect of agricultural growth. It has been recognized in the RBI Act itself that the RBI has special responsibility for providing institutional credit to agriculture and allied activities.
2) **Promotion of Industrial Finance** - RBI provides significant financial help for the industrial development of the country. While the commercial banks can take care of the working capital requirements of the industrial units, industrial growth cannot be possible in the absence of medium and long term finance. The setting up of Industrial Development Bank of India (IDBI), Industrial Finance Corporation of India (IFCI), State Finance Corporations (SFCs), Small Scale Industrial Development Corporations etc. to meet the longterm and medium term financial needs of industries are the important steps taken by RBI.
3) **Promotion of Finance for Exports** - RBI has been playing an important role in encouraging exports through refinance to banks against export credit. Export Finance is provided through various schemes such as the Bill Market Scheme, Export Bills Credit Schemes, Shipment Credit Scheme, Duty Drawback Credit Scheme. Though the Government established Export-Import Bank (EXIM) as an apex bank for financing the foreign trade, the role of RBI has also been crucial.
4) **Promotion of Banking -** The RBI has undertaken several measures to promote the banking structure of the country. Some of the major steps undertaken are described below:
    a) Strengthening of Banking Structure - By eliminating a large number of weak, unsound or improperly managed banks. For this, RBI conducts regular audits and has a PCA (Prompt Corrective Action) Framework in place.
    b) Extension of Banking Facilities – RBI mandates commercial banks to open 25% of their new branches in Tier -5 and Tier – 6 centers. Similarly, all areas with more than 5000 people have been equipped with bank branches. This improves the geographical coverage of banks.
    c) Insurance of Deposits - The Deposit Insurance and Credit Guarantee Corporation (DICGC) has been set up to provide protection to depositors and guarantee cards to eligible institutions. This builds the trust of depositors in banking institutions which is key to ensuring financial inclusion.
    d) Development of Money Market - The RBI has a key role to play in the interbank markets and in the issue of Treasury Bills on behalf of the central government.

As the nation's central banking institution, the RBI and its subsidiaries are entrusted with multifaceted responsibilities that go beyond mere monetary regulation. Its objectives are intricately woven into the fabric of India's economic development and stability**.**

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25. Critically examine the trade-offs between agricultural productivity and environmental sustainability. Propose strategies for achieving sustainable agriculture in India, considering both economic and ecological factors. (600 words)

First ans: India, a nation filled with vibrant life, faces a crucial dilemma: ensuring food security for its burgeoning population while preserving the ecological tapestry that sustains it. The dilemma arises from the inherent trade-offs that India has faced on its way to food security from being a food-deficient country. India has come a long way, from the era of widespread famines during the British period, to a food surplus country after independence. On its journey, India has realized that agricultural productivity comes at the cost of ecological damage. This **trade-off** between agriculture and the environment is discussed below:

1. **Intensive agriculture vs. Biodiversity**: Intensive agriculture practices, such as monoculture and heavy use of chemical inputs, help in increasing productivity in the short run but have far-reaching consequences in the long term. These include loss of biodiversity, soil degradation, and water pollution, negatively impacting ecosystems and long-term sustainability.
2. **Chemical inputs vs. soil health**: To increase agricultural productivity, farmers often resort to synthetic fertilizers that help enhance crop yields and protect crops from pest attacks. Over-reliance on chemical inputs damages soil health, leading to soil erosion, and nutrient depletion, along with contaminating water bodies, and affecting aquatic life.
3. **Irrigation vs. water loss**: Indian agriculture is largely rainfed. The use of irrigation systems is required to increase resilience and protect from volatilities in weather patterns. However, unsustainable water extraction leads to the depletion of aquifers, soil salinization, and damaged aquatic ecosystems.
4. **Energy vs. climate**: Mechanized and high-input agriculture increases efficiency and productivity, but these often rely on fossil fuels. This contributes to greenhouse gas emissions, climate change, and depletion of non-renewable resources, highlighting the need for more sustainable agriculture.
5. **Land use changes**: Expanding agricultural land and shifting towards large-farm agriculture can increase production and resource efficiency, but often involves deforestation and habitat destruction. This contributes to biodiversity loss, reduction in carbon sinks, and disruption of the ecosystem.

Therefore, simply maximizing production can increase the risk of compromising the very resources that agriculture depends on. This **sustainability trap** can ultimately prove devastating, jeopardizing long-term food security and economic stability. To overcome this, embracing sustainable agriculture practices is essential. Some of these **strategies** are discussed below:

<u>Building strong agriculture systems:</u>

- **Promote agroforestry**: Encourage agroforestry by incorporating trees into agricultural areas, offering benefits such as shade, wind protection, and nitrogen fixation, enhancing soil fertility, and minimizing erosion.
- **Promote organic farming**: Advocate for organic farming practices, endorsing the shift to organic methods that enhance soil well-being, diminish pollution, and frequently result in higher prices for farmers' produce.
- **Invest in renewable energy**: Allocate resources to renewable energy initiatives, endorsing the use of solar pumps and other sustainable energy sources to decrease reliance on fossil fuels and enhance energy security.

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Empowering farmers and building resilience:

- **Enhance Financial Access and Market Opportunities**: Offer farmers various credit options and establish strong farmer-producer organizations and cooperatives. These entities serve as vital links between farmers and consumers, fostering direct marketing, fair pricing, and increased bargaining power.
- **Knowledge Dissemination for Sustainable Practices**: Promote educational and training programs focusing on sustainable agricultural methods, including organic farming, agroforestry, and water conservation.
- **Invest in Post-Harvest Infrastructure**: Upgrade road and cold storage facilities to minimize post-harvest losses and improve market access for farmers, contributing to a more efficient agricultural supply chain.

Enhancing resource efficiency:

- **Precision Agriculture**: Optimize fertilizer and water use through technology like sensors and data analytics, reducing waste and costs.
- **Water Management**: Conserve water, especially in vulnerable regions, by promoting rainwater harvesting, drip irrigation, and efficient canal systems.
- **Crop Diversification**: Improve soil health and income by encouraging farmers to diversify crops, incorporating drought-resistant crops, legumes, and fruit trees beyond water-intensive options like rice.
- **Conservation Agriculture**: Enhance soil structure, moisture retention, and biodiversity by advocating for practices such as minimal tillage, mulching, and crop rotation.

These shifts towards sustainability require huge efforts from multiple stakeholders. It requires investments in research, extension services, and infrastructure. The challenge lies in balancing immediate needs with long-term consequences. While maximizing yields ensures short-term benefits, protecting the environment ensures a future where a bountiful harvest co-exists with a healthy planet. This journey will require unwavering commitment, but the rewards – a thriving agricultural sector, resilient communities, and a healthy planet – are worth the effort.

Second ans: Agricultural productivity is the efficiency with which agricultural inputs such as land, labour, capital, and technology, are used to produce outputs.

Environmental sustainability sophisticated use and preservation of natural resources, protect global ecosystems to support health and wellbeing, now and in the future.

Agricultural productivity majorly focuses on increasing production by any means. In a way, it misses out on environmental sustainability factor. For example, usage of pesticides, urea, medicines in agricultural produce is not good for the environment. The production is indeed increasing but also jeopardizing the sustainability. Let us examine how agricultural productivity can harm the environmental sustainability: -

I. Increased inputs like fertilizers, pesticides, and water can raise yields dramatically. However, overuse can lead to soil degradation, water pollution, and biodiversity loss.
II. Increased use of machinery is preferred for increased productivity. Use of machinery requires usage of fuel, that in turn affects the environment.

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III. Monoculture, focusing on a single crop, can increase productivity but often reduces biodiversity and weakens ecosystems. It would lead to loss of biodiversity and would make agricultural systems vulnerable to pests and diseases.
IV. Conversion of lands into agricultural farmland can surely increase production. But it comes at the cost of deforestation, habitat destruction of birds and animals, and etcetera.
V. Excessive usage of groundwater help us in producing crops that are not endemic to a region. It is equally harmful for the ecosystem. For example, such problem is seen in Punjab and Haryana.
VI. Technological advances like genetic mutations in crops can enhance productivity but also doesn't guarantee that genetic mutations are safe. Such genetic mutations may have impact on other life forms.

Strategies for attaining sustainable agriculture in India: -

I. Organic Farming – It uses bio-manure as pesticide. It reduces reliance on chemical pesticides. However, the yields maybe lower, but is very good for the soil and the environment.
II. Crop Rotation and Diversification – Crop rotation and plant diversification improves soil fertility, reduce pests and diseases, and enhance overall resilience.
III. Agroforestry- Integrating trees into farmland creates diverse ecosystems, enhances soil fertility, and supports pollinators.
IV. Water conservation - Practices like rainwater harvesting, drip-irrigation would help in reduction of water wastage, minimize water pollution, and etcetera.
V. Innovation and Research - Investing in research on sustainable intensification techniques, alternative protein sources, and precision agriculture can offer promising solutions.

Some of the government initiatives that promote sustainable agriculture are: -

I. Pradhan Mantri Krishi Sinchayee Yojana (PMKSY): - It promotes micro-irrigation. It aims to provide irrigation facilities and promote efficient water usage in agriculture, leading to higher crop productivity.
II. Paramparagat Krishi Vikas Yojana (PKVY): Encourages organic farming practices and sustainable agriculture, minimizing the use of chemicals and promoting soil health.
III. Soil Health Card Scheme: Provides farmers with information about soil nutrient status and recommendations for balanced use of fertilizers, leading to improved soil health.
IV. National Mission for Sustainable Agriculture (NMSA): Promotes climate-resilient and sustainable farming practices, focusing on soil health, water use efficiency, and crop diversification.

Agricultural productivity and environmental sustainability are correlated to each other. The idea is to find a balance between these two. The journey is not easy but also is not impossible. The government needs to focus more on research and development so that new technological methods are invented to promote both of these. As citizens, it is also our duty to help the government in making the farmers aware about the ill-effects of the modern agricultural practices and help them in attaining a balance between the two.

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26. Analyze the skills gap in India's industrial sector and its impact on attracting and retaining investment. Suggest effective strategies for skill development and improving industry readiness of the workforce (600 words)

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First ans: India's industrial sector holds immense potential, with ambitious visions of becoming a manufacturing powerhouse. However, a widening skills gap casts a shadow on this promising future, potentially deterring foreign investments and hindering domestic growth. The current data suggest that **only 2.3% of the workforce in India has undergone formal skill training** as compared to 68% in the UK, 80% in Japan, and 96% in South Korea. On the other hand, according to a recent survey, 48% of Indian employers reported difficulties filling job vacancies due to **skill shortages.** This gap between the skills demanded by industries and the skills possessed by the workforce has far-reaching consequences on productivity, innovation, and overall economic competitiveness. Some of the key factors contributing to this gap include:

- **Education-Industry Mismatch:** Traditional education often prioritizes theoretical knowledge, neglecting the practical skills demanded by modern industries. This leaves graduates unprepared for real-world job requirements, contributing to a concerning unemployment rate among them.
- **Technological Evolution Challenges:** Industries adopting automation, AI, and robotics create a demand for specialized skill sets, surpassing the current workforce's capabilities. The absence of continuous upskilling opportunities hampers the workforce's ability to keep pace with evolving technologies.
- **Insufficiency in Soft Skills:** While technical skills are crucial, the lack of soft skills such as communication, problem-solving, and teamwork widens the gap between industry expectations and workforce capabilities.
- **Industry-Specific Skill Gaps:** Different industries, from manufacturing to pharmaceuticals, possess unique skill requirements. The absence of targeted training programs exacerbates the mismatch between available talent and specific industry needs.

The skills gap directly influences India's appeal as an investment destination and the capacity of industries to sustain foreign investments. Investors are progressively seeking locations with a proficient workforce capable of fostering innovation and ensuring operational efficiency. The repercussions of the skills gap on investment include:

- **Escalated Recruitment Costs and Delays:** Difficulty in finding qualified personnel results in prolonged hiring periods and increased training expenses, elevating operational costs and diminishing profitability, thereby diminishing India's attractiveness as an investment destination.
- **Productivity and Efficiency Setbacks:** The presence of unqualified workers leads to sluggish production, heightened error rates, and potential safety hazards. This adversely affects product quality, competitiveness, and investor confidence.
- **Innovation bottlenecks:** A skills gap hampers the development and implementation of new technologies, stifling innovation and hindering India's perception as a hub for cutting-edge industries. The lack of skilled talent becomes a barrier to technological advancements, hampering industrial growth and long-term economic progress.
- **Reduced Competitiveness:** Companies struggle to secure qualified personnel, reducing productivity, innovation, and global competitiveness. This diminishes India's attractiveness compared to countries boasting a readily available skilled workforce.

Some strategies to enhance the skills and industry readiness of the Indian workforce are listed below:

<u>Building a Skilled Workforce</u>:

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- **Education and Training Overhaul:** Revise school and college curriculums to underscore practical skills, project-based learning, and collaboration with industries. Modernize Industrial Training Institutes (ITIs), aligning their curriculum with current industry needs.
- **Public-Private Collaboration for Skill Development:** Promote industry involvement in skill development programs by encouraging internships, apprenticeships, and mentorship opportunities.
- **Digital Skilling Initiatives for Industry 4.0:** Prioritize the training of the workforce in digital literacy, coding, data analysis, and other skills pertinent to Industry 4.0.
- **Incentives for Skill Development:** Provide tax breaks and subsidies to companies that invest in employee training and skill development programs.

Investing in Industry Readiness:

- **Cultivating Soft Skills:** Incorporate communication, teamwork, problem-solving, and critical thinking into training programs to enhance soft skills development.
- **Tailored Industry Training:** Customize skill development programs to meet the unique requirements of various industries, addressing emerging trends and technological advancements.
- **Establishing Standardized Certifications:** Create industry-recognized skill certifications to establish a transparent and dependable talent pool.
- **Emphasizing Lifelong Learning:** Encourage a culture of continuous learning by implementing upskilling and reskilling initiatives for the existing workforce.

Bridging the skills gap is not merely about filling vacancies; it's about building a future-ready workforce that can drive India's industrial growth and compete on a global stage. Skill development is imperative for attracting and retaining foreign investment. For India to gain from its **demographic dividend**, the skill gap must be bridged. A concerted effort from educational institutions, industries, and the government is needed to implement effective strategies for skill development. By addressing the skills gap, India can enhance its global competitiveness, foster innovation, and position itself as a preferred destination for foreign investment in the industrial sector.

Second ans: Alvin Toffler famously wrote: “The illiterate of the 21st century will not be those who cannot read and write but those who cannot learn, unlearn and relearn.” Skill gap refers to situation where the person lacks the required skill for doing a particular job.The major reason for skill gap in India is literacy rate .As per UNICEF’s report, by 2030 50% of India’s youth will not be employable , because they will lack required skill and education.
In India’s industrial sector almost 75% of businesses report skill gap. In this era of digitalization and mechanisation of industrial sector, there is need for technical training and skill enhancement / training of employees. when there is skill redundance/gap the overall work of the industry gets affected and this causes outflow of investment. Also, for attracting investment smooth flow of organisation and growth visibility is also needed. To attain this, better productivity is needed which comes from adequate skill of employees.
Impact on attracting and retaining investment:
As the above-mentioned data suggests, there is urgent need to fill the skill gap pertaining in the industrial sector. This gap creates leakage in investment as the productivity is hampered due to technical jargon or redundancy in production process. And if we talk about attraction of investment to our nation, this problem of skill gap not only distracts the investor but also affects the investment sentiments of prospect investors.
If the skill gap can be improved then it can give manyfold benefits to our nation as we have the workforce abundance to fulfil manpower needs on many nations at one place. This will help in attraction and retention of foreign direct investments.

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Strategy for skill development and improving industry readiness of workforce:

For skill development

1. Vocational training programmes : There is need for vocational training programme which can help in skill enhancement/training of youth.Moreover, these programmes are focused on skill enhancement .
2. Government schemes for skill development: schemes like skill India, stand up India etc have played vital role in this process. Also, EDP training with help of Rsetis have helped in industrial trainings.
3. Reimagining educational system: There is need for inculcating skill development programmes in educational system of our nation. This will help in getting better job opportunities after completing basic education itself.
4. Easy access to training programmes: the programmes designed by government or educational institutions should be easily accessible and should have minimal formalities in order to make it easily accessible to mass.

Readiness for workforce:

1. Adequate capital: if there is adequacy in capital then only it can absorb the workforce easily and smoothly.
2. Equipment: in order to work smoothly employees, require proper and right equipment. In lack of correct equipment person might not be able to perform well which can hamper work.
3. Work culture: the work culture and ethics of a place is vital for better absorption and retention of employee. not only this helps in retention but also in productivity of employees.

So, skill gaps do affect the investment prospects as well as the retention negatively. the various ways discussed above to overcome this problem has long effects which can have manyfold benefits. training programmes , education system will not only fill the skill gaps but also help in enhancing the productivity and thereby affecting GDP of nation, also it can also help in attracting FDI . Ours is a young nation with average age of 35, this resource can be better utilised when there is skill development amongst youth.

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27. Briefly explain the concept of "informalization" in the Indian service sector and its implications for economic growth, tax revenue, and social security. What steps can be taken to formalize this sector effectively? (600 words)

First ans: “Informalization” in the context of the Indian service sector refers to the increasing prevalence of informal or unorganized economic activities in the industry, including retail and small-scale services. The phenomenon is characterized by a significant portion of the workforce employed in jobs that lack formal contracts, job security, and social security benefits. The Indian service sector has **more than 50%** of its workforce employed informally. This trend gained prominence due to factors such as technological advancements, urbanization, and the expansion of the gig economy. As the informal sector operates outside regulatory frameworks, it leads to challenges in terms of economic growth, tax revenues, and social security.

<u>Impact on economic growth</u>:

- **Job creation**: Informalization contributes to overall economic growth by providing employment opportunities for a significant portion of the population. This is due to low levels of entry barriers in the informal sector.

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- **Low productivity**: Informal jobs are readily available, but often lack productivity. Most workers who enter informal employment do not have sufficient skills, leading to lower levels of productivity. Low wages and limited skill development impact purchasing power and investment in the economy, restricting demand-driver growth.
- **Lack of efficiency:** Informal markets struggle with tax evasion and inefficiencies, creating distortions and unfair competition for formal businesses. This hampers investment and innovation, slowing down overall economic growth.

Impact on tax revenue:

- **Lost revenue**: Informal enterprises and workers operate in the cash domain, often leading to tax leakages. This negatively affects government revenues and reduces resource availability for social welfare and infrastructure investments, hampering overall growth.
- **Unequal burden**: The formal sector has to bear a disproportionate tax burden, creating an unfair playing field and exacerbating economic inequality.

Impact on Social Security:

- **Vulnerability**: informal workers lack access to social security benefits such as healthcare, education, and unemployment insurance, leaving them vulnerable to risks. This can lead to poverty, social unrest, and reduced social mobility.
- **Intergenerational impact**: The lack of access to benefits and safety nets for informal workers affects their ability to invest in healthcare and education for their children, perpetuating poverty and hindering human capital development.
- **Inadequate data**: Workers employed in the informal realm do not have sufficient records. This lack of formal records makes it difficult to track their contributions and provide adequate support.

Formalization of the sector is crucial for addressing these challenges. Some potential steps include:

- **Simplified regulations and compliance**: Complex and cumbersome compliance procedures often cause workers to choose informal employment. Simplifying registration processes, licensing, and compliance requirements can incentivize businesses to operate within a formal framework.
- **Incentives**: Loan subsidies, tax breaks, and skill development can help offset the initial costs associated with formalization and make it a more attractive option for entrepreneurs.
- **Access to credit and financial services:** Lack of financial services acts as a significant barrier to formalization. Facilitating access to credit and financial services and focusing on financial inclusion, including microfinance, can empower entrepreneurs to invest in their businesses, comply with regulations, and facilitate a smooth transition to formalized operations.
- **Skill development**: Most informally employed workers lack sufficient skills required for formal employment. Investing in skill development programs for informal workers can enhance their employability, making them more competitive in formal job markets.
- **Leveraging technology**: Digitization of bureaucratic procedures can simplify tax filing, track informal transactions, and enhance transparency in the informal sector. This can reduce the burden of compliance and improve the overall business environment.

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Formalizing the Indian service sector is a complex but necessary endeavor. It will enhance the ease of doing business in the country and also improve the employment conditions of thousands of workers. Formalization requires a multi-pronged approach along with collaborative efforts from various stakeholders. Being in its 'demographic dividend' phase, formalizing the economy can help India unlock the full potential of its workforce, promote inclusive growth, and build a more resilient and equitable society.

Second ans: As per a report recently released by world economics, India's informal service sector is substantial, with the informal economy constituting around 39% of its Gross Domestic Product (GDP).The concept of "informalization" in the Indian service sector refers to the growing trend of employment in informal setups. This sector is characterized by unincorporated private enterprises, often owned by individuals or households, engaging in the sale and production of goods and services without formal contracts or legal business frameworks. Contrary to the formal sector, which consists of organized groups of employees working in a legally and socially recognized environment, the informal sector largely operates outside the purview of official regulation and social security systems.

The informalization trend in India's service sector is driven by various factors. These include the liberalization of the economy, leading to a surge in small-scale and micro-enterprises, and the inability of the formal sector to absorb the rapidly growing workforce. Additionally, technological advancements and the rise of the gig economy have also contributed to this trend.

IMPLICATION OF INFORMALIZATION:

Economic Growth:

1. **Positive Impact:** The informal sector, constituting a significant part of India's GDP (39.1%), acts as a vital employment generator. It provides livelihoods for a large portion of the population, including marginalized groups.
2. **Challenges**: However, informalization often leads to lower productivity compared to the formal sector. The lack of access to formal credit, technology, and training hampers the efficiency and growth potential of these enterprises.

Tax Revenue:

1. **Revenue Loss**: Informal sector activities are typically not recorded in the official financial system, leading to significant tax revenue loss for the government. For instance, with the informal sector representing such a large portion of India's GDP, the potential tax revenue from this sector remains largely uncollected.
2. **Tax Evasion Facilitation**: The informal sector can also facilitate tax evasion in the formal sector, as transactions between formal and informal entities may not be fully recorded or taxed.

Social Security:

1. **Lack of Benefits and Protections**: Workers in the informal sector, comprising over 94%, often do not have access to social security benefits like health insurance, pensions, and job security, making them vulnerable to economic shocks and poverty.

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2. **Impact on Health and Education**: The absence of social security impacts the workers' ability to invest in health and education for themselves and their families, perpetuating a cycle of poverty and underdevelopment.

EFFECTIVE STEPS TO FORMALIZE SERVICE SECTOR

1. **Simplifying Registration and Compliance Processes**: The Indian government's introduction of the Udyog Aadhaar Memorandum (UAM) simplifies the registration process for MSMEs.
2. **Providing Incentives for Formalization**: Tax incentives and subsidies can encourage businesses to move to the formal sector. For example, GST-linked incentives, where businesses receive benefits for becoming GST-compliant.
3. **Enhancing Access to Finance**: Facilitating easier access to credit through government schemes. For example, the MUDRA scheme in India provides loans to small businesses at concessional rates.
4. **Investing in Skill Development**: Training programs to enhance skills, making workers more employable in the formal sector. For example, the Skill India initiative aims at training millions of people in various skills.
5. **Strengthening Social Security Measures**: Extending social security benefits like health insurance and pension to informal workers. For example, the Ayushman Bharat scheme, which provides health insurance to low-income families.
6. **Digitalization and Technology Adoption**: Encouraging digital transactions and record-keeping like the Digital India campaign promotes digital literacy and digital transactions.

Informalization in India's service sector offers immediate employment but challenges long-term economic growth, tax collection, and social security. Effective formalization requires simplifying business registrations, offering financial incentives and credit access, enhancing skill development, extending social security to informal workers, promoting digitalization, and increasing awareness. Government initiatives like UAM, MUDRA, Skill India, Ayushman Bharat, and Digital India are pivotal in this transition.

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28. Discuss the challenges faced by small and medium-sized enterprises (SMEs) in the service sector, particularly in rural areas. Suggest policy interventions and initiatives to boost their growth and contribution to inclusive development. (600 words)

First ans: Small and medium-sized enterprises are the lifeblood of the Indian economy, especially in rural areas. They significantly aid in job creation, GDP expansion, and export promotion. According to the Annual MSME Report, MSMEs in the service sector form a larger portion of Udyam registrations each year, **at over 70%.** Despite their dominance and importance, their path to success is often riddled with challenges, as discussed below:

- **Limited market access**: Rural populations are smaller and mostly dispersed, leading to a limited consumer base for MSMEs operating in rural areas. A restricted market size creates additional costs for reaching potential customers and the dispersed nature of the population increases distribution costs.
- **Infrastructure deficiencies**: Rural areas often lack reliable infrastructure, both physical and digital, making it difficult for enterprises to conduct business operations and attract skilled workers.
- **Access to finance**: Securing credit is a major hurdle for SMEs, as banks perceive them as high-risk entities due to their limited financial history and lack of collateral. This restricts their access to finance and hinders expansion, innovation, and their ability to withstand economic downturns.

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- **Lack of skilled manpower**: Finding skilled manpower in rural areas is a challenging task due to the lack of educational opportunities and out-migration of talent. This affects the performance of SMEs, hampering their quality and business growth.
- **Competition from big players**: Entering the market and competing with well-established and large players is difficult for rural MSMEs due to lack of resources and brand recognition. This makes it challenging for them to acquire bigger contracts and customers.
- **Regulatory burden**: Complying with excessive regulatory burdens can be overwhelming for small enterprises, especially those with limited resources and capacity. This can divert their time and energy away from core business activities.
- **Limited technology adoption**: The rapid evolution of technology is transforming the service sector and rural SMEs may find it difficult to keep up. Rural areas often lack technology adoption due to infrastructural limitations and lack of investment. Due to this, rural SMEs struggle to compete in an increasingly digital world and have limited ability to reach new markets.
- **Seasonality**: Many rural services, like tourism and agricultural support, face seasonality, leading to fluctuating revenue. The uncertainty and volatility make it difficult for them to plan and invest for the future.

Policymakers and developmental agencies need to play a vital role in fostering the growth and contribution of rural service sector SMEs to **inclusive development**. Some potential steps in this direction are discussed below:

- **Financial inclusion**: Establishing specialized rural credit funds, promoting microfinance institutions, and simplifying loan procedures for SMEs can improve their access to affordable finance.
- **Infrastructural development:** Investing in roads, electricity, communication networks, and digital infrastructure in rural areas can significantly ease business activities for rural enterprises, improving the business environment and enhancing market access. This will also encourage the setting up of new enterprises in rural areas.
- **Skill development**: Implementing targeted vocational training and skill development programs in rural areas will increase the availability of an industry-ready skilled workforce for rural enterprises.
- **Cluster Development Programs**: Support the formation of business clusters in rural areas, where multiple SMEs can collaborate, share resources, and collectively address common challenges. Clusters promote economies of scale, and knowledge exchange, and create a supportive ecosystem for the growth of service-based SMEs.
- **Policy Simplification and Regulatory Support**: Simplify bureaucratic processes and reduce regulatory hurdles for SMEs. Clear and transparent regulations encourage entrepreneurship and make it easier for SMEs to comply with legal requirements, fostering a more conducive business environment.
- **Promoting Innovation and Technology Adoption**: Providing grants, subsidies, and training programs to support the adoption of digital technologies can enhance efficiency, competitiveness, and access to new markets for rural SMEs.

Tackling the hurdles encountered by SMEs in the rural service sector demands a comprehensive strategy. Governments can catalyze positive change by implementing precise policy interventions and initiatives that cultivate an environment conducive to the growth of these businesses. The overarching objective is to champion inclusive development, empowering SMEs to play a more substantial role in the local economy. Through such initiatives, we can unlock the immense potential of rural service SMEs. The flourishing of each of these businesses

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becomes a stepping stone toward a more prosperous, vibrant, and inclusive future, where they not only thrive but also contribute significantly to job creation and the overall well-being of society.

Second ans: Small and Medium Enterprises (SMEs) in the service sector, particularly in rural areas in India, face a variety of challenges. According to the World Bank, SMEs represent about 90% of businesses and more than 50% of employment worldwide.In India, the data from the Ministry of Micro, Small and Medium Enterprises (MoMSMEs) indicates that in 2022, MSMEs accounted for around 42% of the Gross Value Added (GVA) in India. Remarkably, 51% of MSMEs are located in rural areas, highlighting their significant role in rural industrialization, service rendering and socio-economic growth.

CHALLENGES FACED BY SMEs IN RURAL INDIA

1. **Access to Finance**: One of the primary challenges is limited access to credit and finance. Traditional banks often hesitate to lend to rural SMEs due to perceived higher risks and lack of collateral. This limits their ability to expand or even sustain operations during tough times.
2. **Infrastructure Deficiencies**: Poor infrastructure in rural areas, including inadequate transportation and erratic electricity supply, severely impacts the efficiency and reach of these enterprises. This not only affects their day-to-day operations but also limits their ability to leverage technology.
3. **Digital Divide**: The technological gap is more pronounced in rural areas. Lack of internet connectivity and digital literacy hinders these SMEs from accessing new markets, utilizing online platforms for business, and adopting digital payment methods.
4. **Skilled Labor Shortage**: There is a scarcity of skilled labor in rural areas as many educated and skilled individuals migrate to urban areas for better opportunities. This leaves rural SMEs struggling to find and retain qualified employees.
5. **Market Access and Competition**: SMEs in rural areas often struggle with limited market access and heightened competition from larger companies and e-commerce platforms, making it difficult for them to expand their customer base.
6. **Regulatory Hurdles**: Navigating the complex web of regulations and bureaucratic procedures can be especially challenging for rural SMEs with limited resources and expertise in these areas.

POLICY INTERVENTIONS AND INITIATIVES

To boost the growth of SMEs in the service sector and their contribution to inclusive development in India, several policy interventions and initiatives can be proposed, like:

1. **Enhanced Access to Finance**: Establish dedicated financial schemes for SMEs to provide low-interest loans and credit guarantees. For example, the Credit Guarantee Scheme for Micro and Small Enterprises (CGTMSE) already provides credit without collateral.
2. **Streamlining Registration and Compliance Processes**: Simplify the registration process and reduce the regulatory burden for SMEs. Like, the Udyam Registration for MSMEs can be further streamlined to encourage more SMEs to formalize their businesses.
3. **Technology Upgradation and Digitalization**: Facilitate technology transfer and digitalization of SMEs. For example, the Digital MSME Scheme, which aims at digitizing the operations of MSMEs, can be expanded.

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4. **Skill Development and Training**: Implement targeted skill development programs. For example, the Skill India Mission can be tailored to address specific skill gaps in the service sector, focusing on digital skills, management, and customer service.
5. **Market Access and Promotion**: Create platforms for market access and promotion of SME products and services. Like, the Government e-Marketplace (GeM) provides an online platform for procurement of goods and services by government organizations from MSMEs.
6. **Infrastructure Development**: Develop infrastructure in rural and semi-urban areas to support SMEs. Like, the Micro and Small Enterprises-Cluster Development Programme (MSE-CDP) can be expanded to cover more regions and service sectors.

SMEs in rural India's service sector are integral to the economic and social structure of these communities. While they face significant challenges related to finance, infrastructure, technology, labor, market access, and regulation, addressing these issues is crucial for their survival and growth. Efforts from both the government and private sectors towards providing better financial options, improving infrastructure, bridging the digital divide, and easing regulatory processes can greatly assist these enterprises in overcoming their challenges and thriving in the long term.

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29. How did the opening up of the Indian economy lead to changes in the financial sector? Discuss the role of banking reforms, stock markets, and foreign exchange management. (600 words)

First ans: The opening up of the Indian economy in the early 1990s marked a significant turning point, not just for its economic growth, but also for its financial sector. Before the reforms, India was a closed economy, characterized by high state regulation, limited competition, and structural inefficiencies. However, the 1991 reforms brought sweeping changes, leading to a more vibrant, diverse, and competitive landscape. The overall GDP growth witnessed a remarkable jump, from **1.43%** in 1991-92 to **9%** in 2009-11, indicating a robust economic expansion. In this journey, the role of banking sector, stock market, and foreign exchange reforms are discussed below:

Banking sector reforms:

Prior to 1991, India's banking sector was dominated by public sector banks, which were inefficient due to a lack of competition. Their major focus was on the implementation of government plans aimed towards social welfare, at the cost of efficiency and profitability. Loan disbursements and interest rates were heavily regulated by the government.

Banking sector reforms initiated after 1990, as recommended by the **Narsimham Committee** and subsequent measures have had a transformative impact on the financial sector, with the following key aspects of change:

- **Increased operational freedom**: Gradual elimination of interest rates allowed banks to set their own rates based on market forces, increasing flexibility and responsiveness. CRR (cash reserve ratio) and SLR (Statutory Liquidity Ratio) were lowered, freeing up more resources for banks to lend.
- **Increased competition and efficiency**: Barriers to the entry of foreign and private banks were lowered, increasing competition and inducing new age technologies and practices, enhancing efficiency and innovation, lacking in nationalized banks.

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- **Improved regulation and supervision**: Introduction of stricter prudential norms, including capital adequacy requirements, income recognition norms, and asset classification strengthened financial stability and resilience.

Stock market reforms:

In the pre-1991 era, the stock market in India was unregulated and foreign investments were almost non-existent. Market manipulation was very common, which ultimately led to the Harshad Mehta scam. This led to the establishment of SEBI (Securities and Exchange Board of India) in 1992 to act as a stock market regulator. Opening up of the economy impacted the stock market sector in many ways, as discussed below:

- **Increased growth and participation**: The Sensex, a major stock market index, skyrocketed from around 1000 in 1991 to **72,000 in 2024**, signifying a massive increase in market capitalization and investor participation. This attracts both domestic and foreign investors, further fueling growth.
- **Enhanced stability and regulation**: Vigilance reforms undertaken by SEBI and improved surveillance systems by stock exchanges helped stabilize the market, making it more predictable and attractive for long-term investors. This also enhanced transparency and disclosure for companies, allowing investors to make informed decisions and improving confidence in the market.
- **Integration with global markets**: The reforms opened up the Indian economy to foreign investment, allowing FIIs (Foreign Institutional Investors) and FDIs (Foreign Direct Investors) to participate in the stock market. This infusion of foreign capital provides additional liquidity in the market, while also increasing the inflow of technology and knowledge.

Forex management reforms:

Prior to 1991, India followed a restrictive forex (foreign exchange) regime. During the BoP (Balance of Payments) crisis in 1991, when India did not have enough reserves to maintain imports for more than 02 weeks, India was forced to devalue its currency.

There was a crucial need to take effective measures to prevent any such crisis in the future. The reforms of 1991 brought many benefits to the forex sector as well. These are discussed below:

- **Increased flexibility and efficiency**: The FEMA (Foreign Exchange Management Act) replaced the earlier, more restrictive regulations, providing greater flexibility in conducting forex transactions. The establishment of forex markets facilitated efficient currency trading and risk management for businesses and investors. This allowed investors to hedge against currency fluctuations, protecting their profits and investments.
- **Enhanced competitiveness and attractiveness**: India shifted towards a market-determined exchange rate system, away from a fixed exchange rate system, which allowed the rupee to adjust based on market forces, making exports more competitive in the global markets. Capital flows were liberalized and repatriations of profits were made easier, attracting much-needed foreign capital for economic growth.
- **Integration with the global financial system**: The liberalized exchange rates led to greater openness and participation in the global financial system, allowing Indian businesses to access international markets, fostering innovation and competitiveness. Increased integration also led to an inflow of foreign capital, aiding in infrastructural development and technological advancements.

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The opening up of the Indian economy and subsequent financial sector reforms have been a transformative journey. They have helped India in many forms, such as mobilization of resources, building a robust and resilient financial sector, and integration with the global economy. While a few challenges remain, the overall impact has been positive, leading to a more vibrant, diverse, and competitive financial system that supports economic growth and development.

Second ans: "Reforms are not an event, but a process," remarked Manmohan Singh, architect of India's economic liberalization. The 1991 LPG (Liberalization, Privatization, and Globalization) reforms marked a paradigm shift in India's financial landscape. Initiated in response to a critical economic crisis, these reforms dismantled decades of protectionist policies, introducing an era of liberalization that revolutionized the financial sector. They not only opened the Indian market to global players but also spurred a series of transformative changes, reshaping India's economic narrative and setting the stage for rapid growth and development.

BANKING REFORMS

1. **Introduction of Private Banks**: Post-liberalization, the Indian banking sector saw the entry of private banks. This increased competition and efficiency. For example, HDFC Bank and ICICI Bank, established in the 1990s, brought in technological innovation and customer-centric services.
2. **Prudential Norms**: The Reserve Bank of India (RBI) introduced prudential norms for income recognition, asset classification, and provisioning. These norms made the banking system more transparent and accountable.
3. **Liberalization of Interest Rates**: Deregulation of interest rates led to more market-driven and competitive pricing of loans and deposits, enhancing customer choices and service quality.
4. **Banking Sector Recapitalization**: The government recapitalized public sector banks to strengthen their capital base, enabling them to expand credit.

STOCK MARKETS

1. **Establishment of SEBI**: The Securities and Exchange Board of India (SEBI) was set up in 1992 to regulate and develop the securities market. SEBI's guidelines increased investor confidence and market transparency.
2. **Electronic Trading**: The introduction of electronic trading through the National Stock Exchange (NSE) in 1994 revolutionized stock trading, making it more efficient and accessible.
3. **Dematerialization of Shares**: The move from physical certificates to electronic holding of shares reduced fraud and streamlined transactions.
4. **Foreign Institutional Investors (FIIs)**: Post-liberalization, the entry of FIIs brought in significant foreign capital. Their investment in Indian stock markets provided depth and stability to the markets.

FOREIGN EXCHANGE MANAGEMENT

1. **Liberalized Exchange Rate Management System (LERMS)**: Implemented in 1992, LERMS was a dual exchange rate system that marked the transition towards a market-determined exchange rate system, enhancing the efficiency of the forex market.
2. **Forex Reserves Buildup**: Post-liberalization policies led to a significant increase in India's forex reserves, providing a cushion against external shocks and improving international investor confidence.

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3. **Foreign Exchange Management Act (FEMA):** Enacted in 1999, FEMA replaced the Foreign Exchange Regulation Act (FERA), making transactions for external trade and investment easier and less restrictive.
4. **Full Convertibility on Current Account**: India achieved full convertibility on the current account, simplifying foreign transactions related to trade, services, and remittances.

EFFECT ON FINANCIAL SECTOR

1. **Increased GDP and Foreign Investment**: Liberalization led to a higher GDP growth rate and increased foreign direct investment (FDI) and foreign portfolio investment (FPI). For instance, the IT and ITES sectors witnessed a boom, attracting substantial FDI.
2. **Global Integration**: Indian companies gained easier access to global markets, as seen in the cases of Tata, Reliance, and Infosys, enhancing their global competitiveness.
3. **Improved Banking Services**: The entry of new-age private banks and foreign banks introduced advanced services like internet banking, mobile banking, and ATMs, significantly improving customer convenience.
4. **Stock Market Growth**: The market capitalization of Indian stock exchanges grew exponentially. The Sensex, for example, has shown remarkable growth since liberalization, reflecting the overall growth of the Indian economy.

The liberalization of the Indian economy fundamentally transformed its financial sector. These reforms ushered in an era of increased efficiency, competitiveness, and integration with the global economy. The banking sector became more robust and customer-focused, the stock markets more efficient and inclusive, and foreign exchange management more streamlined and liberal. This metamorphosis has been crucial in positioning India as a burgeoning economic powerhouse on the global stage.

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30. What were the major objectives of the LPG reforms in India? Discuss the significance of liberalization, privatization, and globalization in transforming the Indian economy. (600 words)

First ans: In 1991, India faced a serious economic crisis where it only had an import cover for just 02 weeks. This vulnerable situation pushed India onto a transformative journey, where it introduced the pivotal LPG reforms- Liberalization, Privatization, and Globalization. Sitting at a GDP of just around **2% in 1990**, India has now reached a level where it is **one of the most stable economies in the world**, with an average growth rate of **around 7%.** The journey has been a transformational one, where the reforms of 1991 played a crucial role. The reforms aimed to revitalize the economy and propel it towards a more open, market-driven future.

<u>Objectives of the reforms:</u>

1. **Stimulating economic growth**: The primary objective was to break free from the shackles of a sluggish, social-inspired economy. The reforms aimed to unleash the private sector's potential, fostering competition, innovation, and investment. Liberalization policies like reducing tariffs and simplifying business regulations facilitated easier entry for companies, encouraging market expansion and job creation.
2. **Building foreign reserves**: India faced a severe balance of payments crisis in 1991, with dwindling foreign exchange reserves. Globalization aimed to integrate India into a global economy. The reforms focused on attracting foreign investments and promoting exports, bringing in foreign capital and driving up the forex reserves, stabilizing the rupee, and improving India's creditworthiness in the international market.

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3. **Transforming into a market economy**: The pre-reform era saw extensive government control over sectors, leading to inefficiencies. Privatization and liberalization aimed to reduce government control by deregulation and transferring ownership to the private sector. This aimed to improve efficiency, enhance competition, and attract much-needed capital for development and modernization.
4. **Encouraging efficiency and innovation**: Liberalization also involved reducing bureaucratic red tape and streamlining administrative procedures. This aimed to create a more conducive business environment, enhancing the ease of doing business, and fostering entrepreneurship and innovation. Increased competition also helped in improving the quality of services and boost the adoption of newer technologies.
5. **Improving standards of living:** Ultimately, the LPG reforms aimed to improve the standards of living of Indians. By boosting economic growth, job creation, and infrastructural development the reforms aimed to generate wealth and increase disposable incomes. This, in turn, could lead to better access to services such as healthcare, education, and sanitation, uplifting the overall quality of life of citizens.

As India embarked on its journey, shifting from a centrally planned economy to a more market-oriented economy, it witnessed profound impacts on the nation's economic landscape. This change in India's remarkable growth trajectory can be attributed to the LPG reforms. Their significance in the nation's growth journey is discussed below:

Liberalization saw the dismantling of government controls on industries, allowing for greater freedom of movement for businesses. This sparked increased competition, driving innovation and efficiency. It also opened doors for imports, exposing Indian consumers to wider choices and pushing domestic producers to improve quality. Foreign exchange restrictions were relaxed, boosting trade and investment.

Privatization saw the government divesting ownership of public sector enterprises (PSEs) deemed inefficient or non-core. This injected much-needed capital into the economy, improved the financial health of the government, and instilled a sense of competition and accountability in the remaining PSEs. Notably, it also reduced the government's fiscal burden, allowing for increased investment in critical areas like education and healthcare. Some privatized entities, like airlines and telecom companies, witnessed significant growth and modernization.

Globalization integrated India into the global economic system, opening doors to foreign trade and investment. Increased exports boosted economic growth, while foreign direct investment (FDI) brought in much-needed capital, technology, and expertise. This enabled Indian companies to become more competitive in the international market and develop world-class products and services.

The combined impact of LPG has been transformative for the Indian economy:

- **Economic Growth**: India transitioned from a sluggish economy to a growth engine, from the **Hindu rate of growth (3.5%)** between 1950 and 1980, to now the rate averaging over **7%** in the past two decades. This has led to poverty reduction and improved living standards for millions.
- **Poverty Reduction**: Millions have been lifted out of poverty, with the poverty rate declining from 45% in 1991 to around **11% in 2023**. This has led to significant improvement in the living standards of people and enhanced their access to various social services.
- **Foreign Investment**: FDI (Foreign Direct Investment) has increased significantly since 1990, with a few periods of fluctuation. In 1990-91, FDI stood at merely $138 million, while in 2022-23, it reached **$83.6 billion**. The

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average annual growth rate of FDI between 1991 and 2022 was 17.43%. This surge contributed to infrastructure development, job creation, and technological advancement.

- **Export Boom**: India's exports have grown exponentially, from a mere $20 billion in the 1990s to a whopping USD **565 billion in 2023**, making it a major player in the global trade arena.
- **Job Creation**: New industries and sectors have emerged, leading to significant job creation, particularly in IT, services, and manufacturing. Data from the World Bank indicates that India's total employment increased from 292 million in 1991 to **524 million in 2023**. This translates to almost an 80% increase in employed population.

However, the LPG journey has not been without **challenges**:

- **Inequality**: The benefits of economic growth haven't been evenly distributed, leading to concerns about rising income inequality and social disparities.
- **Job displacement**: Some sectors, particularly in traditional industries, faced job losses due to competition and automation.
- **Vulnerability to external shocks**: Increased integration with the global economy has made India more susceptible to external economic fluctuations.

Despite these challenges, the LPG reforms have undoubtedly played a pivotal role in propelling India's economic transformation. The nation has emerged as a major global player, and the future holds immense potential for further growth and development. While challenges remain, the nation's economic trajectory is undoubtedly upward, fueled by the LPG reforms. By addressing the concerns and ensuring inclusive growth, India can continue to leverage its economic potential and become a leading player in the global arena.

Second ans: "The reforms of 1991 were a watershed moment in the history of India. They opened the floodgates of economic prosperity and put the country on the path to becoming a global superpower." - Narasimha Rao, former Prime Minister of India.

The LPG reforms, short for Liberalization, Privatization, and Globalization, ushered in a new era for the Indian economy in 1991. These reforms, initiated by then-Prime Minister Narasimha Rao and Finance Minister Manmohan Singh, aimed to address the economic stagnation and crisis India faced at the time.These reforms marked a paradigm shift in India's economic policy, steering the nation towards a path of liberalization and market-oriented growth.

MAJOR OBJECTIVES OF THE LPG REFORMS

1. **Economic Stabilization**: Facing a severe economic crisis, India needed urgent measures to stabilize its economy. The LPG reforms aimed at reducing the fiscal deficit and controlling inflation.
2. **Liberalization of the Economy**: A key objective was to liberalize the Indian economy from excessive regulations and licenses, known as the 'License Raj'. This included reducing government control over businesses, easing restrictions on private enterprise, and removing barriers to competition.
3. **Encouraging Foreign Investment**: The reforms sought to attract foreign direct investment (FDI) by easing regulations, offering incentives, and creating a more conducive environment for foreign businesses.

4. **Privatization of Public Sector Enterprises**: Selling or reducing the government's stake in several public sector units (PSUs) was targeted to improve efficiency, competitiveness, and to raise capital for the government.
5. **Global Integration**: Another major goal was to integrate the Indian economy with the global market. This involved reducing tariffs and trade barriers, promoting exports, and aligning India's trade policy with global norms.
6. **Financial Sector Reforms**: The LPG reforms also aimed at transforming the financial sector by establishing private banks, reducing government control in public sector banks, and encouraging competition in the financial market.
7. **Improving Infrastructure**: Recognizing the role of infrastructure in economic growth, the reforms also focused on developing better transport, communication, and energy infrastructure.

SIGNIFICANCE OF LPG

LPG reforms have been pivotal in transforming the Indian economy, each playing a distinct yet interlinked role in this metamorphosis:

A. **Liberalization**:
   1. Liberalization led to the dismantling of the License Raj, removing bureaucratic hurdles that had stifled innovation and efficiency. This deregulation spurred entrepreneurial activity and competition.
   2. Previously restricted areas like telecommunications and airlines were opened for private investment, leading to rapid growth and improved services.
   3. This included reducing government control over banks and allowing private banks to operate. The stock market was modernized, leading to increased investor participation and capital availability for businesses.

B. **Privatization**:
   1. Transferring public sector entities to private hands led to increased efficiency and competitiveness. For example, the privatization of Maruti Udyog Limited with Suzuki significantly boosted India's automobile sector.
   2. Selling stakes in public enterprises helped reduce the government's fiscal burden.
   3. Privatization brought market discipline into formerly government-run sectors, leading to cost reduction, improved quality, and innovation.

C. **Globalization**:
   1. Relaxation in FDI norms attracted foreign investments. Sectors like IT and services benefitted immensely, with the IT sector's contribution to GDP rising from 1.2% in 1998 to 7.5% in 2023.
   2. India’s exports grew from about $18 billion in 1990-91 to $38.45 billion in December 2023 only, showcasing enhanced global market integration.

The LPG reforms revolutionized India's economy, dismantling the License Raj, inviting foreign investments, and fostering competitiveness. Liberalization opened sectors for private participation, privatization enhanced efficiency, and globalization integrated India into the global market, leading to exponential growth in sectors like IT and telecommunications, significantly boosting India's GDP and transforming it into a dynamic, market-driven economy.

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31. How did the wave of de-globalization impact the global & Indian economies post GFC? Also cite global events focusing on de-globalisation. (600 words)

First ans: Due to various global instabilities and volatilities, the world economies have been transitioning into close economies. Countries have been increasing policy rates and moving towards protectionism. This has led to a reduction in the integration of the world, known as **de-globalization**. The GFC (Global Financial Crisis) of 2008 though started in the US, sent shockwaves throughout the global economy, triggering a wave of de-globalization that continues to reshape international trade and the economic landscape. This trend, characterized by increased protectionism, trade barriers, and supply chain disruptions, has had significant implications for both global and Indian economies.

Global impacts of de-globalization:

- **Economic growth deceleration**: The decrease in overall trade and investment flows due to de-globalization has resulted in a sluggish pace of worldwide economic growth. According to the **IMF** (International Monetary Fund), de-globalization is anticipated to cause a potential **7% reduction in global GDP** by **2026**.
- **Supply chain disruptions**: The de-globalization trends have triggered a reassessment of GVCs (global value chains). Companies have realized the importance of building resilience through diversification and shortening of their supply chains to reduce reliance on a single geographic area. Disruptions in pivotal production centers, such as China during the pandemic underscored the necessity for diversification and resilience.
- **Surge in trade protectionism**: Nations have increased the use of protective measures like tariffs and quotas to safeguard their domestic economies from foreign competition and vulnerability. This has ignited trade conflicts and fueled the disturbances in global supply chains.

Indian impacts of de-globalization:

- **Mixed impact**: The Indian economy faced a mixed impact of de-globalization. On one hand, India benefited from the decline in global trade by becoming an attractive destination for foreign investors. On the other hand, India's export growth has slowed down in recent years, partly due to de-globalization trends and the rise of protectionism. This has put pressure on Indian jobs and businesses that rely on international trade.
- **Focus on the domestic market**: The Indian government has responded to de-globalization by focusing on domestic production and self-reliance. This has led to initiatives such as '**Make in India' and 'Atmanirbhar Bharat**', which aim to boost domestic production and reduce import dependence.
- **Opportunities in regional trade:** While de-globalization presents multiple challenges, it has created opportunities for India to strengthen its position in regional trade agreements, such as **RECP** (Regional Comprehensive Economic Partnership). This could provide India with new markets and boost exports.

Overall, the wave of de-globalization has led to both positive and negative impacts on the global and Indian economies. Some of the **major events** in the world that have contributed to the rise of de-globalization are outlined below:

- **Global Financial Crisis**: The subprime crisis exposed many of the weaknesses of the global financial system and highlighted the risks associated with rapid integration and financial markets. Many countries responded to the crisis by imposing new regulations on the financial sector and adopting more protectionist policies to protect their economies.

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- **Brexit**: The United Kingdom's decision in 2016 to exit the European Union symbolized a rejection of regional integration and a pursuit of national sovereignty. This move indicated a shift towards a more self-reliant economic and political stance.
- **US-China trade wars**: The trade conflict between the US and China involved reciprocal imposition of tariffs, aimed at safeguarding domestic economies and addressing trade imbalances. This dispute led to a significant disruption in supply chains, highlighting the vulnerabilities of an integrated global economy, leading countries to focus on building resilience.
- **C19 Pandemic**: The COVID-19 pandemic compelled governments to prioritize domestic health and economic concerns over global cooperation. This resulted in export restrictions of medical supplies, exposing vulnerabilities in globalized supply chains and prompting a reassessment of supply chain resilience.
- **Russia-Ukraine conflict**: The ongoing war in Ukraine has further exacerbated concerns about global interdependence. Energy security and food supply chains have been significantly impacted, highlighting the challenges of relying on distant suppliers in times of geopolitical instability.

While de-globalization has been on the rise in recent years, it is important to evaluate its costs and benefits carefully. While protectionist policies may offer short-term benefits, they may also limit the opportunities for growth and innovation in the long run. For India, navigating this complex landscape will require careful policy choices that balance the need for domestic growth with the benefits of international trade and investment. Embracing technological advancements, investing in infrastructure, and building a skilled workforce will be crucial for India to thrive in this evolving global environment.

Second ans: United Nations Conference on Trade and Development (UNCTAD) views de-globalization as a process marked by diminishing reliance on global markets and a reorientation towards national or regional markets, often accompanied by policies aiming to protect local industries and labour markets.The wave of de-globalization that followed the Global Financial Crisis (GFC) of 2008 had significant impacts on both the global and Indian economies.It was driven by several factors, including protectionist policies, geopolitical tensions, and a re-evaluation of the benefits and costs of globalization.

IMPACT ON THE GLOBAL ECONOMY

1. **Shift to Slowbalization**: Post-GFC, the world witnessed a phase often referred to as "Slowbalization." This period was characterized by a prolonged slowdown in the pace of trade reform and a weakening of political support for open trade amid rising geopolitical tensions.
2. **Rise in Protectionism**: Post-GFC, many countries adopted protectionist measures. The United States (US) imposed tariffs on various imports, triggering trade wars, notably with China. This shift towards protectionism disrupted global supply chainsand dampened international trade growth.
3. **Geopolitical Tensions**: Events like the US-China trade war, Brexit, and ongoing tensions in the Middle East contributed to uncertainty in global markets, leading to a rethinking of global economic alliances and trade agreements.
4. **Economic Nationalism**: There was a noticeable rise in economic nationalism, where countries prioritized domestic industries and job protection over global economic integration. This trend was evident in the US and parts of Europe, where there was a backlash against free trade agreements perceived to be harming local industries.

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IMPACT ON THE INDIAN ECONOMY

1. **Trade Policy Adjustments**: India, like many countries, became more cautious in its approach to free trade agreements post-GFC. There was an increased emphasis on protecting domestic industries and a more measured approach to liberalizing trade.
2. **Foreign Investment**: In response to global shifts, India made efforts to attract foreign investment through initiatives like 'Make in India'. These efforts aimed to position India as an attractive alternative to traditional manufacturing hubs like China.
3. **Focus on Domestic Markets**: India also saw a renewed focus on strengthening its domestic markets and industries. This included initiatives to boost local manufacturing, technology, and innovation, partly as a buffer against global economic uncertainties.
4. **RCEP Negotiations**: India's decision to not join the Regional Comprehensive Economic Partnership (RCEP) in 2019 was a significant move reflecting its cautious stance on wide-ranging trade agreements in the de-globalization context.

GLOBAL EVENTS FOCUSING ON DE-GLOBALIZATION

1. **Trade Protectionism and US-China Trade war**: In January 2018, the U.S. imposed tariffs and trade barriers on China to address unfair practices and intellectual theft, triggering a trade war that impacted global trade and slowed economic growth. Consequently, U.S. imports and exports fell by 44.30% and 23.12%, while China's declined by 65.08% and 2.78%, respectively.
2. **Brexit**: The exit of the United Kingdom from the European Union in 2020, was influenced by various factors, including sovereignty, immigration, economic concerns, and anti-establishment sentiments. Central to Brexit's ideology was the belief that UK's decisions should be made within the UK.
3. **COVID-19**: The pandemic, emerging in March 2020, significantly intensified the trend towards de-globalization. Following the trade disruptions caused by the Trade Wars and Brexit, the pandemic brought global trade to a near standstill. Export bans played a crucial role in this downturn, resulting in a sharp decline in global trade and growth, with trade volumes dropping by 13-32% in 2020.

The wave of de-globalization post-GFC marked a significant shift in the global economic landscape. It led to greater economic nationalism, shifts in trade policies, and a re-evaluation of global supply chains. For India, this period was characterized by a cautious approach to trade liberalization, efforts to attract foreign investment, and a focus on strengthening domestic industries. This period represents a critical juncture in the history of global economic relations, with long-lasting impacts on trade, investment, and economic policy.

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32. Enumerate the key features of Foreign Trade Policy 2023 (FTP 2023). Critically analyse the potential of FTP 2023 in boosting India's export competitiveness and making the country a key player in the global trade landscape. (600 words)

First ans: India's aspirations for dominating global trade are no secret and the Foreign Trade Policy (FTP) 2023 stands as a key roadmap for achieving them. The recently unveiled FTP 2023 aims to fuel India's export engine through its **04 pillars strategy:** incentives to remission, export promotion through collaboration, ease of doing business, and embracing emerging areas. This approach not only aims to boost India's export competitiveness, but

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also propel India towards a coveted position in the global trade map. With an ambitious target of boosting exports to **$2 trillion by 2030 and making India a $5 trillion economy by 2025**, the policy boasts a plethora of features designed to push India's trade to the next level. The key pillars that form the base of the policy are discussed below:

Pillar 1: Incentivizing remission:

- **Duty exemption and remission schemes**: FTP 2023 expands the existing **EPCG** (Export Promotion Capital Goods) scheme and **AAS** (Advance Authorization Scheme) to provide duty-free imports of capital goods and inputs to be used in export-oriented units. This reduces the production costs for exporters and improves price competitiveness.
- **Amnesty scheme**: Similar to the 'Vivaad se Vishwas' scheme, the government rolled out a one-time amnesty scheme, allowing exporters with **unmet export obligations** under EPCG and AAS to regularize by paying customs proportionate to their unfulfilled obligations. This aims to reduce litigation and foster a trust-based relationship with the government.

Pillar 2: Collaborative export promotion:

- **Town of Export Excellence (TEEs)**: The policy provides export-oriented clusters in towns with infrastructure upgrades and incentives for potential export hubs, fostering regional specialization.
- **Promoting export from the districts**: The FTP aims at building partnerships with State governments and taking forward the **Districts as Export Hubs (DEH) initiative** to promote exports at the district level and accelerate the development of the grassroots trade ecosystem.
- **Status Holder Scheme**: Recognizing consistently high-performing exporters, the policy grants them benefits like fast-track clearances and reduced compliance burden, further boosting their efficiency.

Pillar 3: Ease of doing business:

- **Digital transformation**: Streamlining processes through e-commerce platforms, online trade facilitation, and digital documentation acceptance significantly reduces transaction costs and processing time.
- **Reduced compliance**: Reducing physical inspection with self-declarations and risk-based assessments for trusted exporters fosters trust and reduces compliance burdens.

Pillar 4: Embracing emerging areas:

- **Facilitating e-commerce exports**: The FTP 2023 plans to establish e-commerce hubs, aiding Indian exporters in leveraging global opportunities. Acknowledging the growing e-commerce landscape, the policy raises consignment value limits for courier-based e-commerce exports, benefiting small businesses and niche products.
- **Dual-use technology**: Streamlining the export of dual-use technology under **SCOMET** (Special Chemicals, Organisms, Materials, Equipment, and Technologies) promises to unlock opportunities in strategic sectors like aerospace and defense.

India's FTP 2023 aims to propel the country into the international trade arena, eyeing ambitious export targets. While its potential cannot be dismissed, a critical analysis reveals both **promising avenues and potential pitfalls.**

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Potential advantages:

- **Policy stability**: With **no sunset clause**, the policy assures stability to Indian exporters and importers amid global geopolitical volatilities.
- **Export growth:** The policy targets **$2 trillion exports** by 2030, currently standing at around **$750 billion**, focusing on emerging sectors and streamlining processes to unlock new markets and diversify.
- **Enhanced competitiveness**: Duty-free imports of capital goods, simplified procedures, and targeted incentives reduce production costs, improving the price competitiveness of Indian goods in the international markets.
- **Focus on emerging sectors**: FTP 2023 prioritized high-tech manufacturing, pharmaceuticals, and e-commerce, reducing dependence on traditional exports and enhancing resilience against shocks.
- **Improved Ease of Doing Business**: Streamlined procedures, digitalization, and reduced compliance burden attract foreign investors, making India more appealing. Fee reduction and IT-based systems ease access to export benefits for **MSMEs** that make up a major portion of Indian exports.

Shortcomings and Limitations:

- **Implementation Challenges:** The success of the policy hinges on efficient implementation by various government agencies. Streamlining procedures and effectively utilizing digital platforms may pose challenges in the initial stages.
- **Infrastructure Bottlenecks**: Inadequate infrastructure, particularly in logistics and transportation, can hinder the smooth flow of goods and limit the effectiveness of the policy's incentives.
- **Skill Development Gap:** The policy's focus on emerging sectors necessitates a skilled workforce. Bridging the skill gap through targeted training programs is crucial for harnessing the full potential of these sectors.
- **Market Access Barriers**: Addressing non-tariff barriers and forging stronger trade agreements with key partners is essential for Indian exporters to fully penetrate international markets.

The realization of FTP 2023's ambitious goals necessitates a comprehensive strategy involving effective implementation, infrastructure, and skill development, and continual adaptation to global trade dynamics. While the policy highlights pivotal shifts towards a dynamic and streamlined export ecosystem, success hinges on overcoming challenges and staying responsive to evolving needs. Regular monitoring, stakeholder engagement, and adjustments are imperative for sustained success. With a commitment to addressing gaps and embracing emerging areas, FTP 2023 has the potential to elevate India's standing in the global trade arena, paving the way for accelerated exports and economic growth in the years ahead.

Second ans: The Foreign Trade Policy (FTP) 2023 is a policy document which is based on the continuity of timetested schemes of exports. It underwent significant interventions based on the changing global economic landscape and continuous feedback from the trade and industry. It is based on the principle of trust and partnership with exports and it relies on 4 pillars which are as follows:

1. From Incentives to Remission
2. Emerging areas
3. Ease of doing business
4. Export promotion through collaboration

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The FTP 2023 aims at Indian exports of USD 2 trillion by 2030, with equal contribution from both the service and merchandise sectors. The government also intends to promote Indian currency in cross-border trade. It is a continuous framework with no end date but is responsive to changes, whenever deemed necessary.

Key features of FTP 2023:

1. **Process Re-engineering and Automation**: The policy focuses on shifting from incentives to remission along with a reduced fee structure to support MSMEs. It emphasises promotion through automation and IT solutions for easy procedures and compliance.

2. **Towns of Export Excellence (TEEs**) four TEEs (Faridabad, Moradabad, Varanasi and Mirzapur) have been added to the existing 39 towns. These towns will have the benefits of Export Promotion funds under the MAI scheme and they can also avail claims under the Common Service Provider (CSP) scheme of EPCG.

3. **Recognition to Exporters**: The threshold for the 4 and 5-star rating has been reduced, leading to better branding opportunities in the export markets.

4. **Promoting Exports from districts**: FTP aims at building partnerships with State Governments to promote the District as an Export Hub (DEH) initiative. It will promote rts from the districts and accelerate the development of the grassroots trade ecosystem.

5. **Streamlining SCOMET policy**: SCOMET refers to Special Chemicals, Organisms, Materials, Equipment and Technology items which are dual-use items having the potential for both civilian applications as well as weapons of mass destruction. FTP focuses on the "Export Control Regime" to alithe International Trades and Treaties.

6. **Facilitating E-commerce Exports**: FTP outlines a roadmap for the establishment of India as an economic hub. It is estimated that ecommerce has the potential to reach USD 200-300 billion by 2030. As a starting point, the consignment-wise gap in e-commerce exports through throcouriersrier has been raised from rupee 5 lahks to 10 lahks.

7. **Facilitation under EPCG (Export Promotion Capital Goods) and AA (Advanced Authorisation) Scheme**: The EPCG scheme which allows the import of capital goods at zero customs duty is further rationalised. PM MITRA scheme has been added to avail CSP benefits. Dairy products have been exempted from maintaining Average export Obligation. Battery electric vehicles and wastewater management tools, among others,s will be eligible for reduced export obligation.

8. **Amensty Scheme**: The government has introduced a special one-time Amnesty Scheme under which exporters who were unable to meet their obligations can be regularised on payment of outstanding. It will help in reducing litigation to help alleviate the issues faced by exporters.

Potential achievements of FTP 2023:

1. Supporting MSMEs: The policy facilitates easy access to export benefits, reduces fee structures and implements IT-based compliance.
2. Creating new Export Centres: The addition of new towns as Towns of Export Excellence is expected to boost the share of exports from the targeted areas.

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3. Ground-level Strategies: The policy emphasises collaboration between exporters, states, and districts to promote exports. This can help in identifying the challenges faced by the exporters and speedy resolutions.
4. Competition and Efficiency:The promotion of exported domestic products in the global market exposes it to competition which will force it to improve product quality and become more efficient.
5. Technological Development: The FTP is focussing on automation which will help in the development of technology. More R&D will be done to promote ease of doing business.
6. Internationalisation of Rupee: As one of the major goals of the policy is to encourage cross-border trade in Indian currency, it will reduce the dependency on the Dollar and reduce the exchange rate risk.

FTP has the potential to establish India as a key player in the global economic landscape but its success can have certain roadblocks such as:

1. **Non-updation of the 1992 act**: The FTP is notified under the Foreign Trade Act, of 1992. However, this act still focuses on regulating and restricting trade, rather than facilitating it.
2. **Not addressing the weaknesses of the RoDTEP scheme**: The RoDTEP scheme exempts the taxes and levies to the exporters. It fails to address the lower-than-desirable rates of remission of duties under the scheme.
3. **Lack of focus on critical components in export**: Policy lacks focus on logistic efficiency and efficient multi-modal infrastructure.
4. **Lack of active coordination** from the states may impact the effective implementation of the policy.
5. The policy relies on export incentives rather than improvements in product quality and production efficiencies which are the new policy instruments.

To achieve the target of increasing overall exports to $ 2 trillion, there is a need to integrate the Logistics Policy with foreign trade policy for optimal utilisation of the resources. Further, there is a need for active state participation in the implementation of the policy and providing the necessary infrastructure and resources for making a grassroots export promotion policy a success.

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33. India has advocated for a "Peace Clause" to protect food security programs from WTO challenges. Evaluate the effectiveness of this clause and its implications for future negotiations on agricultural subsidies. Is it a sustainable long-term solution for developing countries like India? (600 words)

First ans: India's advocacy for the 'Peace clause' at the WTO (World Trade Organization) has sparked debates about the intricate challenge of balancing food security for developing nations with the principles of free trade. This clause, formally known as the 'Special provision for food security purposes in developing country members' within the **Bali package of 2013**, allows developing countries like India to exceed the **10% cap** on food subsidy programs for their own people, without facing any immediate legal action under the WTO agreements. The effectiveness of this clause can be measured by evaluating its benefits and challenges from various perspectives, as discussed below:

<u>The positives:</u>

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- **Guaranteeing staple availability**: India, with its vast population and diverse food requirements, relies heavily on its public stockholding programs like the **MSP** (minimum support price). The Peace Clause is crucial as it allows India to support its vast population, with an estimated **800 million** beneficiaries receiving subsidized food grains through **NFSA** (National Food Security Act).
- **Protection against shocks**: Under the current geo-political volatilities, it is crucial not to rely on unstable global value chains. The Peace Clause empowers the government to manage food stocks, stabilize domestic prices during times of crisis, and prevent further devastations.
- **Flexibility**: The clause offers a temporary relief, allowing developing nations to adjust their subsidy policy and gradually align with WTO rules. This flexibility provides room for nations and helps them in navigating the complex realities of agricultural reforms.
- **Promoting farm income and rural development**: The MSP system, protected by the Peace Clause, provides a guaranteed minimum price for farmers, incentivizing production and contributing to rural development.

The challenges:

- **Distorting markets**: Developed countries, particularly major food exporters like the USA and Canada, argue that such clauses and reliefs distort global trade markets by incentivizing overproduction and undercutting fair competition. This could potentially harm farmer livelihoods in such nations, hindering fair trade practices.
- **Lack of transparency**: The Peace Clause's requirements are criticized as being insufficient. Concerns exist about the lack of transparency in the utilization of programs and incentives provided under the clause.
- **Unsustainable dependence**: Overreliance on the clause could incentivize developing countries to delay their structural reforms in agriculture and depend upon subsidies, hindering long-term growth and competitiveness.

Implications for future negotiations:

The clause has highlighted the need for a differentiated approach for developing countries, acknowledging the unique challenges faced by them in achieving food security. This has led to calls for the 'special and differentiated treatment' provisions under the **AoA (Agreement on Agriculture)** tailored to the specific needs of developing countries.

However, the clause also presents challenges for future negotiations by creating a deeper divide between developed and developing nations on agricultural subsidies. While the developing countries seek permanent exemptions, the developed nations push for stricter limits for reduced distortions. Additionally, a lack of clarity on the duration and scope of the clause can lead to uncertainties, hindering progress towards a more permanent solution.

Evaluating sustainability:

The long-term sustainability of the Peace Clause for developing countries is debatable. While it offers temporary relief, it does not target the core and structural issues causing food insecurity, such as poverty, inadequate infrastructure, and climate change. Moreover, its reliance on exemptions and subsidies can create long-term friction and hinder progress towards a more equitable and sustainable food system.

While the Peace Clause has served as a shield for India's food security programs, its long-term sustainability remains uncertain. Although it is effective in protecting vulnerable populations, concerns remain about trade distortions and inequities. It is crucial to focus on more long-term and sustainable solutions, targeting core issues

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required to balance food security and trade principles. Increasing transparency, exploring alternatives, and finding common ground through negotiations will be pivotal in navigating the future of agricultural subsidies and ensuring food security for all.

Second ans: Under world trade organizations' agreement on agriculture (AoA), countries are required to limit their food subsidies to 5% for developed nations and 10% for developing ones, of the agricultural production in 1986-87. But during this time, the agricultural produce of India was very low. Hence, the quantitative value of 10% limit for India is way lesser than the 5% limit of developed countries, restricting India to give subsidies for agriculture related activities. Whereas, developed countries can give more subsidies and assistance making the products much cheaper. This makes it difficult for the Indian farmers to sustain in the market. WTO peace clause came as a solution to this by giving temporary immunity to India and other developing countries to give as much subsidy as they want for food programs without challenges from developed nations. The peace clause proved to be effective in the following ways:

- **Nourishing the underprivileged**: It gives government a free hand to help poor farmers and malnourished people in the form of subsidies under national food security act and procurement at minimum support price. In 2022, India used peace clause to provide excess support to rice farmers of $7billion breaching the 10% limit.
- **Food security during unfavourable times**: it serves as a protection against shocks. During covid-19 pandemic, public stock holding of food grains helped countries like India to provide free food grains for the vulnerable population. This stock helped over 800milion people with the help of WTO peace clause.
- **Promoting farm income and rural development**: the clause covers the minimum support price system which guarantees income for farmers promoting them to get involved in the agricultural sector without any loss and hence contributes to the rural development of the country.
- **Legal security**: It gives developing countries freedom to give subsidies as per need without worrying about disputes by the developed nations as long as they comply with conditionalities on export subsidies and domestic support under the agreement on agriculture.

Challenges:

- **Subsidy ceilings**: It allows countries to exceed the subsidy limit but only to a certain limit. If a country exceeds that limit, it could be challenged under agreement on subsidies and countervailing measures at WTO.
- **Limited scope**: the clause applies to only certain type of subsidies specially to those related to public stock holding for food security purposes. Other types of food subsidies are not covered under this.
- **Overdependence**: overreliance on the clause will delay the reforms needed in the agricultural sector hampering the long-term growth of the country.

It has certain implications for future negotiations on agricultural subsidies as follows:

- The clause has highlighted the need for a differentiated approach for developed and developing countries. This creates a gap and insecurity between the two.
- The clause also presents challenges for future negotiations by creating a deeper divide between developed and developing nations on agricultural subsidies.
- On one hand, the developing countries seek for permanent exemptions, on the other hand developed ones push for stricter norms for reduced distortions making it difficult to come to a common solution.

- The lack of clarity on duration and scope of clause can lead to uncertainties, hindering progress towards a more permanent solution.

Peace clause gives relief to developing countries to some extent but it is a temporary solution. Although it addresses the issue to some extent, it does not include all subsidies and if the limit is crossed, it can be challenged under agreement on subsidies. Moreover, it does not address the cause of problems like poverty, inadequate infrastructure, faced by developing countries on account of which the subsidy is being demanded. This makes the sustainability of peace clause questionable. For a country like India, having huge population that needs support, a permanent and comprehensive solution would be needed covering all the challenges.

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34. "The IMF is a firefighter, while the World Bank is an architect." Critically evaluate this statement, highlighting the distinct roles, functions, and approaches of these two institutions in addressing global economic challenges. (600 words)

First ans: The analogy of the International Monetary Fund (IMF) as a firefighter and the World Bank as an architect is both insightful and reductive. This analogy highlights the immediate crisis response nature of the IMF, similar to a firefighter managing a fire, and the long-term developmental focus of the World Bank, comparable to an architect carefully planning and constructing a building. While it captures their distinct approaches, it risks oversimplifying their complex roles in tackling global economic challenges. The unique functions and roles of each institution are discussed below:

The IMF as a Firefighter:

When an economic crisis strikes, be it the Asian financial crisis of 1997 or the recent recession caused by COVID-19, it's like a raging fire threatening to engulf the entire structure. This is where the IMF springs into action, equipped with its financial toolkit. Its primary focus is on short-term crisis prevention and stabilization. This "firefighting" role involves:

- **Immediate Response**: Acting as a primary responder, the IMF swiftly provides financial aid to member nations grappling with balance of payments crises or currency instability. IMF recently gave a bailout of around $3 billion to the **Sri Lankan** economy under chronic stress.
- **Strategic Guidance**: In addition to providing financial aid, the IMF offers expert guidance on macroeconomic policies, analyzing a country's circumstances, identifying weaknesses, and proposing corrective actions to contain crises and prevent future occurrences.
- **Surveillance and Early Alert System**: The IMF keeps a close watch on global and national economic trends, identifying potential risks and vulnerabilities, enabling countries to take preventive measures.

The IMF's efficacy stems from its capacity to respond promptly and resolutely during crises. Nonetheless, its focus on short-term stability can sometimes lead to criticism of imposing austerity measures that hurt the poor and hinder long-term growth.

The World Bank as an Architect:

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The World Bank acts like a patient architect, laying the foundation for long-term economic development and poverty reduction. Its focus is on targeting **core issues** in the global economy such as investing in infrastructure, education, healthcare, and other critical sectors that drive sustainable growth and improve living standards. This "architectural" approach involves:

- **Building for the Future**: The World Bank is all about making plans for the long run, aiming to grow economies and reduce poverty over time. It provides loans for infrastructural projects and invests in areas like education, healthcare, and protecting the environment. These investments act like building a strong base, essential for creating a strong and prosperous future.
- **Fighting Poverty**: The World Bank's core mission is to alleviate poverty and improve living standards. It partners with developing countries to make changes that help the economy grow, create jobs, and support vulnerable communities.
- **Specialized Know-How:** The World Bank boasts expertise in various sectors like farming, water management, education, and governance. This knowledge helps it tailor its help to the specific needs and challenges of each country, much like an architect adjusts plans to fit different landscapes and materials.

The World Bank's strength lies in its long-term vision and its commitment to addressing the root causes of poverty and inequality. However, its long-term approach can be criticized for being slow and bureaucratic, and its projects may not always have immediate visible results.

<u>Comparison of contrasting approaches:</u>

- **Crisis-oriented vs. development-oriented**: The IMF adopts a crisis-oriented approach, reacting to immediate threats to economic stability. On the other hand, the World Bank focuses on long-term development measures, aiming to make structural changes and targeting core issues.
- **Reactive vs. proactive approach:** The IMF plays a reactive role, in responding to financial crises and imbalances, while the WB plays a proactive role, in promoting long-term development and poverty reduction.
- **Different focus areas:** IMF focuses on stabilizing the global monetary system and promoting trade. On the other hand, WB aims at reducing poverty and promoting long-term economic development.

While the "firefighter" and "architect" metaphors help us understand the distinct roles of the IMF and the World Bank, their work is not entirely independent as they often work in synergy. IMF's stabilization creates space for World Bank's long-term projects. Conversely, World Bank's investments in crucial sectors increase productivity and build resilience against future crises, making countries less susceptible to future crises that might require IMF intervention

The IMF and World Bank stand as pivotal entities in grappling with worldwide economic challenges, each contributing in distinct yet interlinked ways. As the global economy undergoes dynamic changes and confronts emerging challenges like climate change and inequality, the adaptability of both institutions becomes paramount. It is imperative for the IMF and World Bank to not only evolve their strategies but also foster effective collaboration. By doing so, they can collectively navigate the complexities of contemporary global issues, ensuring a sustainable and equitable future. In this ever-evolving landscape, the cooperative efforts of these institutions play a central role in shaping a resilient and fair global economic framework.

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Second ans: The IMF and the World Bank were both established at the Bretton Woods, New Hampshire, in 1944. They are collectively referred to as the Bretton Woods Institutions. Both institutions share a common goal of raising living standards in their member countries and promoting global economic stability and development. However, they differ in their mandates and ways as IMF focuses on eliminating financial crisis and prevent contagion from spreading through the global financial system and this is why it is referred to as 'firefighter' while World Bank acts as an 'architect' by building education, health and financial infrastructure of developing countries.

The distinct roles, functions and approaches of these two institutions is explained below:

1. **Differences in purpose and role**:
   World Bank works with developing countries to reduce poverty and increase shared prosperity, while the IMF serves to stabilize the international monetary system and acts as a monitor of the world's currencies.
   The role of both World Bank and IMF is complementary. While the IMF focuses on short-term stabilization and crisis management, the World Bank emphasizes long-term development and structural reforms.
   While the IMF is convinced that a fundamental condition for international prosperity is an orderly monetary system that will encourage trade, create jobs and expand economic activity, the World Bank is serving the purpose of promoting economic and social progress in developing countries by helping to raise productivity so that their people may live a better and fuller life.

2. **Functions, operations and sources of funding**:
   World Bank has two constituents – International Bank for Reconstruction and Development (IBRD) and International Development Association (IDA). IBRD lends to governments of middle income and credit worthy low-income countries and IDA provides interest free loans and grantsto governments of the poorest countries. Thus, the bank provides financial and technical assistance to developing countries by supporting specific projects.
   The World Bank intermediates between investors and recipients, borrowing from the one and lending to the other. Its owners are governments of 187 countries. The IBRD obtains most of its funds by issuing bonds in the world's financial markets. The Bank is a major borrower in the world's capital markets.

   On the other hand, IMF works to foster global monetary cooperation and secure financial stability. It provides regular assessments of the financial developments in its member countries thereby preventing crisis. It also provides short-term financial assistance to member countries facing BOP problems. In addition, it also offers technical assistance and capacity development.
   IMF is not a bank and does not intermediate between investors and recipients. Nevertheless, it has at its disposal significant resources which come from quota subscriptions, membership fees paid by IMF's 190-member countries. While the world bank borrows and lends, IMF is more like a credit union creating a common pool of resources.

3. **Approaches in addressing global challenges**:
   Conditions attached to World Bank assistance often relate to the effective implementation of development projects. On the other hand, IMF assistance comes with strict conditions related to economic policies, fiscal measures, and structural reforms.

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The World Bank takes a long-term perspective, looking to address the underlying causes of poverty but The IMF's interventions are typically short-term, aiming to stabilize a country's economy.
The World Bank provides financial support for development projects, often in the form of loans or grants while IMF's approach can be to allocate Special Drawing Rights (SDRs) to its member countries in global economic crisis. In a brief SDR is an international reserve asset created by IMF to supplement its member countries' official reserves. It's value is determined based on a basket of 5 major international currencies (presently U.S. dollar (USD), euro (EUR), Chinese renminbi (CNY), Japanese yen (JPY), and the British pound sterling (GBP).

In conclusion, both the World Bank and the IMF have distinct mandates which allow them to contribute each in its own way. In the changing economic global landscape, the roles of both institutions are evolving and their approaches reflect their different priorities but the end goal of both the institution is 'inclusive development'.

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35. Critically analyze the potential of India's demographic dividend to drive economic growth. Discuss the key challenges India faces in harnessing this dividend and suggest policy measures to overcome them. (600 words)

First ans: India boasts a burgeoning population, presenting a potential goldmine in the form of a '**demographic dividend'**. According to the **World Bank**, a demographic dividend corresponds to a **20-30 year old period** in a country's demographic transition when the proportion of the working-age population increases rapidly, as compared to the number of dependents. With over **600 million** people between the ages of 18 and 35 and a projected peak of the working-age population at **59% in 2041**, India possesses a huge potential to propel its economic growth. This potential windfall, however, comes with its set of challenges. A critical analysis reveals both the immense potential and the pitfalls that lie ahead.

<u>The potential:</u>

- **Labour force boom**: India's working-age population is expected to peak in 2041, highlighting a vast pool of human capital. This surge signifies enhanced productivity, potentially catalyzing industries, attracting investments, and fostering higher GDP growth.
- **Innovation powerhouse**: A young working population tends to exhibit heightened levels of creativity and entrepreneurship. With its young demographics, India possesses a fertile ground for innovation, driving technological advancements and propelling the nation onto the global stage.
- **Consumption driver**: With the expansion of the working class, purchasing power also boosts, thereby stimulating domestic demand and cultivating a dynamic consumer market.
- **Decreased dependents**: A reduction in the number of dependants in families increases the saving capacity of the population, increasing capital for investments. A diminished dependent population also reduces the burden on public resources, making room for more investments in productive sectors.
- **Investment magnet**: India's demography can effectively address global labour shortages, making it an attractive destination for international businesses in search of a skilled and cost-effective workforce. The nation has the potential to emerge as a global outsourcing hub, providing a substantial push for economic growth and generating employment opportunities.

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India's demographic dividend, characterized by an increased working-age population relative to dependants, has been widely recognized as a potential catalyst for economic growth. This advantage, however, comes with a set of **challenges that need strategic policy interventions** for the effective harnessing of the dividend. Such challenges and measures to overcome them are discussed below:

- **Inadequate education and skill development**: Despite having a youthful population, a substantial segment lacks the requisite skills for modern economic competitiveness. The education system often falls short of imparting industry-relevant skills, resulting in a huge skill gap in India's workforce.
    - Policy measures: Aligning education curriculum with industry requirements, including provision of vocational training. Focus on soft skills, critical thinking, and digital literacy.
- **Jobless growth:** Despite a sizable working-age population, concerns remain over underemployment and unemployment. The lack of quality job opportunities discourages youth participation and hinders growth.
    - Policy measures: Promote labour-intensive sectors, such as manufacturing, to absorb huge labour. Cultivate entrepreneurship and promote small businesses by facilitating access to credit, streamlining regulations, and establishing incubation centers.
- **Gender inequality**: India's low female labour force participation rate (37% in 2023) impedes overall economic productivity. Social and cultural barriers also remain a challenge.
    - Policy measures: Provide affordable and accessible childcare facilities to enable women's participation in the formal sector. Spread awareness to address social norms and biases limiting female mobility and cultural aspirations.
- **Informal sector dominance**: A significant portion of India's workforce (90%) is engaged in informal work, characterized by low wages, inadequate working conditions, and limited social security. This sector suffers from low productivity, hindering overall growth.
    - Policy measures: Formalize the informal sector by providing facilities such as credit, financial literacy, and social security benefits. Invest in technology and innovation to boost the productivity of the sector.
- **Inadequate health and nutrition**: Suboptimal health and malnutrition, particularly among women and children, can impede workforce productivity and economic development.
    - Policy measures: Expand access to quality healthcare facilities by investing in public healthcare infrastructure. Implement effective nutrition programs to address malnutrition and enhance overall health outcomes.
- **Infrastructural bottlenecks**: Swift rural-urban migration strains urban infrastructure and services. Insufficient housing, transportation, and sanitation facilities in cities can provoke social unrest and impede growth.
    - Policy measures: Develop rural infrastructure and generate employment opportunities in rural areas to discourage mass migration. Invest in smart city initiatives to enhance urban infrastructure and promote sustainable urban planning.

India's demographic dividend is a **double-edged sword**. It has the potential to propel India's growth to new levels, but can also ignite **social unrest** if not harnessed wisely. The dividend also comes with **uncertainties** such as global economic recession or the dividend window being shorter than anticipated. Recognizing the challenges and adopting a multi-pronged approach is crucial to realize India's ambitions of **joining the league of developed nations by 2047**. By investing in its people, infrastructure, and industries, India can unlock its true potential and emerge as a global economic powerhouse.

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Second ans: India's demographic dividend, the period during which the working-age population outnumbers dependents, presents a significant opportunity for its economic growth. This dividend began around 2005-06 and is projected to peak in 2041, with the working-age population (20-59 years) expected to reach 59%.As the world's most populous country, India presents a unique opportunity in terms of labour supply and market potential. The United Nations (UN) estimates that India's population will continue to grow over the next four decades, offering a significant advantage in a world facing declining birth rats and labour shortages.

Potential of India's Demographic Dividend

The demographic dividend, as described by an International Monetary Fund (IMF) paper, could add 2 percentage points to India's pr capita GDP growth annually. This optimism stems from the fact that while many Asian countries face aging populations, India's demographic transition is underway, with a favourable age structure likely for the next two to three decades. The true potential can be analyzed through following dimensions:

1. **Workforce and Skill Development**: India's large workforce is a major competitive advantage in its quest to become a global design and manufacturing hub. The government's "Make in India, Make for the World" initiative aims to capitalize on this labour advantage and attract global companies.
2. **Workforce Size and Age**: As per UN, India's working-age population is projected to reach its peak at 68.9% by 2030, with a median age of 28.4 years. This young and sizable workforce provides a competitive edge in terms of both labor supply and consumption power.
3. **Female Workforce Participation**: Boosting female employment is crucial for harnessing India's demographic dividend. Currently, only 24% of women are working, a decline from previous years.
4. **Consumption and Demographics:** India's economy in 2024 is largely driven by consumer spending, with services being a significant part of the economy. Household savings and borrowing costs could impact consumption growth. However, a rebound in housing services and the moderating inflation rates are positive signs.
5. **Global and Domestic Dynamics**: Domestic demand, supported by expansion in services and moderating commodity prices, is likely to be a growth cornerstone. Corporate debt reduction and improved bank lending rates are also vital for economic expansion.

Despite this immense potential, India faces several key challenges in harnessing its demographic dividend. These challenges include:

1. **Education and Skill Gap**: Despite a large working-age population, a significant portion lacks adequate education and skills, resulting in underemployment or unemployment. As of 2021, around 27% of India's youth (aged 15-29) were neither in education, employment, nor training (NEET).
2. **Informal Sector Dominance**: India's labour market is predominantly informal, characterized by low-paying, unstable jobs with limited benefits. Creating more formal employment opportunities is essential to harness the demographic dividend fully.
3. **Women's Participation in Workforce**: Another major challenge is the low participation of women in the workforce, which was only 24% in 2022.
4. **Infrastructure and Health**: Inadequate healthcare, sanitation, and infrastructure hinder the productivity of the workforce. High levels of air pollution also pose a health risk, impacting productivity.

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5. **Economic Model**: India's development model, which has been skewed towards skilled services, neglects the potential of its abundant pool of unskilled labour.

Addressing these effectively is crucial for the country to realize its full economic potential. Some of the policy measures that can be implemented to overcome such challenges are:

1. **Invest in Education and Skill Development**: The government should allocate more resources to improve the quality of education and vocational training. Skill development programs should be aligned with industry needs to enhance employability.
2. **Labor Market Reforms**: Labor laws should be reformed to create a more flexible and business-friendly environment that encourages formal job creation. This can attract investments and reduce the informal sector's dominance.
3. **Women's Empowerment**: Policies promoting gender equality in education and workforce participation should be implemented. Initiatives like providing safe transport, maternity benefits, and flexible working hours can encourage more women to join the labor force.
4. **Infrastructure Development**: Investment in infrastructure, healthcare, and sanitation is crucial to improving the well-being and productivity of the workforce. It can also reduce the burden of healthcare costs on individuals.
5. **Exporting Skilled Labor**: Encourage the export of skilled labour through bilateral agreements and skill recognition programs to harness the global labour market.

India's demographic dividend holds immense potential to drive economic growth, but it is contingent on addressing the significant challenges it faces. Implementing targeted policies to improve education, labour market conditions, gender equality, infrastructure, and healthcare can help India realize the full benefits of its youthful population and transition from a demographic dividend to a demographic bonus.

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36. What are the challenges faced by urban areas in India? Discuss the measures that can be taken to address these challenges. (600 words)

First ans: India's cityscape is a rich blend of lively opportunities and hard struggles. With over **35% of the population** living in urban areas, which is approximately 510 million people, this number is anticipated to surge to **675 million by 2035** as predicted by the **United Nations**. As India moves rapidly towards urbanization, its cities are confronted with numerous challenges that jeopardize its development. The most pressing issues, along with their potential solutions, are discussed below:

1. **Congestion and overcrowding:** Indian cities find themselves on the brink of congestion, with the most evident example being Mumbai, where over 28,000 people are squeezed into every square kilometer. Projections indicate that India's urban population will soar to **600 million by 2031**, exacerbating challenges of overcrowding and lack of affordable housing, manifesting in the form of slums and informal settlements. Notably, around 65% of Indian cities feature **adjacent slums**, where people live in small and closely packed homes.

Potential solutions:

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- **Decentralization**: It is crucial to establish satellite towns offering employment opportunities and essential services, to alleviate the strain on major cities.
- **Vertical expansion**: Promoting high-rise developments with well-planned green spaces can optimize land utilization.
- **Urban planning**: Shifting from rigid plans to flexible and people-centric models can cultivate vibrant and livable communities.

2. **Poverty and inequality:** The aspirations of millions for urban living transform into a harsh reality for those trapped in the clutches of poverty. Limited access to education, healthcare, and dignified housing perpetuates a cycle of disadvantage, fostering conditions that can lead to social unrest and conflict.

Potential solutions:

- **Inclusive development**: Investing in programs targeting skill development, affordable housing, and social safety can work for the welfare of marginalized sections.
- **Empowering local communities**: It is crucial to cultivate community involvement in decision-making and support local businesses to foster a sense of inclusion.
- **Bridging the digital divide**: Ensuring fair access to technology and implementing digital literacy programs equips underprivileged individuals with tools for upward mobility.

3. Environmental degradation: The **economic toll** of environmental degradation in India is approximately **5.7% of India's GDP**. Rapid urbanization takes a toll on environmental well-being, manifesting in issues such as pollution, inadequate waste management, and depletion of natural resources, thereby harming the health and overall well-being of residents.

Potential solutions:

- **Green infrastructure**: Investing in green infrastructure such as green roofs, parks, and vertical gardens can counteract air pollution while creating pockets of greenery.
- **Clean technologies**: Promoting the use of electric vehicles, renewable energy sources, and energy-efficient buildings can contribute to the establishment of sustainable ecosystems.
- **Waste management**: It is crucial to implement efficient waste collection and management techniques to alleviate the burden on landfills and generate renewable energy.

4. **Infrastructure deficiency**: Indian cities bear the marks of crumbling roads, inconsistent power supply, and insufficient public infrastructure, impeding economic activity and diminishing the overall quality of life.

Potential solution:

- **Mobilizing public-private partnerships**: Harnessing the expertise and investment of the private sector can expedite both the development and maintenance of infrastructure.
- **Smart city initiatives**: Introducing technology-driven initiatives for traffic management, waste disposal, and energy optimization can enhance efficiency and optimize resource utilization.
- **Public transportation**: To establish a more sustainable and accessible transportation system, it is crucial to invest in metro networks, enhance bus services, and promote cycling infrastructure.

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5. **Robust governance and institutions**: Robust governance plays a pivotal role in addressing the challenges of urbanization. Ineffective governance, corruption, and bureaucratic hurdles frequently impede the efficient planning and execution of urban development initiatives.

Potential solutions:

- **Fostering collaboration**: Stimulating knowledge sharing and cooperation among various levels of government, civil society organizations, and the private sector can lead to more efficacious solutions.
- **Investing in capacity building**: Providing training and resources for urban planners, administrators, and elected officials can enhance their capabilities in addressing intricate urban challenges.
- **Promoting transparency and accountability**: Reinforcing anti-corruption measures, advocating for citizen participation, and implementing right-to-information laws can nurture good governance.

While urbanization is a crucial part of development, it comes with its set of challenges. It is important to tackle these with a multi-pronged approach from various stakeholders to shape India's dynamic urban landscape, marked by opportunity, inclusivity, and sustainability. It is also pivotal to invest in rural infrastructure to prevent additional strain on urban regions. Initiatives like **smart cities, AMRUT, and Awas yojana** are in the right direction and require further push to achieve their goals. Through a collaborative approach and a shared vision, India can usher in an era where every aspect of its urban tapestry contributes to a more prosperous and sustainable tomorrow.

Second ans. According to the census of India, an urban area should consist of characteristics as follows:

1. A minimum population of 5,000.
2. At least 75 percent of the working population engaged in non-agricultural occupations.
3. A density of population of at least 400 persons per sq. km is required.

India's urban landscape is booming, but beneath the glittering skyscrapers and bustling streets lie hidden challenges that threaten the well-being of its millions of residents. Urban areas in India are grappling with a myriad of challenges which are as mentioned below:

Migration: Migration rate in India according to PLFS data for 2020-21 is approximately 29% and urban migration rate is approximately 35% for the same period. Migration is major challenge for urban authorities as due to overcrowding many resources that are to be employed in Infrastructure creation, are being employed in services such as health, cleanliness and welfare services.

Infrastructural facilities: Rapid growth in urbanization creates shortage of housing shortages, creation of slums, overburdened sanitation systems, traffic congestion, inadequate public transport, pollution and environmental degradation.

Socio- economic issues: Due to unequal distribution of resources among people in urban areas creates a divide between rich and poor. While some parts of the urban area is full of modern amenities, others may suffer from poverty, lack of education, and limited access to healthcare.

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Environmental concerns: Environment gets deteriorated due to air and water pollution, lack of green spaces contribute to climate change, solid waste management and encroachment on natural areas are pressing issues. This poses serious health risks and sustainable environment concerns.

Several measures can be implemented in urban area to address these challenges. Such measures are as follows:

Empowering local governments: To address the issue of urban areas it is important to decentralize decision-making process and provide financial resources to municipalities for efficient service delivery. This can fasten the problem-solving process of local authorities.

Urban Planning: There is an urgent need for comprehensive urban planning that focuses on sustainable development, efficient land use, and the creation of essential infrastructure. This can be implemented with collaborative support from expert advisors, government officials, architects, and local communities.

Investment in Infrastructure: Governments should invest in upgrading infrastructure. Government can invest in infrastructure such as on roads, public transportation, sewage systems, and waste management facilities. This can help alleviate congestion and improve overall living conditions in urban areas.

Environmental Regulations: Strict regulations should be implemented and enforced to control industrial emissions and ensure proper waste disposal. This can significantly contribute to reducing air and water pollution in urban areas.

Slum Rehabilitation and Affordable Housing: Initiatives for slum rehabilitation, along with the promotion of affordable housing, can address the housing crisis in urban areas. This involves providing basic amenities and improving the overall living standards of residents. Government already taking initiatives in this area by providing houses under Pradhan Mantri Awas Yojana- Urban by Ministry of Housing and Urban Affairs.

Social and Economic Inclusion: Programs aimed at reducing socio-economic disparities should be implemented. This includes providing education and healthcare facilities in underserved areas, as well as promoting employment opportunities for marginalized communities.

Addressing these challenges requires a multi-pronged and collaborative approach by concept of Public Private Partnership (PPP) mode. By adopting a holistic approach that combines governance, technology, and community participation, India can pave the way for resilient, inclusive, and thriving urban environments.

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37. How do urbanization and migration affect social mobility and opportunities for upward mobility for different social groups? What are the challenges faced by marginalized communities in urban contexts? (600 words)

First Ans: The plethora of opportunities available in urban areas attracts a huge population, mainly from backward regions, in search of better opportunities and services. Such geographical movements of people, called urbanization and migration, play pivotal roles in shaping the socio-economic landscape of the country, offering both opportunities and persistent challenges for different social groups. These factors significantly impact social mobility, influencing the ability of individuals and communities to move up the economic and social ladder. While cities may seem like places to escape rigid social structures, the reality is nuanced and varies among diverse social groups. The opportunities and challenges in the way of social mobility are discussed below:

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Opportunities for upward mobility:

- **Education and employment**: Urban areas serve as hubs for educational institutions and diverse employment opportunities. They provide better working conditions, improving the living standards of migrants and supporting their upward mobility. Migration also provides opportunities for skill development, unlocking doors that were previously inaccessible.
- **Entrepreneurship and innovation**: Urban regions are fertile grounds for innovation, as they provide access to capital markets, technology, and diverse networks. This proves to be a golden opportunity for marginalized sections facing difficulties in rural areas. Successful ventures can lead to economic independence and upward mobility, disrupting traditional boundaries.
- **Exposure and modernization**: Urban life often challenges conventional norms, fostering a more open and diverse environment. This shift can contribute to reduced social inequalities and access to better opportunities. Exposure to information and technology further empowers individuals, enabling them to break free from constraining social structures.

Challenges and inequalities:

- **Discrimination and social segregation**: Despite the potential advancements, discrimination remains prevalent in cities. Caste and social biases remain an issue, manifesting in various areas in the lives of the marginalized. This segregation further perpetuates poverty and inequality, hindering access to essential resources.
- **Informal economy**: Due to the huge burden on urban regions, most migrants resort to informal work, characterized by low wages and degraded working conditions. This situation often traps migrants in a vicious cycle of poverty, impeding their ability to move upwards in the social hierarchy.
- **Spatial inequalities and informal housing**: The rate of urbanization often surpasses the rate of infrastructural development, resulting in insufficient housing, sanitation, and healthcare. These disadvantages disproportionately affect the marginalized, limiting their prospects for upward mobility.

The effects of urbanization and migration on social mobility vary significantly for various **social groups**, based on individuals' social backgrounds:

- **Higher castes and dominant groups**: Typically, these groups benefit from enhanced access to services such as education, healthcare, and skill development, allowing them to capitalize on urban opportunities for upward mobility.
- **Lower castes and marginalized groups**: These groups encounter heightened challenges due to their limited access to opportunities and social exclusion, impeding their journey towards upward mobility.
- **Women**: Urbanization presents an avenue for increased freedom and opportunities for women. Nevertheless, gender-based discrimination and safety concerns persist as significant barriers to their upward mobility.

The rosy picture of urbanization and migration hides numerous **challenges for the marginalized** which significantly impact their daily lives and limit their opportunities for social mobility. Such challenges are discussed below:

- **Economic disparity**: Marginalized communities face the challenges of poverty and unemployment, restricting their access to education and healthcare services. Further, **gentrification** can worsen these conditions by displacing communities and escalating their living costs beyond their means.

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- **Social exclusion and stigma**: Discrimination based on race, ethnicity, religion, or even gender identity erects barriers for the marginalized, fostering social isolation and curbing opportunities for community building. Social exclusion also significantly impacts mental health and overall well-being.
- **Limited voice and inequalities**: The challenges confronted by the marginalized are deeply ingrained in society, resulting in systemic inequalities. This systemic disadvantage makes it challenging for communities to advocate for their needs and gain recognition, perpetuating a cycle of marginalization.
- **Inadequate infrastructure and environmental hazards**: Marginalized communities frequently reside in areas with subpar infrastructure, making them vulnerable to environmental hazards such as flooding. Additionally, insufficient public transportation limits their exposure to opportunities outside their immediate neighborhoods.

The city's potential for upward mobility remains undeniable, but only if it is nurtured carefully. Addressing challenges is crucial to ensure inclusivity and equity for the marginalized. Measures such as inclusive urban planning, education, and strengthening social nets can prove pivotal in the upward journey of social mobility. By addressing the challenges faced by marginalized communities and investing in their success, cities can create a harmonious urban landscape where each individual has the opportunity to climb the social ladder and contribute to the overall development of the nation.

Second ans. Urbanization refers to the movement of people from the rural area to the urban area on the other hand migration refers to the movement of people across the border of a country or within a country across states. Movement in a country often took place in search of job opportunities, education, healthcare facility, etc. These movements in urbanization and migration generally affects the social mobility (movement in a person's social status, it can be upward or downward) of a person in the following ways-

1. **Lack of Opportunities**- Inability to get a job due to lack of skill, or not posing the knowledge required for the work often leads to downfall in the social mobility of a person.
2. **Social Exclusion**- People moves across sees diversity in culture, languages, cuisines and traditions; sometimes they are not accepted by the other communities due to their different ethnicity.
3. **Burdened Education System**- Urbanization and migration in sums often creates a burden on the education system which creates a hindrance in the path of getting accessibility to schools which leads them to deprive of education which is must for a earning.
4. **Climate Change**- The biggest threat rising now days which has severely implications on the social mobility of the people in the form of damage to crops, landslides, earth quakes, heavy rain, cyclone etc.
5. **Human Trafficking/ Crime**- There are incidents when people from rural areas have been a victim of the crime which impact their social status.

The above points represent one side of the coin that how urbanization and migration affect the social mobility for different social groups but there is other side of the coin too which represents the positive side that how it provides the opportunities for upward mobility for the same groups in the mentioned ways-

1. **Availability of Industries**- Urban area provides more job opportunities due to availability of industries which helps in improving the quality of life by providing a source of earning.

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2. **Health Care Facilities**- Accessibility and affordability to good health care service prevents the major expenditure of the income for the people who have migrated.
3. **Technological Skills**- Cities are considered as smart in comparison to the rural areas and generally pose more advance technology, movement of people enables them in earning the advance technological skills which leads them in gaining a job.
4. **Availability of Finance**- People in rural areas often lacks the accessibility to finance. Most of the financial institutions are present in urban areas which helps in asset creation, investment and in channelizing the savings.
5. **Better Education Facilities**- Urban area poses a greater number of institutions also behind migration search of qualitative education institute is a reason, later which enables them in moving toward upward social mobility.

Above points shows that how availability of facilities and services led them move toward upward social mobility but sometimes people remain deprived accessing the social, economical, political benefits which leads them to become a marginalized community. The same can be seen with the people who move from rural area to urban or do movements across states. There are some challenges which are faced by them in urban areas-

1. **Inclusiveness**- People from different cultures and languages are often side cornered and not being included in the mainstream of a community.
2. **Lack of Access to Basic Amenities**- Migrated people in cities generally finds it hard to get access to food, clothing, and housing due to being new to area.
3. **Slum Areas**- Real estate rates are price shooting now days. In urbanization, people who can't afford ones are being forced to live in the slum areas in lack of sanitation, drinking water and cleanness.
4. **Prone to Diseases**- People living in slums are more prone to diseases like Dengue, cholera, Malaria and many others.
5. **Lack of Access to Formal Employment**- Getting a job in informal sector is easier in comparison to the formal ones, which requires knowledge and skills. People employed in the informal sector faces low wages and lacks the social security benefits.

According to United Nations Population Fund India is the largest country in terms of population. As the number of populations increases people's movement in search of facilities, employment, healthcare education increases. Government has introduced many schemes for making the city accessible to all the migrant people like- Atal Mission for Rejuvenation, Smart Cities Mission, Swachh Bharat Abhiyan for Urban Areas, Pradhan Mantri Awas Yojana, Ayushman Bharat and many others. The effective implementation of the schemes is required with timely surveillance also government should bring more schemes like this to make the cities smarter and India as a developed economy by 2047.

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38. "Gender Budgeting is not just about allocating funds for women-specific schemes, but about ensuring gender equality through all government programs." Discuss this statement, giving examples of how various sectors can achieve gender-responsive budgeting. (600 words)

First ans: The statement "Gender Budgeting is not just about allocating funds for women-specific schemes, but about ensuring gender equality through all government programs" is crucial to understanding the true essence of

this approach. Gender budgeting is a strategy that aims to integrate a gender perspective at all levels of the budgetary process. It goes beyond simply allocating funds for women-specific schemes; instead, it involves analyzing the budgetary impact on different genders and promoting gender equality across all government programs. In the context of India, where gender disparities persist in various sectors, implementing gender-responsive budgeting can play a crucial role in addressing these issues.

1. Education:

- **Gender-sensitive curriculum**: Integrating gender equality concepts into textbooks and teaching methods can address gender biases and promote equal opportunities.
- **Focus on girls' education**: Schemes like Beti Bachao, Beti Padhao have increased girls' enrollment and completion rates. Yet, the current 2023-24 budget allocation shows only a 2% increase in schemes like Saksham Anganwadi and Mahila Shakti Kendra, highlighting the need for sustained investment in girls' education infrastructure and support beyond primary levels.
- **Bridging the digital divide**: Initiatives like Digital Saksharata Abhiyan can bridge the digital literacy gap between girls and boys, especially in rural areas.

2. Health:

- **Reproductive and maternal healthcare**: Ensuring accessible and affordable healthcare for women, including menstrual hygiene management and family planning services, is crucial. The 2023-24 budget saw an increase in allocations for Pradhan Mantri Jan Arogya Yojana (Ayushman Bharat), which aims to provide universal health coverage.
- **Combating gender-based violence**: Allocating resources for awareness campaigns, shelters, and legal aid for victims of domestic violence and sexual assault is critical. While India's National Crime Records Bureau shows a decrease in reported cases, concerns remain regarding under-reporting and access to justice.

3. Agriculture and Rural Development:

- **Land rights and access to credit for women farmers**: Empowering women through ownership and financial resources can boost agricultural productivity and improve rural livelihoods. The recent decision to increase the Minimum Support Prices for key crops can benefit women farmers if coupled with measures to ensure their land ownership and access to markets.
- **Skill development and livelihood opportunities for women**: Programs like Deendayal Antyodaya Yojana-National Rural Livelihood Mission can provide women with training and resources in income-generating activities, promoting economic independence.

4. Infrastructure:

- **Safe public spaces and transportation**: Well-lit streets, accessible public transport, and safe sanitation facilities are essential for women's mobility and safety. The Smart Cities Mission and Swachh Bharat Abhiyan initiatives can be strengthened to address these concerns with a gender lens.
- **Gender-sensitive urban planning**: Designing public spaces with women's needs in mind, such as secure shelters and childcare facilities, can make cities more inclusive.
- **Water and sanitation**: Providing clean water and sanitation facilities close to homes can ease the burden on women and girls, who are often responsible for water collection.

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5. Justice and Security: Ensuring the safety and security of women is a fundamental aspect of gender equality. Gender-responsive budgeting in the justice and security sector involves targeted initiatives.

- **Women's Safety Initiatives**: Allocate funds for initiatives addressing women's safety, including improved lighting in public spaces, awareness campaigns, and enhanced law enforcement.
- **Legal Aid and Support**: Ensure sufficient resources for legal aid and support services for women, especially those who are victims of domestic violence or harassment. The Pradhan Mantri Matru Vandana Yojana, offering ₹5,000 per child as maternity assistance, is a notable initiative in this domain.

6. Employment and Economic Opportunities: Economic empowerment is a key aspect of gender equality. Gender-responsive budgeting in this sector involves addressing barriers to women's participation in the workforce.

- **Skill Development**: Allocate funds for skill development programs targeting women to enhance their employability and participation in the workforce.
- **Entrepreneurship Support**: Provide financial support and training programs for women entrepreneurs to promote economic independence.

Gender-responsive budgeting is an ongoing process that requires continuous commitment and effort. By adopting a holistic approach that goes beyond allocating dedicated funds, sectors like education, health, agriculture, infrastructure, and more can contribute significantly to achieving gender equality in India. By analyzing existing policies, allocating resources effectively, and evaluating progress, we can build a more just and equitable society for all.

Second ans: Renowned Indian Economist, Indira Hirway, once told, “Planning without gender analysis is like planning in the dark”. These powerful words in the above quote symbolises the true essence of gender budgeting, a practice which allocates enough fund for the betterment and progress of the women specific schemes and initiatives. It dives into deeper, advocating for gender equality throughout the entire budgetary process, from allocation to implementation and impact assessment. This truly ensures that all government schemes and programs, irrespective of their targets and objectives, actively promotes equal opportunities and outcomes for both men and women. While allocating enough funds, to address specific challenges faced by women is crucial, a narrow and limiting focus on women specific schemes can be limiting. It risks overlooking the systemic gender biases embedded within broader programs, ultimately perpetuating inequalities. True gender responsible budgeting demands a wide and comprehensive approach that integrates a gender lens into every stage of the budgetary cycle, across all sectors.

1. **Education sector**: Gender responsive budgeting can significantly ensure equal access and opportunities for all genders. It involves investing and keeping an eye on girl’s education, addressing gender biases in educational materials, and promoting STEM based subjects like: Science, technology, engineering, and mathematics among girl students. Including this the proper integration of knowledge about gender stereotypes and biases in educational materials and providing basic amenities for both boys and girls in the educational sector, ensuring safety standards and lightening standards will enhance the overall productivity and targeted aim achievement capability.

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2. **Healthcare domain**: A proper gender responsive health care budgeting should allocate funds for women specific health issues while also addressing general health related concerns affecting all genders equally. It also involves funding for gender sensitive health education and services. Along with this proper allotment of budgeting for sexual and reproductive health, data-based gender analysis and allocation of funds for prenatal care and childbirth will also help.

3. **Agriculture and Rural development**: Many women work in the agriculture domain especially in developing countries. Gender responsive budgeting here would mean providing women farmers with equal access to resources, credit, and training, along with this provide access to land entitlements, agricultural extension services and proper credit-based loan facilities for women farmers.

4. **Infrastructure and urban planning**: Ensuring women's safety in public places, adequate public transportation and gender inclusive planning in urban development are one of the critical aspects. Along with proper allocation of resources for housing programs that addresses the specific needs of women headed households. Ensuring disaster risk reduction strategies, including early warnings systems and evacuation plans that considers the specific vulnerabilities of women and girls.

5. **Social welfare programs and data monitoring**: Budgeting for programs that specifically addresses the needs of women and girls in poverty, domestic violence survivors and other vulnerable groups is crucial.

Along with this proper tracking of budget allotment and budget allocation on women and men separately to identify and address disparity is also needed. Analyse budget statement and reports for gender bias and ensure transparency in budget allocation. Proper resource allocation to train government officials and civil society organizations on gender budgeting process is also needed.

Government initiatives and its impact on gender budgeting:

1. United nation in India highlights that the impact of violence against women and girls on their participation in society and the workforce, generates a huge no of economic losses which impacts severely the national growth and overall development. The Indian government has introduced several initiatives like- Beti Bachao Beti Padhao (save daughter, educate daughter) and national livelihood mission, mainly focusing on empowering of women through proper education, skilling and economic and work force participation.

2. The role of gender budgeting is now being recognised globally, for example, the International Monetary Fund has emphasized women's empowerment in their training and advisory services acknowledging its importance for inclusive growth.

In conclusion, gender responsive budgeting is a multipolar approach that ensures gender equality is at the core of all government-based programs and initiatives. By considering the unique needs and challenges faced by all genders, gender responsive budgeting can contribute significantly to achieving a more equitable and inclusive society. This approach requires the collaboration of various sectors and the commitment of governments and international organizations to create a sustainable and equal future for all genders.

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39. The digital divide remains a significant obstacle to women's empowerment. How can gender budgeting be utilized to bridge this gap and improve women's access to technology and digital skills? (600 words)

First ans: Former United nations secretary general and deputy executive director of united nations women council, Lakshmi puri, once said, “If technology empowers women, it can create a tsunami of change”. This words truly encapsulates the immense potential technology holds for women’s empowerment. However, a significant digital divide is always there to back hold this transformation, disproportionately affecting women globally. According to the 2023 global Findex database, 29% of women globally remain digitally excluded compared to 20% of men. This gap can be a major source of barrier to women’s economic participation, education, and overall well-being. Fortunately, gender budgeting, the practice which perfectly analyses and adjusts the government budgets to promote gender equality, offers a powerful tool to bridge this digital divide and empower women in this digital era. However, simply allocation of funds for women specific technology initiatives would not suffice. True changes require a strategic and target-based approach that integrates a gender-based approach throughout the entire budgetary process.

Gender budgeting and its effectiveness for bridging the gap of digital divide:

1. Gaps identification:

    a) **Collection and analysis of gender based disproportionate data**: Gathering the data related to the women accessing to technology, digital literacy levels and specific barriers they face in different regions and socio-economic groups. This data will help to outline the fund and resource allocation flow in this sector.
    b) **Conducting gender impact-based assessments**: Analysing existing technological programs and infrastructure projects for potential gender biases and unintended consequences. This ensures inclusivity and avoids reinforcing existing inequalities.

2. Priority based targeted investments:

    a) **Addressing affordability**: Allocation of funds to subsidize or provide affordable access to internet connectivity, proper devices and data plans for women and girls particularly in low income and marginalized section of the community.
    b) **Proper channelised investment in digital literacy and training**: create programs that equip women with the skills to navigate the digital space safety and productively, including basic computer knowledge and cybersecurity awareness and digital content creativity.
    c) **Support women-led tech startups and initiatives**: Allocate funds to incubators, accelerators, and venture capital firms that specifically support women entrepreneurs in the tech sector, fostering innovation and addressing women's needs.

3. Creating an Enabling Environment:

    a) **Invest in gender-sensitive digital infrastructure**: Design and develop public Wi-Fi hotspots, community technology centres, and e-governance platforms with women's safety and accessibility in mind.

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b) **Promote STEM education for girls**: Allocate resources to strengthen STEM education programs in schools and provide scholarships and mentorship opportunities to encourage girls' participation in technology fields.
c) **Advocate for policies that address online gender-based violence**: Support initiatives that create safer online spaces by combatting cyberbullying, harassment, and online trolling disproportionately targeting women and girls.
d) **Supporting Women Entrepreneurs and Tech Start-ups**: Providing financial support and resources for women-led start-ups, especially those in the tech sector, can empower women economically and encourage innovation. This includes access to capital, business development services, and networking opportunities.
e) **Public-Private Partnerships**: Governments can collaborate with tech companies to provide training and resources. These partnerships can facilitate access to the latest technologies and expertise, making digital education more relevant and up to date.

4. Policy making and evaluation:

a) **Inclusive Policy Making**: Women should be part of the decision-making process when it comes to policies related to technology and digital access. Their insights can lead to more effective and inclusive digital policies.
b) **Monitoring and Evaluation**: It's crucial to continuously monitor the effectiveness of these initiatives and make data-driven adjustments to strategies and budget allocations.

The Economic and Social Benefits of Reducing the Digital Divide:

Reducing the digital divide through gender budgeting is not just a matter of fairness; it has significant economic and social implications. According to a report by the International Finance Corporation, closing the gender gap in mobile internet use across low and middle-income countries could add $700 billion in GDP growth over five years. Moreover, empowering women through digital literacy and access can lead to greater economic participation, entrepreneurial opportunities, and access to information and services, including healthcare and education.

Challenges and Considerations

While gender budgeting is a powerful tool, its success depends on addressing certain challenges:

1. **Cultural Barriers**: In many societies, there are significant cultural barriers to women's use of technology. Gender budgeting initiatives must be sensitive to these contexts and include community engagement and awareness campaigns.
2. **Sustainability**: Projects should be designed for long-term sustainability, avoiding dependence on external funding.
3. **Inclusivity**: Programs should be inclusive, catering to the needs of women across different age groups, socio-economic backgrounds, and abilities.

In conclusion, the digital divide is a complex issue, but through strategic gender budgeting, significant strides can be made in bridging this gap. By focusing on providing infrastructure, education, and support, governments can empower women to harness the potential of digital technologies for their personal and professional development. We can bridge this gap and empower women to contribute meaningfully to a more equitable and inclusive digital

future. The key is to recognize the unique challenges faced by women in accessing and utilizing technology and to design budgeting strategies that address these challenges head-on.

Second ans: According to a 2023 Internet and Mobile Association of India (IAMAI) report, India has the largest gender gap in internet usage in the Asia Pacific region, highlighting the gender divide in internet penetration, with only 26% of women having access to the internet compared to 42% of men. The digital divide, the gap between those who have easy access to computers and the internet and those who do not, significantly hinders women's empowerment, particularly in countries like India. Gender budgeting emerges as a potent tool in addressing these challenges and ensuring equitable access for women to technology and digital skills.

GENDER BUDGETING – BRIDGING THE DIGITAL GAP

Gender budgeting involves the process of conceiving, planning, approving, executing, monitoring, analyzing, and auditing budgets in a gender-sensitive manner. This approach ensures that all the genders benefit equally from public spending and that any unintended negative consequences on either group are avoided. Gender Budgeting can be used to bridge this digital divide as:

1. **Targeted Allocation of Resources**: Gender budgeting can prioritize the allocation of resources to initiatives focused on increasing women's access to technology. For example, funds can be allocated to provide affordable or free digital devices to women in underserved areas. Additionally, supporting infrastructure like internet connectivity can be enhanced in these regions.
2. **Education and Skill Development**: A significant portion of the budget should be dedicated to education and skill development tailored for women. This includes setting up training centers for digital literacy in rural and semi-urban areas, focusing on languages and contexts relevant to the local women. Such initiatives can be integrated into existing educational institutions or through community centers.
3. **Partnerships with Tech Companies**: Collaborations with technology companies can be incentivized through tax breaks or subsidies. These partnerships can focus on developing gender-responsive technologies and offering internships or training programs specifically for women, thus building a pipeline of skilled female workers in the tech sector.
4. **Supporting Women Entrepreneurs**: Special funds can be allocated for women-led startups focusing on technology. This includes access to capital, mentoring, and networking opportunities, thus encouraging more women to enter and innovate in the tech sector.
5. **Monitoring and Evaluation**: It's important to establish a robust monitoring and evaluation mechanism to assess the impact of these initiatives. This helps in understanding the effectiveness of the programs and making necessary adjustments. Regular data collection and analysis on gender disparity in technology access and usage are crucial.
6. **Policy Advocacy and Awareness**: Part of the budget should be dedicated to advocacy and awareness campaigns. These campaigns can aim to change societal attitudes towards women's use of technology and promote the benefits of digital literacy for women, both for their personal empowerment and for the broader economy.
7. **Safety and Privacy Considerations**: As more women gain access to digital technologies, it becomes imperative to educate and protect them from cyber threats. Budget allocations can support the development of robust cybersecurity measures and educational programs on digital safety.

8. **Inclusive Design and Accessibility**: Ensuring that digital tools and content are accessible to women of all ages, educational backgrounds, and abilities is crucial. This includes designing user-friendly technology interfaces and content that is relevant and accessible to women in different regions, including those with disabilities.

While India has made progress in digital penetration, the gendered digital divide remains a formidable challenge. Gender budgeting offers a viable approach to bridging this gap by ensuring that policies and funds are specifically directed towards improving women's access to technology and digital skills. This focus not only supports gender equality but also promotes broader socio-economic development by enabling women to participate more fully in the digital economy.

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40. Although Urbanization has been spreading to the hinterlands, the caste and gender discrimination is still rampant. In this context, how will you justify the protective discriminatory policy? (600 words)

First ans. The penetration of urbanization in rural hinterlands of India, despite promising advancements, is not free from the shackles of deeply rooted societal issues of caste and gender discrimination. This leads to an ongoing debate regarding protective policies, especially Affirmative Action. **Protective discrimination** refers to deliberate preferential treatment by the government to specific communities, based on caste, gender, religion, or spatial location. While the noble intent is to rectify historical injustices and uplift the marginalized, the inherent nature of discrimination, even if positive, raises concerns about inequalities. Justifying such policies is a complex issue, requiring a detailed analysis of their need and implications.

<u>The need for Protective measures:</u>

- **Pervasive discrimination**: In India, Dalit and Adivasi communities have been facing social exclusion, violence, and economic hardships for centuries, while women confront unequal pay, sexual harassment, and limited decision-making authority. Such issues persist, despite legal safeguards, manifesting in sectors such as education, health, and employment.
- **Generational disadvantage**: Historical injustices and social barriers fuel the ongoing cycle of generational poverty and hardships. Lack of access to education and other basic services perpetuates the disadvantaged status of lower-caste individuals and women.
- **Enforcement gaps in existing laws**: Existing anti-discrimination laws often lack enforcement, leaving victims exposed and wrongdoers unpunished. This underscores a need for affirmative action to bridge the social divide.

In this ecosystem of structural disadvantages, positive discriminatory policies can prove to be transformative in bridging the gap. These policies, such as reservations in institutions and government jobs, prioritize access for historically marginalized groups. However, the impact of such policies is double-sided.

<u>Arguments supporting Positive Discrimination:</u>

- **Addressing historical injustices**: Centuries of systemic discrimination have deprived backward and tribal communities and women of equal opportunities. Protective policies can serve as reparations, offering a starting point to overcome these historical disadvantages.

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- **Empowerment and visibility**: Affirmative action, such as educational and employment reservations, has increased the representation of marginalized communities, bringing them to the forefront. Increased representation helps in challenging stereotypes by providing a voice to previously unheard groups.
- **Breaking cycles of disadvantage**: Without positive discrimination, children born into disadvantaged communities are at risk of inheriting such struggles from their caregivers. Protective policies can provide access to better education and employment, breaking these cycles and contributing to social and economic development.
- **Promoting diversity and inclusion**: Protective policies create a more equitable society by providing a fair chance for everyone to succeed. This narrows the gap between marginalized and dominant communities, fostering a just and equitable society.

However, challenges and concerns remain:

- **Meritocracy vs. equality**: Critics argue that such policies may undermine meritocracy, potentially leading to under-qualified individuals being selected, eroding public trust, and fostering a sense of injustice.
- **Reverse discrimination**: Other communities, such as the general class, argue that affirmative action deprives them of their opportunities, potentially causing reverse discrimination. Effective and sensitive policies are crucial to avoid the creation of new social hierarchies hindering social harmony.
- **Perpetuating stigma**: Labeling individuals based on their caste or religion can reinforce stereotypes and create new forms of discrimination, where beneficiaries are seen as less deserving or capable.
- **Long-term solution**: Affirmative action is a temporary fix meant to address historical backwardness. The ultimate goal should be to create a society where such policies are no longer required.

Ultimately, the **justification for protective discrimination** lies not in a simplistic binary of right or wrong, but in a complex and detailed understanding of the historical context and the need for a multi-pronged approach. Despite the obstacles, affirmative action remains a vital tool for tackling deeply ingrained inequalities in India. It is crucial to recognize that:

- **Discrimination is a systemic issue**: Merit-based arguments overlook the historical and ongoing discrimination faced by marginalized groups in various aspects of their lives. Affirmative action aims to address such systemic inequalities, considering not just individual merit but the broader structural problem.
- **Temporary measure**: Positive discrimination is not intended as a permanent solution but as a means to establish a level playing field. Regular reviews and adjustments are necessary to ensure its effectiveness and prevent misuse.
- **Comprehensive approach**: In addition to such policies, concentrated efforts are required to empower marginalized communities through education, skill development, and the establishment of social support systems.

While affirmative action can contribute to redressing historical imbalances, its effectiveness hinges on being complemented with comprehensive interventions addressing social transformation, economic empowerment, and the fundamental root causes of inequality. The ultimate objective is to move towards a vibrant India, where individuals are assessed and empowered based on their merit and aspirations, rather than being confined to gender or caste. This visionary goal necessitates a holistic approach where our efforts extend beyond short-term measures, fostering lasting positive change for the benefit of all.

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Second ans. Certainly, urbanisation has been spreading to the hinterlands by providing easy access of services to those from the vulnerable background. More and more people from the rural cities are moving to urban cities in search of a better lifestyle. With this dynamic change, we expect an equitable atmosphere for all the strata of the population. However, this is definitely not the case. Those from the marginalised communities still face caste and gender discrimination making them downtrodden and subsequently creating an environment of social awkwardness. To overcome this, the concept of Protective Discrimination Policy was introduced.

It is the policy of granting special privileges to the downtrodden and the underprivileged sections of society. These are affirmative action programs to tackle the history of racial and caste discrimination.

Some areas where this discrimination is still rampant are:

1. **Residential segregation**: Against the backdrop of urbanization, castes are split between elite enclaves and slums. Neighbourhoods display intense sub-grouping. The division further exists within "lower" caste localities.
2. **Social Identity**: An individual's surname, locality, and occupation are invisible markers of their social identity. This automatically describe the bio-data of the individual leading to discrimination.
3. **Gender Based Discrimination**: Women continue to face discrimination even in cities with respect to equal opportunities at workplace or because of prevalent dowry system.
4. **Wage discrimination**: Wage discrimination in urban cities is also a prevalent issue which leads the disadvantaged groups to low-paid, dead-end and insecure employment. Women too continue to face this issue in spite of putting in equal hours of work as men.
5. **Education and Health**: Even after various reservations being granted to lower communities, they face difficulties in enrolment of their children in private school. Similarly, they find it difficult to procure easy medical facilities at private hospitals where caste plays a big role.

To overcome this, protective discriminatory policy over time has included the following articles:

1. Article 17: Abolition of “untouchability” and making its practice in any form a punishable offence.
2. Article 46: Promotion of educational and economic interests.
3. Article 16 and 335: Preferential treatment in matters of employment in public services.
4. Article 330 and 332: Reservation of seats in the Lok Sabha and State Assemblies.

Thus, promoting the above articles in a just manner, we can expect some positive change in the minds of people and dream of making India an inclusive place for all castes and gender. Some actions steps that can be taken are:

1. **Sarvodaya through Antyodaya**: As a confident nation with its foundation in traditions and modern outlook, India should have a firm belief in the Gandhian concept of “Sarvodaya through Antyodaya, implying the welfare of all through the weakest of the society.
2. **Financial Inclusion**: Through financial inclusion, we will be able to bring all castes at the same level by empowering them and making them literate enough to make good financial decisions.
3. **360-degree adoption of inclusion**: This would involve reforms in the legislation, creation of robust regulatory mechanisms, implementation of pilot projects, fostering implementation, strengthening capacities in the entire value chain of urban service delivery.

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4. **Skill Development**: Robust measures in this area with strict penalties to those who do discrimination based on gender must be put in place. Skill development must be a key focus area for the vulnerable population.

Way Forward: Inelastic social structures will continue to cast their shadows on the urban realm. These systems must melt before any policies of change can mould the built environment. The city only manifests as the collective mind of its people. Thus, positive discriminatory policy must be moulded in a way it can be beneficial for all and helps in making India an inclusive nation.

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41. "Development and welfare schemes for the vulnerable, by its nature, are discriminatory in approach." Critically evaluate while explaining the concept of social justice. (600 words)

First ans. The nature of development and welfare schemes for the vulnerable is an intricate issue, navigating the complex terrain of our nation shaped by immense social diversity. Even though these initiatives target specific groups, labeling them as purely discriminatory risks oversimplifying their implications on historical injustices and structural inequalities they intend to redress. The concept of **social justice** argues for a just and equitable society free from discrimination, oppression, and exploitation. It underscores the need for equitable distribution and access to resources, ensuring everyone can thrive regardless of their backgrounds. In the context of development and welfare, social justice calls for policies that address the unique needs of vulnerable populations, ensuring their participation in the benefits of progress.

The Indian Government has taken various targeted measures for the social and economic upliftment of the marginalized, including schemes such as **PM JANMAN** (Janjati Adivasi Nyaya Maha Abhiyan), **SMILE** (Support for Marginalized Individuals for Livelihood and Enterprise) scheme, and **Stand-Up India**. Such development and welfare schemes often target specific groups identified as vulnerable. This targeted approach, while well-intended, can lead to a perception of discrimination and raise concerns about inequality.

Critics of such programs contend that they are **inherently discriminatory** because they:

- **Exclude other vulnerable groups**: Concentrating on specific groups such as women, SCs, or STs may neglect equally deserving groups, fostering resentment and social unrest.
- **Perpetuate stigma**: Focusing on specific groups and labeling them as vulnerable can further reinforce discrimination and lead to social stigma, further marginalizing those dependent on such programs.
- **Foster a culture of dependence**: Critics argue that welfare initiatives may create dependence, discouraging individuals from seeking self-reliance, hence impeding long-term development.

However, dismissing such programs as discriminatory overlooks the historical context of injustice and inequality, a stark reality of social structures in India. **Advocates** of targeted initiatives argue that:

- **Addressing historical imbalances**: These programs are essential to rectify systemic inequalities resulting from centuries of oppression. Targeted policies for the vulnerable are necessary to ensure equal access to opportunities.
- **Positive discrimination**: Targeting specific groups can be viewed as 'positive discrimination', a temporary fix to level the playing field and empower the historically disadvantaged.

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- **Breaking the cycle of disadvantage**: By providing essential resources and services, these policies empower individuals and communities to break the cycle of poverty and exclusion, fostering long-term social mobility.

It is crucial to recognize the validity of both arguments. While targeted programs can address structural inequalities and promote social justice, their implementation requires sensitivity and careful consideration. To mitigate the potential for discrimination and maximize effectiveness, several key points are crucial:

- **Effective targeting**: Defining criteria can minimize exclusion errors and ensure that only the most vulnerable are benefitted through these programs, preventing misuse.
- **Holistic approach**: Targeted initiatives, while addressing specific needs, should be a part of a comprehensive developmental approach, promoting inclusive growth and empowering communities.
- **Community participation**: Collaborative design and implementation with the affected communities ensure cultural relevance and address specific needs and aspirations of the beneficiaries.
- **Monitoring and assessment**: Regular assessment is crucial to identify and address any unintended consequences and ensure that the programs achieve their intended goals.

Development and welfare programs for the vulnerable are not inherently discriminatory, but their efficacy in promoting social justice hinges on their design and implementation. The potential for such initiatives in India is vast, provided we navigate the intricacies. These tools can be powerful for building an equitable and just society by acknowledging the deep-rooted complexities and challenges. As we aspire for progress, it is important to view these programs not just as aids, but as catalysts for a positive change. By embracing their transformative potential, we embark on a journey towards a future where every individual, regardless of their background, has the opportunity to thrive, fostering a society that stands as a testament to our commitment to social justice and inclusivity.

Second ans. The discriminatory nature of welfare schemes targeting vulnerable populations is a stark reminder of the persistent disparities within societies. Such discrimination can undermine the very purpose of welfare programs meant to uplift the marginalized. Even though there are various welfare schemes for the betterment of vulnerable sections, they can be discriminatory in ways like:

1. **Negative Perception**: These welfare programs can unintentionally stigmatize the beneficiaries thus creating negative perceptions. They can feel they are privileged only because they are not equal as others. This leads to unjust feeling in their minds.
2. **Discriminatory approach**: The targeted approach of these welfare schemes treats different segments of the population differently thus becoming discriminatory. Some may take it as a blessing as they have faced discrimination since ages while some may take it otherwise.
3. **Sectoral Disparities**: Giving more resources to welfare programs means diversion from sectors which benefit the population as a whole leading to sectoral disparities. Such fundings target only a niche population.
4. **Freebies culture**: Fostering a freebie culture can be misused if the targeted audience takes it for granted. This can lead to lethargy and not wanting to work as government fulfils most of their needs through welfare programs.
5. **Gender Bias**: Most welfare schemes benefit women as they belong to weaker sections of the society due to societal backlash since ages. Welfare programs designed specifically for women can lead to discrimination against men.

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Although, there may be a percentage of population that feels discriminated by the welfare programs focused on the vulnerable section of the society, but these development and welfare schemes are indispensable and they promote positive discrimination. Some of the way by which they contribute to the welfare are discussed below:

1. **Achieve equity:** The development and welfare schemes recognize that different groups may have different needs and require targeted assistance to achieve equal access to resources and opportunities. For example, Standup India scheme to make loans easily available for SCs, STs and women.
2. **Efficiency**: Targeting vulnerable groups can be more efficient in terms of resource allocation as the limited resources are directed to those who need them the most. For example, distribution of iron-fortified rice to adivasis.
3. **Human Rights and Social Justice**: Providing assistance to vulnerable groups can be seen as a way to rectify historical injustices and promote social justice.
4. **Inclusive growth**: Welfare schemes promote inclusive growth by providing a safety net that reduces inequality and poverty, enabling marginalized populations to participate more fully in the economy. For example, schemes like Nai Roshni and Nai Udaan for minorities.

All these discussion points mainly direct towards a single objective of the government i.e. achieving social justice. Social justice refers to a fair and equitable division of resources, opportunities, and privileges in society. It is sometimes referred to as "distributive justice." It is based on principals of:

1. **Access:** It is one of the most fundamental principles of social justice. This holds that society's resources should be equally available to all.
2. **Equity:** Equity is the principle that people should have the same opportunities to succeed, despite any past injustices or systemic discrimination.
3. **Diversity**: Principle that government should be broadly representative of the communities they serve. This means that there should there be women, people of colour, minority communities in positions of power.
4. **Participation**: Participation is the principle that everyone in a community should have a voice in making important decisions.

Way Forward: Positive discrimination within welfare schemes for vulnerable populations is not only justified but essential. It acknowledges historical injustices and systemic inequalities, aiming to rectify them by providing targeted support. It uplifts marginalized communities but also fosters a more inclusive and equitable society, ultimately benefiting all its members. While such measures may be temporary, they serve as a catalyst for long-term change, promoting fairness and social cohesion.

****Thanks to Kingsuk bhai for framing the questions, Mridul for compiling the answers and Anmol, Anushka, Kingsuk, Krishna & Vandana for evaluating these answers. All of us at WLH believe in giving back.**